



CIRCLE S.M.A.R.T · STAGE 1

WEEK 2

Risk first, strategy second

Class handout · English edition

This week's days

Day 8	Indicators that help, and their limits
Day 9	Risk first: the 1% rule and position sizing
Day 10	Your style, and the investing alternative
Day 11	Strategy #1: the EMA Pullback Swing
Day 12	Paper trading day 1 and the AI trade journal
Day 13	Strategy #2: Opening Range Breakout (optional)
Day 14	Week 2 review and Shortcut Trap #2: when a result looks too good

How to use this handout

- Read one day at a time, in order. Each day ends with a task, AI Lab prompts, a journal question and a 5-question quiz.
- Submit the quiz and save the journal in the app: that is what opens the next day and counts for your score.
- All charts and numbers are illustrative, and every company name in an example is made up. Virtual money only. Nothing here is a tip or a buy or sell call.

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Day 8 Indicators that help, and their limits

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Day 10 Your style, and the investing alternative

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Day 11 Strategy #1: the EMA Pullback Swing

Buy the pause, not the chase · The setup: trend, pullback, cool-down · Relative strength: is it leading NIFTY 50? · The signal, and an entry that never chases · The plan card: stop, size, exits · The screener finds, you decide

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Paper trading: real prices, virtual money, real rules · Paper fills that do not flatter you · When price jumps over your stop · Your journal: ten columns. Your Portfolio row: seven parts · The adherence score: a ball well left still counts · AI reads your journal; you decide

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ORB in one line, and who it is for · The entry: a close outside, not a wick · Stop, profit exit, time exit and size · Short selling in cash: learn the rules before the trade · Gap days and your starter no-trade list · Breakout FOMO: the trade you chase

Day 14 Week 2 review and Shortcut Trap #2: when a result looks too good

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Important information and disclaimer

Every day has the same shape: the story, 4-6 topics with pictures, words of the day, a recap map, today's task, AI Lab prompts, a journal question, a closing line and a 5-question quiz.

Indicators that help, and their limits

Concept: Four chart tools and their lag: EMA 20/50, RSI 14, ATR 14, VWAP

AI Lab: 'When does it mislead?' cards: AI drafts, you check

Mindset: Indicator overload

Eleven lines, one opinion

Sunday night. The weekly class call is over, but Aman asks the mentor and Priya to stay on for five more minutes and shares his laptop screen. His chart has so many coloured lines that it looks like a house lit up for Diwali.



Aman

Sir, look at my new setup: eleven indicators. When seven of them turn green together, I buy. More confirmation means less risk, right?



Priya

But Aman, last month you sold Kiran Foods the day its RSI crossed 70. It kept rising for three more weeks.



Mentor

Aman, one question before anything else. What are all eleven of your indicators made from?



Aman

Umm... from price, I suppose. All of them. But RSI above 70 does mean overbought, doesn't it?



Mentor

Mostly the same closing prices, cooked eleven ways. Seven green lines are often one opinion repeated seven times. And 'overbought' is only a label; Kiran Foods already showed you that. Today we keep four tools and learn what each one measures and, just as important, when it misleads.

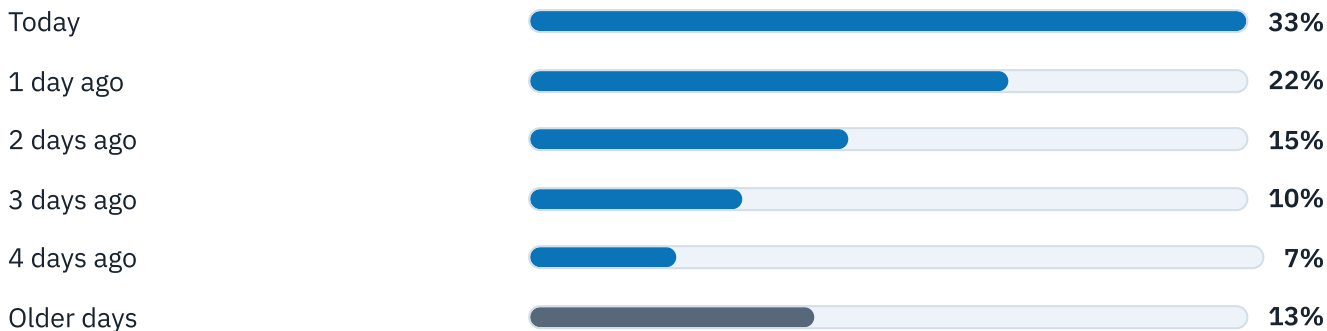
The lesson: More indicators do not add more information. Knowing what one tool measures, and when it fails, is worth more than ten lines on a chart.

Learn

01 Every indicator is late: SMA, EMA and lag

An indicator is a formula applied to past prices, and sometimes volume, and drawn on your chart. It is built from prices that have already traded, so it always reacts after price has moved; this delay is called lag. The simplest one is the SMA (simple moving average): the average of the last N closing prices (N is the length you choose, such as 5 or 20), each day counted equally. An EMA (exponential moving average) gives the latest closes more weight, so it turns sooner, but it still lags. Think of a moving average as a car's rear-view mirror: it shows clearly where price has been, never where it is going. On Day 6 you read trend from swing highs and lows; a moving average tells the same story, smoothed and a little late.

EMA 5: how much each day counts



An SMA 5 gives each of the last five days exactly 20% and older days nothing. An EMA gives the latest days more weight but never forgets older ones completely.

EXAMPLE

Kiran Foods Ltd closes at Rs 100, 102, 104 and 106, then jumps to Rs 118 on the fifth day. $SMA\ 5 = (100 + 102 + 104 + 106 + 118) / 5 = Rs\ 530 / 5 = Rs\ 106$. Price is at Rs 118, yet the average still says Rs 106, Rs 12 behind. An EMA 5 on the same prices would react a little faster, because today's close alone carries a third of its weight.

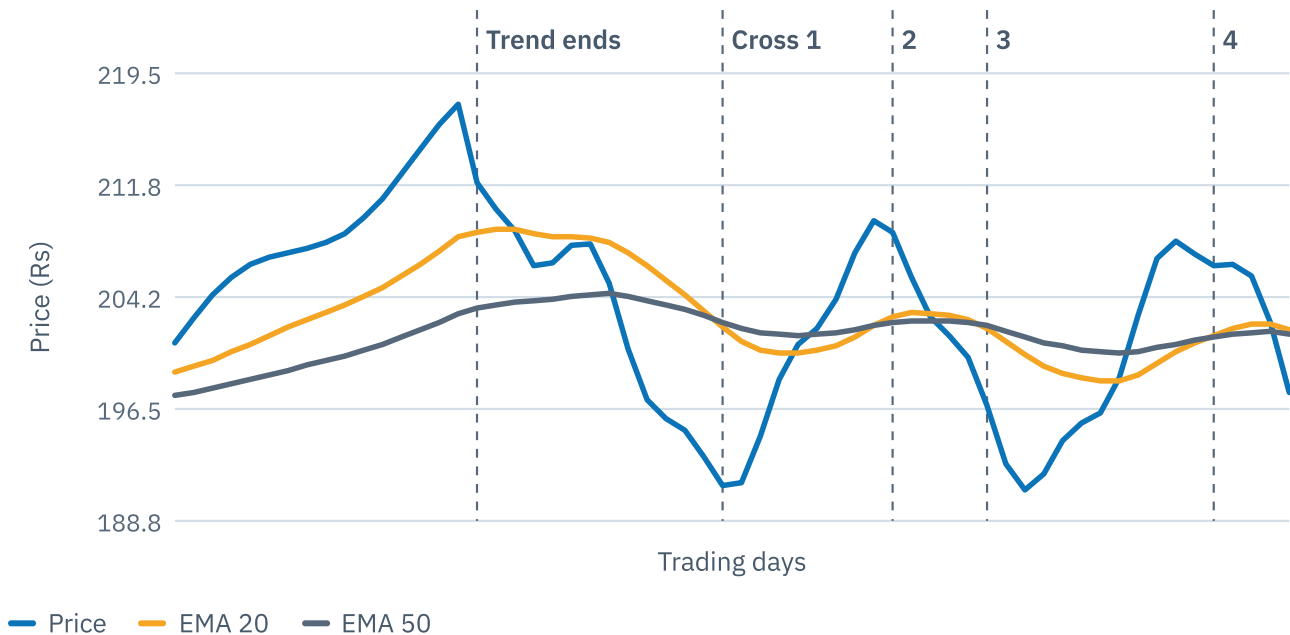
Remember: Every indicator is built from the past. It can describe what happened; it cannot tell you what comes next.

02 EMA 20 and EMA 50: a trend filter, not a buy button

This course uses one pair of EMAs on the daily chart: EMA 20 (about one month of trading days) and EMA 50 (about two and a half months). When EMA 20 is above EMA 50 and EMA 50 is rising, the course reads the trend as up and studies only buying setups, on paper; if either condition fails, it stays out. 'Rising' has an exact test, which Day 11 uses: EMA 50 is higher today than it was 10 trading days ago. That is a filter: it tells you which side to look at, not when to enter. The moment the two lines cross is called a crossover. In a sideways market the lines go flat and cross again and again, flipping the 'signal' each time; this is called a whipsaw, and it is where many EMA users keep taking small losses.

Filter on, then whipsaw

ILLUSTRATIVE



While price trended, EMA 20 stayed above EMA 50. In the sideways stretch the two lines crossed four times, and every cross was a false alarm. The first cross came 13 sessions after the trend ended: that is lag.

EXAMPLE

Look at the chart below. While the trend ran, EMA 20 stayed above EMA 50 and price stayed above both. Then price went sideways between about Rs 191 and Rs 210, and the two lines crossed four times in roughly 30 sessions. Trading every crossover, Aman would have bought near the top of the range and sold near the bottom, again and again. A flat EMA 50 is your warning that the filter has gone quiet.

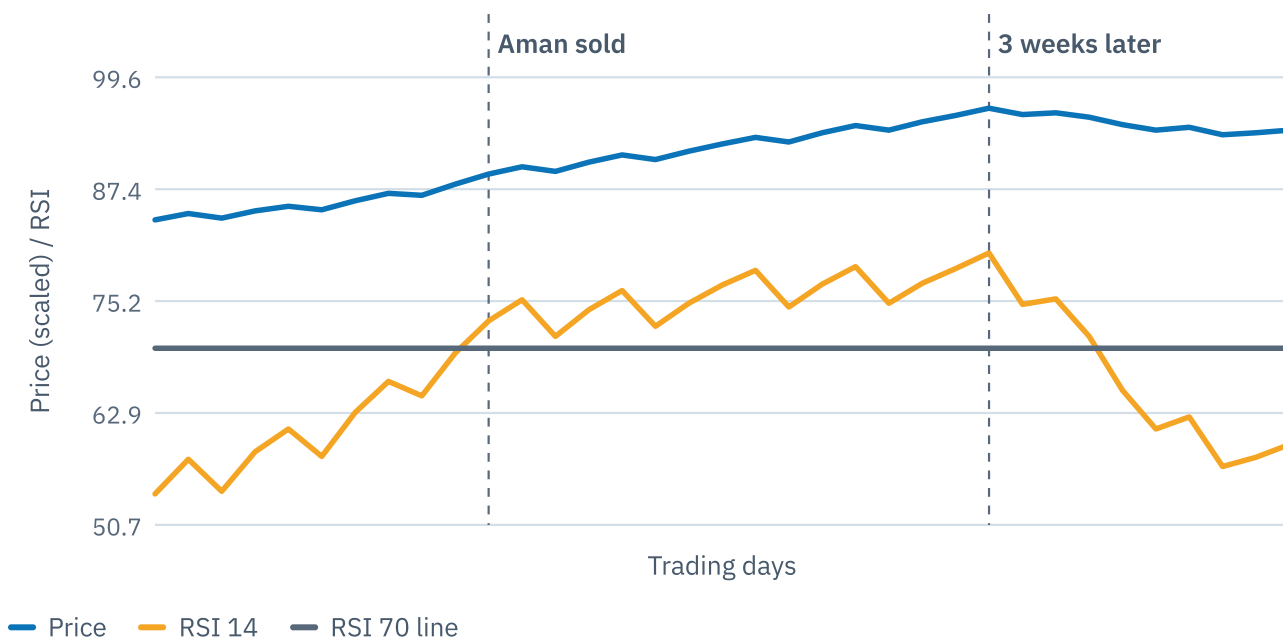
Remember: EMA 20 above a rising EMA 50 tells you which side to look at. It never tells you when to enter.

03 RSI 14: a speedometer, not a sell signal

RSI (Relative Strength Index) measures momentum, meaning how strongly price has been moving. It adds up all the rises and all the falls over the last 14 candles, divides each total by 14, compares the two averages and shows the answer on a 0-100 scale. Above 70 is often called overbought and below 30 oversold, but these are only labels: in a strong uptrend, RSI can stay above 70 for weeks while price keeps rising. Overbought is not a sell signal by itself. Roughly, in an uptrend RSI tends to swing between about 40 and 80, and in a downtrend between about 20 and 60. The Day 11 strategy watches for RSI dipping to around 40-50 inside an uptrend; that is this course's practice rule, not a law of the market.

RSI above 70, price still rising

ILLUSTRATIVE



Illustrative shape of Aman's Kiran Foods Ltd sale. Price is drawn on a rescaled axis so it fits on one chart with RSI; read its shape, not its rupee level. RSI 14 closed above 70 on the day he sold and stayed above 70 for almost four weeks; price kept climbing for three of them, about 8% higher. 'Overbought' was a label, not a top.

EXAMPLE

Over the last 14 days, Kiran Foods Ltd rose on 9 days by a total of Rs 36 and fell on 5 days by a total of Rs 12. Both totals are divided by 14, so the 14s cancel: the gain-to-loss ratio is $36 \div 12 = 3$, and $RSI = 100 - 100 \div (1 + 3) = 100 - 25 = 75$. (Formula books call this ratio RS; it is not the relative strength vs NIFTY 50 you will meet on Day 11. Platforms smooth later readings, so your chart may show a slightly different number.) That 75 says only one thing: buyers have been stronger lately. It says nothing about tomorrow. When Aman sold at RSI 70, he read a speedometer as a stop sign; the chart below replays that sale.

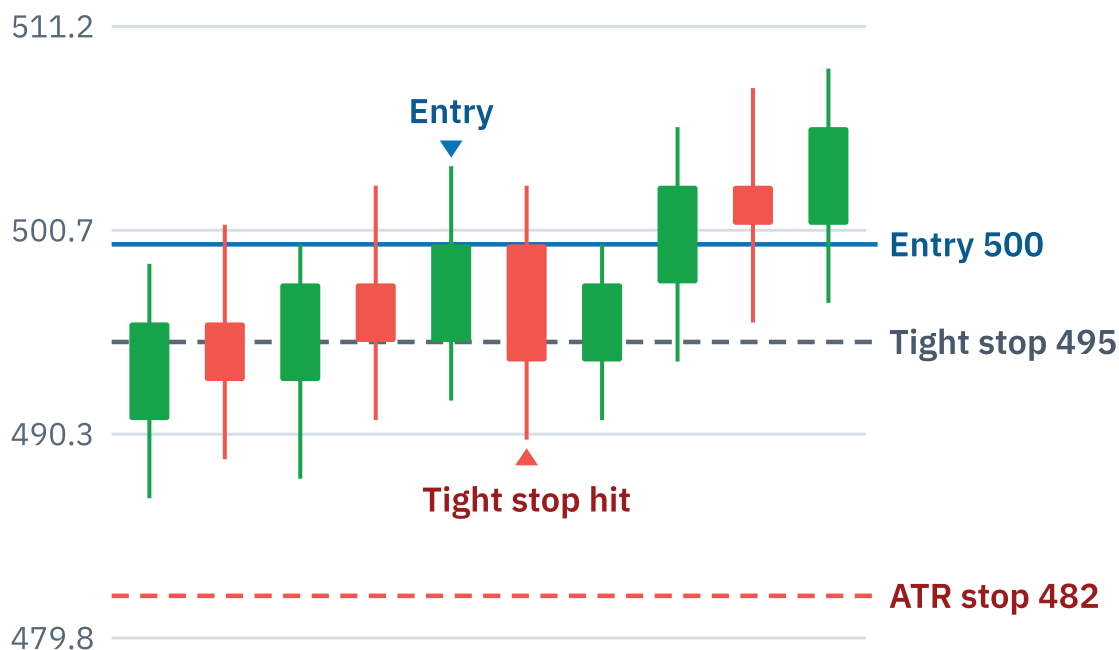
Remember: A high RSI means a strong run, not a coming fall.

04 ATR 14: how big the normal wiggle is

ATR (Average True Range) measures how far price usually travels in one candle: size, never direction. Each candle's true range is the largest of three distances: high to low, previous close to high, and previous close to low. So gaps count: if yesterday closed at Rs 100 and today trades only between Rs 105 and Rs 108, the high-low range is Rs 3 but the true range is Rs 8. ATR 14 is a smoothed average of the last 14 true ranges on your chart, so on a daily chart it is a typical day's move and on a 15-minute chart a typical 15-minute move. Its main use is keeping your stop-loss outside the normal day-to-day wiggle, which traders call noise: the Day 11 swing strategy puts the stop $1.5 \times ATR$ below entry. It is also the ruler for Day 6's zones: a zone is usually no wider than about $1 \times ATR$.

Stop inside vs outside the noise

ILLUSTRATIVE



ATR 14 here is Rs 12. The entry is at the close of the entry candle, so the stop lines count only after that close. The next ordinary dip hit the tight stop at Rs 495; the 1.5 x ATR stop at Rs 482 was not touched. Price could just as easily have kept falling to Rs 482.

EXAMPLE

Gupta Cement Ltd is at Rs 500 on the daily chart and its ATR 14 is Rs 12, so an ordinary day moves it about Rs 12. A stop at Rs 495, just Rs 5 away, sits inside that everyday wiggle. The course's swing stop is $1.5 \times \text{Rs } 12 = \text{Rs } 18$ below entry: $\text{Rs } 500 - \text{Rs } 18 = \text{Rs } 482$. In the chart, one ordinary dip to Rs 490 hit the tight stop, while the ATR stop stayed clear of the noise. A wider stop also means a bigger loss if it is hit, which is exactly why tomorrow's lesson sizes the position around it.

Remember: ATR tells you how far price wanders, not where it is going. Keep your stop beyond the normal wiggle.

05 VWAP: the day's volume-weighted average, intraday only

VWAP (volume-weighted average price) is the day's average price in which every price counts in proportion to the number of shares traded at it. The formula: add up (price x volume) for every trade since the 9:15 open, then divide by the total volume since the open. It restarts every morning, which makes it an intraday tool; on a daily or weekly chart each candle is already a whole day or more, so this course does not use it there. Large institutions use it as a yardstick to judge whether they bought or sold at a fair price for the day. Price holding above VWAP is commonly read as buyers being in charge that day, and below it as sellers in charge; treat that as a rough reading, not a rule. In this course VWAP is used only on intraday charts, for example as one of the checks in the optional ORB strategy on Day 13.

VWAP of the first hour

	100 shares x Rs 200	Rs 20,000
+	300 shares x Rs 202	Rs 60,600
+	600 shares x Rs 205	Rs 1,23,000
=	Total value	Rs 2,03,600
÷	Total shares	1,000
=	VWAP	Rs 203.60

Made-up trades in Sharma Textiles Ltd. The plain average of the three prices is Rs 202.33; VWAP leans towards Rs 205, where most shares changed hands.

EXAMPLE

Picture the sabzi mandi at 10 am. A trader sells 10 kg of tomatoes at Rs 20 a kilo, then 30 kg at Rs 22, then 60 kg at Rs 25. The plain average of the three prices is Rs 22.33, but most of the tomatoes went at Rs 25. The volume-weighted average is $(200 + 660 + 1,500) / 100 \text{ kg} = \text{Rs } 23.60$ a kilo. Charting sites do the same sum candle by candle from 9:15, so their VWAP is a close approximation.

Remember: VWAP is the day's average price weighted by volume. It restarts at every open, so use it on intraday charts only.

06 The 4-tools rule: fewer dials, clearer eyes

Indicator overload is the habit of adding tool after tool, hoping the next one will remove all doubt. It backfires. Most indicators are cooked from the same closing prices, so when they agree it is one opinion repeated, and when they disagree you freeze, or quietly pick the one that says what you want to hear. This course keeps four tools: the EMA 20/50 pair counts as one, then RSI 14, ATR 14, and VWAP on intraday charts only. Platforms come with their own default settings, so open each tool's settings and type these numbers yourself. For every tool, write a four-line card: what it measures, when it helps, when it misleads, and how this course uses it; a tool whose limits you cannot write down does not stay on your chart. A filled model card for all four tools is in Today's task, under Your template.

Diwali-lights chart vs clean chart

11 indicators

- Mostly built from the same closes
- Agree together, fail together
- Clashing signals freeze you
- You pick the one you like

4 tools

- EMA 20/50: which side to watch
- RSI 14: how strong the move is
- ATR 14: how much it wiggles
- VWAP: the day's average, intraday

The four are built from price too (VWAP adds volume). The difference: each one answers a different question.

EXAMPLE

Think of a car dashboard. The speedometer (RSI) shows how fast you are going, the rear-view mirror (the EMA pair) shows the road behind you, and the bumpiness of the road (ATR) tells you how much room to leave. Add ten more dials and you stop looking at the road. Aman's 'seven green lights' were mostly one closing price read seven ways, which is why they turned green together, and later turned red together.

Remember: Four tools you understand beat eleven you follow blindly.

Words from today

Lag

The delay built into every indicator, because it is calculated from prices that have already traded.

SMA and EMA

Moving averages of recent closes. SMA counts every day equally; EMA gives recent days more weight, so it turns sooner.

Crossover and whipsaw

A crossover is the moment EMA 20 crosses EMA 50. In a sideways market the lines cross again and again, and each false flip, which hands you a small loss, is a whipsaw.

RSI 14

A 0-100 momentum gauge that compares average gains with average losses over 14 candles. High does not mean sell.

Overbought / oversold

Names for RSI above 70 and below 30. They describe a strong run, not a signal: in a strong trend RSI can stay above 70 for weeks.

ATR 14 and true range

True range is a candle's full move, gaps included; ATR 14 averages the last 14. It shows how much price moves, not which way.

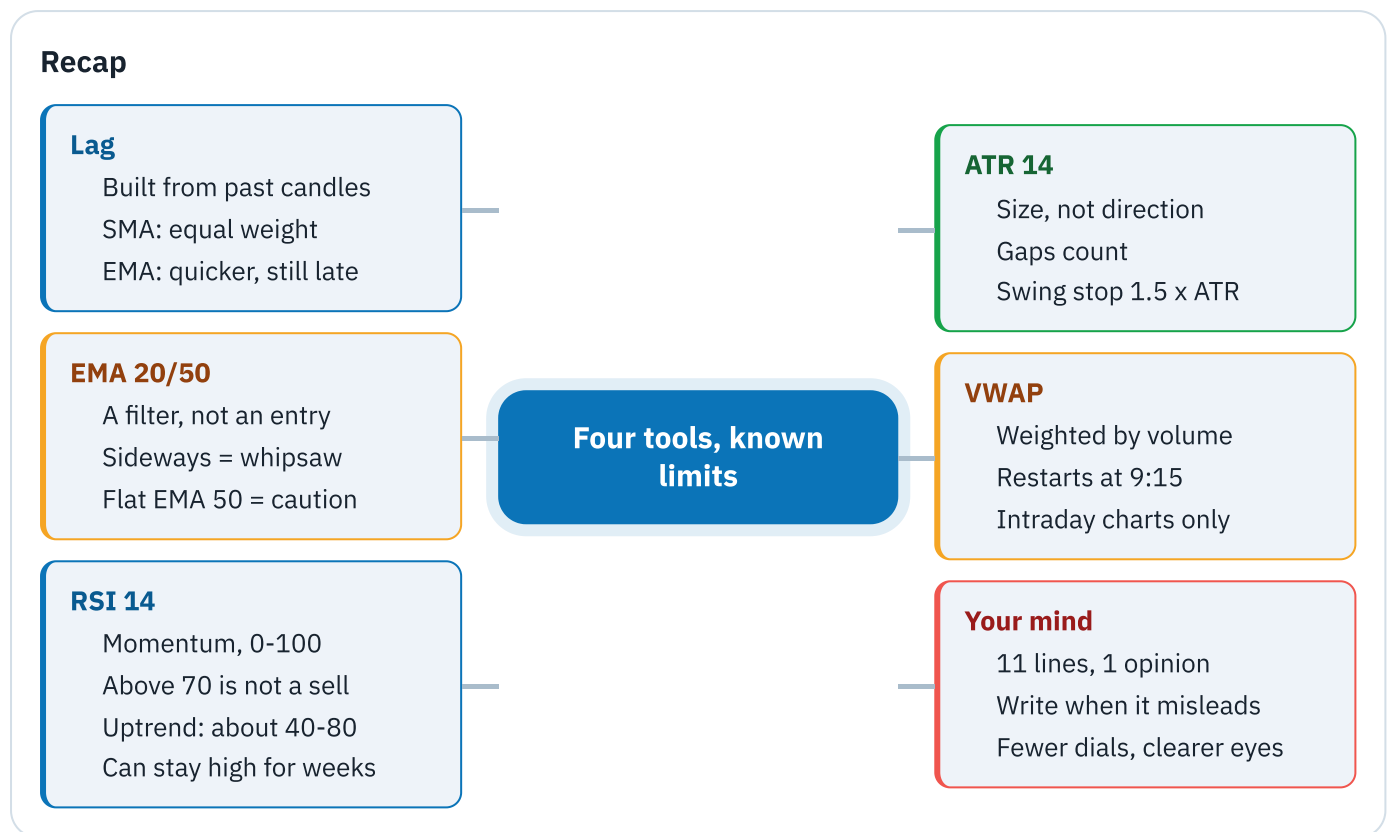
Noise

The normal day-to-day wiggle in price. A stop placed inside it gets hit by ordinary moves, so the course keeps the swing stop $1.5 \times \text{ATR}$ away.

VWAP

The total of (price x volume) divided by total volume since the open. An intraday average that restarts every day.

Recap map



Today's task

40 min

Strip your chart down to the four tools and check an AI-drafted 'when it misleads' card for each.

- ☐ Open a free TradingView chart of NIFTY 50 on the daily timeframe and remove every indicator already on it.
- ☐ Add EMA 20, EMA 50, RSI 14 and ATR 14, typing each length yourself. If the free plan allows fewer indicators, use one Moving Average Ribbon instead: set lines 1 and 2 to type EMA with lengths 20 and 50, hide the other two, and add RSI and ATR one at a time.
- ☐ Scroll back to one sideways stretch where the two EMAs crossed back and forth, and write its start and end dates in your Chart notes (Your template).
- ☐ Read the latest ATR value and fill the two ATR lines in your Chart notes: NIFTY 50's normal daily move in points, and 1.5 times it.
- ☐ Open a 5-minute chart of any NIFTY 50 company (an index has no volume of its own, so it has no VWAP), remove RSI or ATR if the free plan needs room, add VWAP, and scroll back to see it restart at 9:15 each day.
- ☐ Run the AI Lab prompt 'When does it mislead?', compare its four cards with the model Tool Card in Your template, and change any Fact / Guess / Kachra label you disagree with.

YOUR TEMPLATE

Tool Card: the model answer

Check the AI's four cards against this one. Before you add any fifth tool, fill the blank row for it; if you cannot fill 'Misleads when', it stays off your chart.

Tool	Measures	Helps when	Misleads when	Course use
EMA 20/50	Trend direction, smoothed and late	A clear trend on the daily chart	Sideways markets: flat lines, whipsaw crosses	Filter only: EMA 20 above a rising EMA 50
RSI 14	Momentum: recent gains vs losses, 0-100	Spotting a dip inside an uptrend	Strong trends: above 70 for weeks, still not a sell	Day 11: a dip to about 40-50 in an uptrend
ATR 14	Typical candle size, gaps included	Placing a stop outside the noise	Read as direction; it jumps after news or gaps	Swing stop 1.5 x ATR below entry
VWAP	The day's volume-weighted average price	Intraday: is price above or below the day's average?	Daily charts, indices (no volume), the first minutes	Intraday only: one check in Day 13's ORB

Chart notes

Fill the last column as you do steps 1 to 5. Write what your chart shows, not what you expect it to show.

Check	What to write	Mine
Removed lines (step 1)	Each indicator you took off, and what it really measured	
Sideways stretch (step 3)	Start and end dates, and how many EMA crosses	
ATR 14 (step 4)	NIFTY 50 normally moves about ___ points a day	
1.5 x ATR (step 4)	That ATR x 1.5 = ___ points: the swing stop distance	
VWAP (step 5)	Did VWAP restart at 9:15 each day? Yes / No	

Answer key: 'Check my maths'

Run the AI Lab prompt 'Check my maths', then tick each AI answer against this key. If they differ, find the step

that went wrong before you trust either.

Question	Working	Answer
(a) SMA 5	$(100 + 102 + 104 + 106 + 118) \div 5 = 530 \div 5$	Rs 106
(b) VWAP	Rs 2,03,600 $\div$ 1,000 shares; plain average $(200 + 202 + 205) \div 3 =$ Rs 202.33	Rs 203.60
(c) RSI	$36 \div 12 = 3$; $100 - 100 \div (1 + 3) = 100 - 25$	75
(d) Stop, 1.5 x ATR	$1.5 \times \text{Rs } 12 = \text{Rs } 18$; Rs 500 - Rs 18	Rs 482
(e) True range, gap day	Previous close 100, high 108, low 105. High - low = 3; high - previous close = 8; low - previous close = 5. Take the largest.	Rs 8

OUTCOME

By the end you can explain why every indicator lags, set up EMA 20/50, RSI 14 and ATR 14 (plus VWAP on intraday charts), say what each one measures and when it misleads, check an AI-drafted tool card against a model, and work out an RSI reading, a true range, a VWAP and a 1.5 x ATR stop distance by hand.

TOOLS

- TradingView free chart
- Google Sheets or paper
- Phone calculator
- Any AI chat

WITH YOUR BATCH

The Diwali Lights award: classmates share a screenshot of their most crowded old chart next to their clean four-tool chart. The busiest 'before' chart wins, and its owner explains what each removed line was really measuring. Use a NIFTY 50 chart for both screenshots, so no stock chart circulates in the group. On a free plan that allows only a few indicators, list the lines you used to watch instead of a 'before' screenshot.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names and chart prices are made up for illustration. No affiliation with any charting site named. Stage 1 uses virtual money only. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

When does it mislead?

You are a patient teacher of technical analysis for Indian beginners who study only NSE cash-market shares and indices, with no futures or options. For each of these four tools, EMA 20 and EMA 50 used as one pair, RSI 14, ATR 14, and VWAP on intraday charts, write a four-line card: (1) what it measures, in one plain sentence; (2) when it tends to help; (3) three market conditions in which it misleads, such as sideways markets, gap days or big news days; (4) how a beginner course uses it: the EMA pair as a daily trend filter, RSI 14 as a momentum check, ATR 14 to place a stop $1.5 \times \text{ATR}$ away, and VWAP on intraday charts only. Do not suggest any additional indicator. Keep each line under 25 words. Label every claim Fact (a standard definition I can check), Guess (a rule of thumb that may not hold) or Kachra (a popular myth), and add at least two popular myths about these tools, labelled Kachra. If you need an example, use a made-up company name, never a real listed company. Do not recommend any stock, do not give buy or sell advice, and do not mention targets or expected returns.

Check my maths

Act as a careful maths tutor. Use only the numbers I give and show every step. (a) Five daily closes: 100, 102, 104, 106, 118. Calculate the 5-day simple moving average. (b) In one morning, 100 shares traded at Rs 200, 300 at Rs 202 and 600 at Rs 205. Calculate the VWAP and the plain average of the three prices, and explain the difference in two lines. (c) Over 14 days, total gains were Rs 36 and total losses Rs 12. Calculate the first RSI reading. (d) Entry Rs 500 and $\text{ATR } 14 = \text{Rs } 12$. Find the stop $1.5 \times \text{ATR}$ below entry. (e) Yesterday's close was Rs 100; today's high is Rs 108 and today's low is Rs 105. Give today's high-low range and its true range, showing all three distances. After each answer, show me a Google Sheets formula I can use to recheck it myself, and mark any step you are unsure of as Guess. These are made-up numbers for learning; do not give buy or sell advice, targets or return expectations.

Indicator myth buster

List 8 beliefs that Indian beginners commonly hold about chart indicators, for example 'RSI above 70 means sell', 'more indicators mean more confirmation', 'an EMA crossover is a buy signal', 'VWAP works on a daily chart' and 'ATR shows direction'. For each belief, label it Fact, Guess or Kachra, give a one-line correction in simple words, and describe one chart situation in which acting on the belief would hurt a learner. Keep to NSE cash-market shares and indices, and do not discuss futures or options. If you need an example, use a made-up company name, never a real listed company. Do not recommend any stock, do not give buy or sell advice, and do not mention targets or expected returns.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Which indicator did you trust most before today, or hear about most, and what does it actually measure? Write down one situation in which it would have misled you.

Write your answer here, then save it in the app's Journal tab.

Today you took lines off your chart instead of adding them. Knowing what a tool cannot tell you is where real chart reading begins.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Suppose you plan a practice buy of Gupta Cement Ltd at Rs 300 on the daily chart, and its ATR 14 is Rs 8. Where does this course's swing stop go?

- ☐ A Rs 292, which is Rs 8 below entry
- ☐ B Rs 284, which is Rs 16 below entry
- ☐ C Rs 288, which is Rs 12 below entry
- ☐ D Rs 312, which is Rs 12 above entry

Q2. In the first hour, 200 shares of Kiran Foods Ltd trade at Rs 100 and 800 shares trade at Rs 110. What is the VWAP so far?

- ☐ A Rs 108: each price weighted by the shares traded at it
- ☐ B Rs 102: Rs 100 plus 20% of the Rs 10 gap
- ☐ C Rs 105: exactly halfway between the two prices
- ☐ D Rs 110: the price where most shares traded

Q3. A stock is in a strong uptrend, and its RSI 14 has stayed above 70 for two weeks while price kept making higher highs. What does that RSI reading tell you by itself?

- ☐ A The trend is over and the top is already in place
- ☐ B A fall is due soon, so it is time to exit now
- ☐ C Buyers are exhausted and sellers have taken control
- ☐ D Recent gains have far outweighed recent losses

Q4. For six weeks a daily chart moves sideways, and EMA 20 crosses EMA 50 four times. Looking back, Aman finds that acting on every cross would have lost money most of the time. What is the best explanation?

- ☐ A He needed three more indicators to confirm it
- ☐ B In a sideways market the EMA pair whipsaws
- ☐ C EMAs work only on intraday charts
- ☐ D His lengths were wrong; 9 and 21 would fix it

Q5. Aman has 11 indicators on his chart, and 7 of them flash 'buy' on the same day. Why is this weaker evidence than it looks?

- ☐ A Indicators only work on weekly charts, not daily
- ☐ B Most are built from the same past prices
- ☐ C Seven is too few; all eleven must agree
- ☐ D A signal counts only if RSI is also below 30

Risk first: the 1% rule and position sizing

Concept: The 1% rule, position sizing and the limits that keep you in the game

AI Lab: Build a sizing sheet; let AI check the formulas

Mindset: 'This time I'll bet big'

This time, big

Monday, 7:30 am. Over his morning chai in Pune, Aman has found a chart he loves, and he calls the mentor before leaving for office. Priya joins from Lucknow with her notebook open.



Aman

Sir, after the Rs 500 zone broke, Bharat Pumps has now bounced from Rs 400 three times. When paper trading starts, I'm going big: Rs 5 lakh, half of my Rs 10 lakh practice capital. That's 1,250 shares.



Priya

And if Rs 400 breaks this time? Where do you get out, and how much does that cost?



Aman

Stop-loss at Rs 380. Only Rs 20 a share. That's a small risk.



Mentor

First a question, Aman. What is Rs 20 on 1,250 shares? And if bad news comes overnight and it opens at Rs 360, can your stop still sell at Rs 380?



Priya

Rs 25,000 if the stop works. If it opens at Rs 360, Rs 50,000, in one morning.

The lesson: The chart tells you where to get out; it never tells you how much to buy. That comes from a formula, and size is the one part of a trade fully in your hands.

Learn

01 The 1% rule: decide the loss before the trade

Before any trade, decide the most you will lose if you turn out to be wrong. This course fixes that at 1% of your capital, the money you have set aside for trading. On Day 3 you met 1R, your planned loss if the stop is hit; from today 1R has a set size: 1% of your starting capital, which is Rs 10,000 on the Rs 10 lakh challenge capital. That Rs 10,000 stays fixed for the whole challenge: it does not grow after wins or shrink after losses, so every trade in your journal is measured with the same ruler. The rule does not decide how much money goes into a trade. It decides how much that trade is planned to take from you if the stop-loss is hit. Small losses keep you in the game long enough to judge a method fairly: at least 30 trades, and 100 for confidence.

Ten losses in a row



Capital left after 10 straight losses, when each loss is a fixed amount set at the start, like the course's fixed 1R. At 5% a trade, half the capital is gone and you need +100% to get back; at 10%, nothing is left.

EXAMPLE

Two chai-stall owners in Lucknow each keep Rs 10,000 in the galla, the cash box, for trying new items. Ramesh bets Rs 1,000 on every new idea, 10% of his starting galla; Salim bets Rs 100, just 1%. In two bad monsoon weeks, ten ideas flop in a row, a longer streak than the seven you met on Day 3. Ramesh's galla is empty: the eleventh idea, which might have been the hit, never gets tried. Salim still has Rs 9,000 and needs only about 11% to get back to Rs 10,000. Same bad luck, very different futures.

Remember: 1% is the most you plan to lose on one idea, not the amount you invest.

02 The sizing formula: stop first, quantity second

Position size means how many shares you buy, and it comes from three small steps. First, risk budget = capital $\times$ 1%. Second, risk per share = the distance between your entry price and your stop-loss price. Third, quantity = risk budget $\div$ risk per share, rounded down to a whole share, because rounding up would break the 1% limit. Notice the sequence: you cannot size a trade until you know its stop. Where the stop goes comes from the chart: Day 6's swing lows, or Day 8's 1.5 $\times$ ATR distance, which Day 11 builds into the swing rule.

Aman's trade, sized properly

Capital	Rs 10,00,000
x Risk per trade	1%
= Risk budget (1R)	Rs 10,000
$\div$ Risk per share (400 - 380)	Rs 20
= Quantity (shares)	500

500 shares $\times$ Rs 400 = Rs 2,00,000, 20% of capital. Aman's 1,250 shares would be Rs 5,00,000, 50%: twice the 25% cap in the next topic.

EXAMPLE

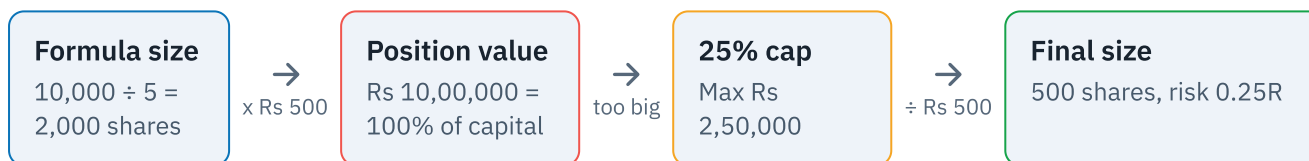
In Day 8's quiz, Gupta Cement Ltd had its stop Rs 12 below a Rs 300 entry: $\text{Rs } 10,000 \div 12 = 833.3$, so 833 shares. Priya sizes a practice trade in Kiran Foods Ltd on her Rs 10 lakh virtual capital: entry Rs 250, stop Rs 237. Risk per share is Rs 13. $\text{Rs } 10,000 \div 13 = 769.2$, so she buys 769 shares, and her planned risk is $769 \times \text{Rs } 13 = \text{Rs } 9,997$, just inside 1R. Rounding up to 770 would risk Rs 10,010. On a Rs 1 lakh account the same trade would be $\text{Rs } 1,000 \div 13 = 76$ shares: the formula scales with your capital.

Remember: Stop first, size second. The formula decides how many shares, not your mood.

03 The 25% cap: when a tight stop asks for too much

The formula has one weak spot. When the stop is very close to the entry, risk per share is tiny, so the formula asks for a huge quantity. So the course adds a second limit: no single position may be worth more than 25% of your capital, which is Rs 2.5 lakh on Rs 10 lakh. Position value is quantity $\times$ entry price. Check it the evening before, at your maximum planned entry, the highest price you are willing to pay tomorrow (Day 11 shows how to set it), never at whatever price the market happens to open at. Size with the formula, check the cap, and take the smaller quantity. Leverage, where a broker lets you take a position bigger than your cash, changes neither limit: both are measured on your own capital.

Formula, then cap



Sharma Textiles Ltd: a Rs 5 stop looks safe, but the formula alone would put all your capital in one stock.

EXAMPLE

Sharma Textiles Ltd: maximum entry Rs 500, stop Rs 495, so risk per share is only Rs 5. The formula says $\text{Rs } 10,000 \div 5 = 2,000$ shares, worth Rs 10 lakh: your entire capital in one stock. The cap allows $\text{Rs } 2,50,000 \div 500 = 500$ shares, so the planned risk drops to $500 \times \text{Rs } 5 = \text{Rs } 2,500$ (0.25R). Now suppose bad news makes it open at Rs 450. Uncapped, the loss is $2,000 \times \text{Rs } 50 = \text{Rs } 1,00,000$, 10% of capital in one morning. Capped, it is Rs 25,000 (2.5R): painful, but survivable.

Remember: Formula first, then the 25% cap. Always take the smaller quantity.

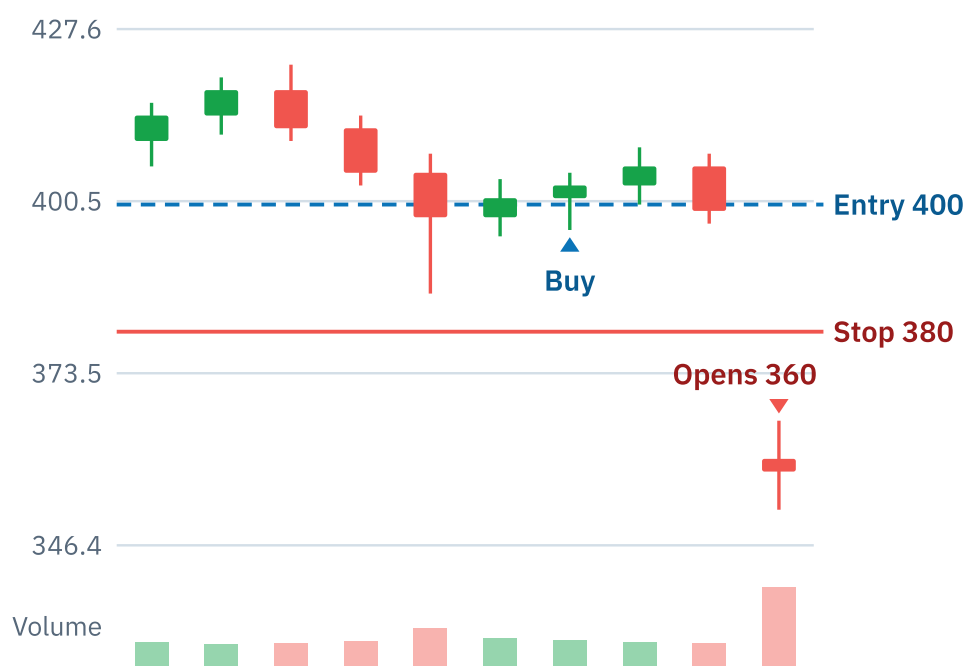
04 Stops that slip: gaps, circuits and slippage

A stop-loss is the price where you plan to exit, not a promise of the price you will get (Day 2). A gap can jump over it: bad news arrives after the market closes and the stock opens far below your stop. An SL-M (stop-loss market) order then sells near that opening price, or the broker rejects it and you sell yourself (Day 2), and an SL (stop-loss limit) order may not sell at all. A circuit can trap you: at the lower price band there are hardly any

buyers, and your sell order just waits in the queue. Slippage adds a little more: in a fast fall a market order fills a little below your trigger. This is one more reason for 1%: a 2R surprise then costs 2% of capital, while at 10% risk the same surprise costs 20%.

A gap jumps the stop

ILLUSTRATIVE



The stop was at Rs 380, but the first price after the news was Rs 360. Loss: 2R, not 1R.

EXAMPLE

Suppose Aman takes the correctly sized trade on paper: 500 shares of Bharat Pumps Ltd at Rs 400, stop Rs 380, so 1R = Rs 10,000. Weak results come out in the evening, and the next morning the pre-open sets the opening price at Rs 360. His SL-M stop, which he places each evening as an AMO, reaches the exchange only at 9:15, with its trigger already above the price. Many brokers reject a sell stop like that, so he has to sell himself; some systems trigger it at once instead (Day 2). Either way he sells near Rs 360: the loss is $500 \times \text{Rs } 40 = \text{Rs } 20,000$, which is 2R, or 2% of capital. That one gap also hits the -2R daily stop, so he is done for the day, but he is still trading next week. With his first plan of 1,250 shares, the same morning would have cost Rs 50,000 (5R).

Remember: Your stop sets the plan; gaps and circuits can move the real exit. Size small enough to survive both.

05 Three open trades, and trades that fall together

Two more limits protect the account as a whole. First, keep at most 3 trades open at a time, so no more than 3R, about 3% of capital, is planned risk at once; with the 25% cap, at least a quarter of your capital also stays in cash. Second, watch correlation, which means how closely two shares tend to move together. Shares in the same sector, meaning the same line of business, such as three banks, react to the same news, so three bank trades are really one big bet on banks. A simple check: if two open trades would fall on the same headline, treat them as one bigger bet whose risks add up, not as two separate trades, and spread your open trades

across different sectors. To find a stock's sector, open its quote page on the NSE website, which shows the sector and industry of every listed share (your charting site's symbol page usually shows it too; check NSE for the latest). Write the sector next to every open trade, and before adding a new one, skip it if that sector is already on your list.

Three trades, or one big bet?

3 bank trades

- Same sector, same news
- One headline hits all three
- 3R or more in one morning

3 different sectors

- Bank, cement, pumps
- One headline hits one trade
- Usually one stop, not three

A market-wide fall can still hit all three. Spreading across sectors reduces this risk; it does not remove it.

EXAMPLE

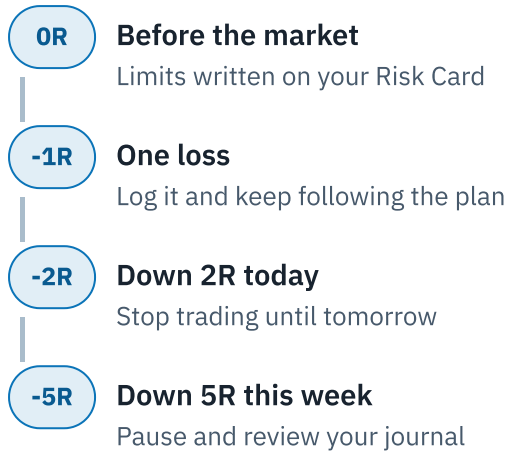
Picture Aman's first week of paper trading: three open trades, 1R each, and all three are bank shares. One evening a negative headline hits the whole banking sector. Next morning all three stops are hit in the first few minutes: at least 3R, Rs 30,000, gone before he can think. Priya also has three trades, in a bank, a cement maker and a pump maker. The same headline most likely hits only her bank trade: at least 1R, not 3R. Names can hide a match: Kiran Foods Ltd and Anand Snacks Ltd sound different, but both are in the food products business, so one jump in cooking-oil prices could hurt both. That is why the check is the sector, not the name.

Remember: Trades that fall on the same news count as one bigger bet. Check the sector, not the name.

06 The daily stop, and the urge to bet big

'This time I'll bet big' usually strikes at two moments: after a few wins, when you feel sure, and after a few losses, when you want the money back fast. In both moments the feeling is loudest and judgement is weakest, so size never follows confidence; it follows only the formula. The course also gives you an emergency off switch, the kill-switch for humans: after -2R in a day (two full losses, which is -2% when you risk 1%), you stop trading until the next day, with no 'one last trade to recover'. After -5R in a week, pause and read your journal before the next trade. Changing any rule is weekend work, done in writing, never during market hours.

The loss ladder



All five limits are on your Risk Card in Today's task. This ladder shows what each loss level means for the rest of your day and week; write the card before the market opens, while you are calm.

EXAMPLE

Picture a challenge day on which Aman has taken leave from office. By 11 am Aman has lost two full trades: -Rs 20,000, or -2R. A new chart looks perfect, and he wants to take it at double size, Rs 20,000 of risk, 'to get it all back'. If that one also fails, his day ends at -4R, Rs 40,000. With the kill-switch he closes the app at -2R, 2% of capital, and tomorrow he starts fresh at the normal 1R size.

Remember: Size comes from the formula, never from how sure you feel.

Words from today

1R (risk per trade)

The planned loss on one trade if the stop is hit: 1% of starting capital, Rs 10,000 on Rs 10 lakh, fixed for the whole challenge.

Risk per share

The distance between your entry price and your stop-loss price.

Position size

How many shares you buy: risk budget ÷ risk per share, rounded down, then cut to the 25% cap if needed.

Exposure cap

The most one position may be worth: 25% of capital, Rs 2.5 lakh on Rs 10 lakh, checked the evening before at your maximum planned entry.

Correlation

How closely two shares move together. Correlated trades behave like one bigger bet.

Sector

The line of business a company is in, such as cement, banks or food products. The NSE quote page of every listed share shows it.

Kill-switch for humans

The daily stop: after -2R in one day (Rs 20,000 on the challenge capital), no more trades until the next day.

Weekly pause

After -5R in one week (Rs 50,000 on the challenge capital), stop and read your journal before the next trade.

Recap map

Recap

1% rule

1R fixed: Rs 10,000 on Rs 10 lakh
Caps planned loss, not investment
Helps you survive losing streaks

Sizing formula

Budget = capital x 1%
÷ entry-to-stop distance
Always round down

25% cap

Max Rs 2.5 lakh per position
Tight stops need it most
Take the smaller quantity
Checked at max entry

Risk first, size second

Stops can slip

Gaps jump over stops
Circuits trap sellers
Loss can exceed 1R

Account limits

Max 3 open trades
Same-news trades = one bet
-2R day stop, -5R pause and review
Check the sector first

Your mind

Confidence is not a size
No 'win it back' trade
Change rules only on weekends

Today's task

40 min

Build your own sizing calculator in Google Sheets, test it on four practice trades and write your Risk Card.

- ☐ Open a new Google Sheet. In A1 to A4 type Capital, Risk %, Max entry, Stop; in B1 to B4 type 1000000, 1%, 400, 380.
- ☐ In A5 to A7 type Risk budget, Risk per share, Quantity. In B5 type =B1*B2, in B6 =ABS(B3-B4), in B7 =ROUNDDOWN(B5/B6,0). In Sheets, * means multiply.
- ☐ In A8 to A10 type Position value, Cap check, Final quantity. In B8 type =B7*B3, in B9 =IF(B8>0.25*B1,"OVERSIZED","OK"), in B10 =MIN(B7,ROUNDDOWN(0.25*B1/B3,0)).
- ☐ Change only Max entry and Stop to test four trades: 400/380, 250/237, 500/495 and 300/288 (Day 8's 1.5 x ATR stop). Match every number with the 'Four test trades' table in Your template: only 500/495 says OVERSIZED, and its Final quantity is 500.
- ☐ Copy the Risk Card from Your template onto paper or into your sheet, in your own handwriting or words, and keep it next to your chart.

- ☐ Run the AI Lab prompt 'Check my sizing sheet', then recheck one of its answers yourself on a phone calculator.

YOUR TEMPLATE

Risk Card

Five limits, written while you are calm. The challenge uses the Rs 10 lakh column all through Stage 1; the Rs 1 lakh column shows that every limit scales with capital. If you ever start with a different amount, redo the numbers before the first trade.

Limit	Rule	On Rs 10 lakh	On Rs 1 lakh
Risk per trade (1R)	1% of starting capital, fixed	Rs 10,000	Rs 1,000
One position	At most 25%, at the max planned entry	Rs 2,50,000	Rs 25,000
Open trades	At most 3, each in a different sector	3R = Rs 30,000	3R = Rs 3,000
Daily stop	Stop for the day at -2R	-Rs 20,000	-Rs 2,000
Weekly pause	Pause and review at -5R	-Rs 50,000	-Rs 5,000
Signed	Your name and today's date		

Four test trades

On Rs 10 lakh at 1% risk, your sheet must show exactly these numbers. Use the blank rows for Size Sprint.

Max entry	Stop	Risk per share	Formula qty	Value at max entry	Final qty
Rs 400	Rs 380	Rs 20	500	Rs 2,00,000	500
Rs 250	Rs 237	Rs 13	769	Rs 1,92,250	769
Rs 500	Rs 495	Rs 5	2,000	Rs 10,00,000	500 (OVERSIZED)
Rs 300	Rs 288	Rs 12	833	Rs 2,49,900	833

Open-trades check

The filled rows are a model week. From Day 12, fill one row before every new paper trade, with the sector from the stock's NSE quote page. If that sector is already open, or 3 trades are already open, the new trade waits.

Stock	Sector	Planned risk	Decision
Gupta Cement Ltd	Cement	1R	Open
Kiran Foods Ltd	Food products	1R	Open
Anand Snacks Ltd	Food products	1R	Skip: same sector as Kiran Foods
Bharat Pumps Ltd	Pumps (capital goods)	1R	Open: third trade, new sector
Any 4th stock	-	1R	Wait: 3 trades already open

OUTCOME

By the end you can size any trade with the 1% formula, apply the 25% cap at your maximum entry, explain why a trade can lose more than 1R even with a stop-loss, check that no two open trades share a sector, and write the Risk Card of five limits you will follow from Day 12.

TOOLS

- Google Sheets
- Phone calculator
- Paper or notebook for the Risk Card
- Any AI chat
- NSE website, for a stock's sector

WITH YOUR BATCH

Size Sprint: ask a friend or family member to call out five entry and stop prices. Size each one on a phone calculator within 60 seconds and write it in the blank rows of 'Four test trades'. Score a point for every correct rounded-down quantity and every OVERSIZED you catch; speed alone earns nothing.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names and chart prices are made up for illustration. Stage 1 uses virtual money only. A stop-loss does not promise your exit price. No affiliation with any tool named. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Check my sizing sheet

You are a careful spreadsheet tutor for a beginner who is learning position sizing for Indian cash-market shares with virtual money only. I will paste the formulas from my Google Sheets sizing calculator. Inputs: capital, risk % per trade, maximum planned entry price, stop price. Outputs: risk budget, risk per share (the absolute distance between entry and stop), quantity rounded down to a whole share, position value (quantity x maximum entry), a cell that shows OVERSIZED when position value is above 25% of capital, and a final quantity that is the smaller of the formula quantity and the 25% cap quantity. Check each formula for mistakes and explain any error in simple words. Then work these four test cases by hand, showing every step, so I can compare with my sheet: capital Rs 10,00,000 and risk 1%, with maximum entry/stop of 400/380, 250/237, 500/495 and 300/288, and for each give the formula quantity, the position value, OK or OVERSIZED, and the final quantity after the 25% cap. Do not recommend any stock, do not give buy or sell advice, and do not mention targets or expected returns.

Stress-test my stop

Act as a patient risk teacher for Indian markets. On Rs 10,00,000 of virtual capital I plan a practice trade in a made-up NSE stock, 'Bharat Pumps Ltd': 500 shares at Rs 400 with a stop-loss at Rs 380, so $1R = Rs\ 10,000$. Describe five realistic situations in which my actual loss could be bigger than $1R$, for example an overnight gap, a lower circuit, slippage in a fast market, or an SL-limit order that does not fill. For each one, state an example price clearly and calculate the loss in rupees and in R . Label every statement Fact (how Indian markets work, checkable on the NSE or SEBI website), Guess (your assumption about prices) or Kachra (a popular myth). Finish with three habits that limit the damage. Do not recommend any stock, do not give buy or sell advice, and do not mention targets or expected returns. Do not quote any price-band or circuit percentage; say that the exchange sets the band for each stock and that I should check the NSE website. Use only this made-up company in every situation, and do not name any real company, index constituent or real news event.

The 'bet big' urge

Act as a calm trading-psychology coach. Ask me 5 short questions, one at a time, about the moments when I have wanted to increase my position size: after wins, after losses, or when a tip or a chart looked 'perfect'. After my answers, describe my pattern in plain words and help me write two if-then rules, for example 'If I feel very sure, then I still use the formula size'. Do not ask for any personal or financial details, do not suggest any stock or strategy, and do not give buy or sell advice, targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

When did you last feel 'this time I'll bet big', in markets or anywhere else? What were you feeling just before it? Write the one sentence you will say to yourself the next time that urge comes.

Write your answer here, then save it in the app's Journal tab.

You cannot control how the next trade ends. You can always control its size.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Priya has Rs 10,00,000 of virtual capital and risks 1% per trade. Her entry is Rs 320 and her stop is Rs 304. How many shares should she buy?

- ☐ A 781 shares
- ☐ B 3,125 shares
- ☐ C 625 shares
- ☐ D 31 shares

Q2. Entry Rs 800, stop Rs 796, capital Rs 10 lakh, risk 1%. The sizing formula gives 2,500 shares. What final size do the course rules allow?

- ☐ A 12 shares, the budget divided by price
- ☐ B 2,500 shares, exactly as the formula says
- ☐ C 1,250 shares, half of the formula size
- ☐ D 312 shares: the 25% cap, $\text{Rs } 2,50,000 \div \text{Rs } 800$

Q3. A week into paper trading, your virtual account shows Rs 9,70,000. You hold 400 shares of Kiran Foods Ltd bought at Rs 250, with the stop at Rs 225. After bad news the stock opens at Rs 205, and your stop sells at the open. What is the loss in R?

- ☐ A 1.8R: $\text{Rs } 18,000 \div \text{the fixed Rs } 10,000$
- ☐ B 1R, because the stop-loss caps the loss
- ☐ C About 1.86R: $\text{Rs } 18,000 \div \text{Rs } 9,700$
- ☐ D 0.8R: only the Rs 8,000 slip below the stop

Q4. Aman has three open swing trades, 1R each: Gupta Cement Ltd and two other cement makers. Which statement is most accurate?

- ☐ A It is safe, since each trade risks only 1R
- ☐ B Correlation matters only for intraday trades
- ☐ C It is really one big bet on cement shares
- ☐ D His risk is well spread over three stocks

Q5. On a day's leave from work, Priya has one trade open. The stock opens with a gap below her stop, and the exit costs her -2R. At 1:30 pm a clean setup appears that fits all her rules. What do the course rules say?

- ☐ A Take it, but only with a tighter stop
- ☐ B Take it at half size, just to be careful
- ☐ C Stop for the day: the -2R limit is hit
- ☐ D Take it: she has lost only one trade today

Your style, and the investing alternative

Concept: Trading styles by holding time, the right order for your money, and the investing path

AI Lab: Style Fit interview: AI asks, you decide

Mindset: Copying someone else's style

Five-minute charts in a meeting room

Monday evening. Aman calls the mentor from Pune, still in his office clothes. Priya joins from Lucknow.



Aman

Sir, today I copied the full-time trader I follow on YouTube: five-minute charts, quick in, quick out, trades noted in my notebook. Then my manager asked me something in the 11 o'clock meeting and I had no answer. When I checked my phone, the price had already fallen through my written stop-loss.



Mentor

Two questions, Aman. What hours does he trade? And what hours do you work?



Aman

He sits at home with three screens, 9:15 to 3:30. I am in office from 9:30 to 6:30... So I copied his style without having his day.



Priya

Sir, I get about 20 minutes after dinner. My father says I should forget trading and just start a SIP. Is investing only for people who cannot trade?



Mentor

You have both found the real question. Today we fit a style to your day, not to someone else's. And Priya, investing is a full path of its own, not a consolation prize. Before either, we check that your money is in the right order.

The lesson: A style copied from someone else's life breaks inside yours. Choose the one your own day can carry.

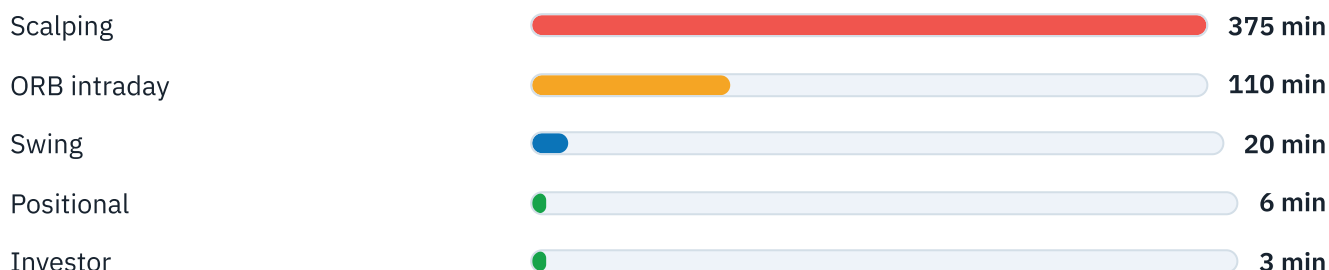
Learn

01 Four styles, four clocks

A trading style is mostly about how long you hold a position; this is called the holding period. There are four: intraday (same day), swing (a few days to a few weeks), positional (weeks to months) and investing (years). Scalping is the fastest kind of intraday, where a trade lasts minutes, and the optional Opening Range Breakout

(ORB) strategy (Day 13) needs you at the screen from 9:15 to 11:00 am, and again at 2:30 pm to close anything still open. Any intraday position still open near the close is squared off by the broker at a cut-off time the broker sets (check your broker's cut-off; Day 2). The shorter the holding period, the more screen time you need in market hours, and the more often you pay charges. Tax differs too (intraday profit is speculative business income; delivery gains are usually capital gains, Day 2), so keep your contract notes and ask a CA.

Screen time on a trading day



Illustrative minutes per trading day. Scalping fills the whole 9:15 am-3:30 pm session; ORB needs 9:15-11:00 am plus a short check at 2:30 pm to close anything still open, about 110 minutes; swing checks happen in the evening, after the close. Positional is about 30 minutes a week, an investor about an hour a month. Scalping and ORB are both intraday.

EXAMPLE

Think of each round trip, one buy plus one sell, as crossing a toll booth: charges and slippage are paid whether the trade wins or loses. Some charges apply on every order and some only on the buy or the sell side; your contract note shows which. A scalper doing 20 round trips a day crosses about 400 booths in 20 trading days. The EMA Pullback swing trader you will meet on Day 11 may cross about 5 in the same month, after roughly 20 minutes of chart work each evening. So the scalper crosses about 80 times as many booths, and every toll has to be earned back before a single rupee of profit. The tolls are not all the same size, because delivery and intraday are charged differently, but 80 times the crossings is a heavy load; your contract note shows the amounts.

Remember: Choose a style by the clock you actually own, not the one you wish you had.

02 The Style Fit check: your day, not theirs

Most beginners do not choose a style; they borrow one from a friend, a relative or a trader on YouTube. You see their screen, but not their free hours, their capital or their bad months, and you mostly hear from the ones who are still winning. A borrowed style breaks on the first busy morning, and then you break your own rules trying to keep up. So answer five honest Yes/No questions: a No on Q1 to Q4 removes the styles it names, a No on Q5 keeps real money out, and whatever survives is your fit. The check is about real money later; in Stage 1 everyone paper-trades the EMA Pullback Swing, which needs only an evening check, whatever the answers say.

Style Fit check: five questions

Q1 Free from 9:15 to 11:00, and briefly at 2:30 pm, on weekdays?

No: intraday and ORB are out. ORB needs 2:30 pm to close anything still open (Day 13); scalping needs the whole session.

Q2 About 20 minutes on most evenings, after the market closes?

No: swing is out

Q3 Calm holding a position overnight and over weekends?

No: swing and positional are out. Investing also rides out falls, but you check it once a month, not every night.

Q4 Happy to follow written rules and a journal?

No: all trading styles are out

Q5 At least 3 months' emergency fund, and no borrowed money for trading?

No: no real money, even after Stage 1

A No on Q1 to Q4 removes the styles named; a No on Q5 keeps real money out. If every trading style drops out, the investor path is a complete answer, not a consolation prize. Either way, Stage 1's paper challenge is the EMA Pullback Swing for everyone.

EXAMPLE

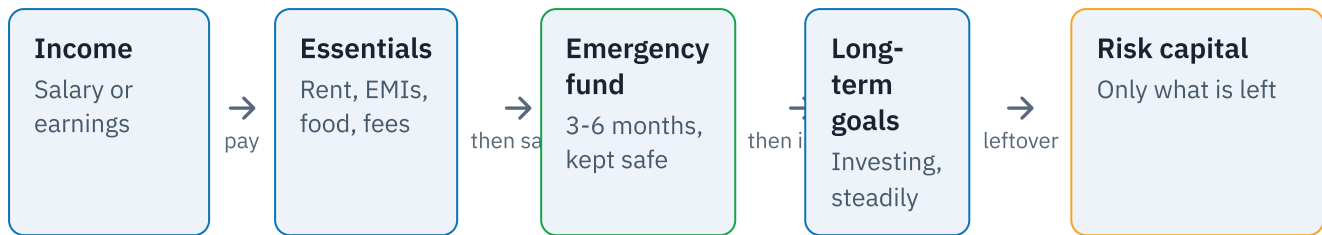
Aman's answers: office from 9:30 to 6:30, so Q1 is No and intraday and ORB are out. He has 20 free minutes after dinner (Q2 Yes), sleeps fine with an overnight position (Q3 Yes) and likes a written plan (Q4 Yes), but his emergency fund covers only two months so far (Q5 No). Swing, positional and the investor path survive; he picks swing, the course's default challenge strategy, because it uses his evenings. Stage 1 is paper for everyone, and even after it, no real money until the fund covers at least 3 months. Priya answers No to Q1 and Yes to the rest, so swing, positional and the investor path survive. Her father's SIP and her paper practice are not rivals: in the money order below, long-term investing comes before risk capital. Once you pick, stay with it; a style changed every week teaches nothing.

Remember: Your timetable chooses the style. Someone else's highlights do not.

03 Money in the right order: emergency fund first

Before any trading money, get the order right. First come the essentials you pay every month: rent, EMIs, food and fees. Next comes an emergency fund: money kept aside for a job loss, a hospital bill or a family need. Many planners suggest 3 to 6 months of essential expenses, kept somewhere safe and quick to withdraw, such as a savings account. Then come your long-term goals. Only what is left can be risk capital: money you could lose completely without changing your rent, your EMIs or your sleep. Borrowed money is never risk capital, whether it is a personal loan, a credit card, a gold loan, a family loan or a broker's margin facility (money the broker lends you to buy more shares), because the repayment is due whether your trade wins or loses.

Where each rupee goes first



Borrowed money never enters this chain. In Stage 1, your trading money is the Rs 10 lakh virtual account.

EXAMPLE

Aman spends Rs 30,000 a month on essentials, so 3 to 6 months means an emergency fund of Rs 90,000 to Rs 1,80,000; he has Rs 60,000 so far, only two months' worth. A colleague suggests a Rs 2 lakh personal loan 'to trade and repay from profits'. If one bad month costs 15% of it, that is Rs 30,000: Aman now holds Rs 1,70,000 but still owes the full Rs 2,00,000 plus interest, with an EMI every month. The loss is his, and so is the loan. In Stage 1 your trading money is the Rs 10 lakh virtual account, so none of this is at stake while you learn.

Remember: Emergency fund first, risk capital last, borrowed money never.

04 The investor path: mutual funds, index funds and ETFs

A mutual fund pools money from many people, and a fund house, called an AMC (asset management company), invests it under SEBI rules. You own units of the fund, and the NAV (net asset value) is the value of one unit, worked out once a day after the market closes. In an active fund a manager picks stocks and tries to beat an index; an index fund simply copies an index such as NIFTY 50. No copy is perfect: fees, cash kept for withdrawals and trading costs make its return wander a little from the index, and that wobble is measured as tracking error; the smaller it is, the closer the copy. An ETF (exchange traded fund) usually copies an index too, but it trades on the exchange like a share, at live prices, through a broker and a demat account. Every fund charges a yearly fee called the expense ratio; it is taken out of the fund a little every day, so the NAV you see is already after the fee. Which fund suits your own goals is a question for a SEBI-registered Investment Adviser, not for a tip, a friend or this course.

Three ways to own a basket

Active fund

- A manager picks stocks
- Tries to beat an index
- Usually a higher expense ratio
- Bought at the day's NAV

Index fund

- Copies an index, like NIFTY 50
- No stock-picking by a manager
- Usually a lower expense ratio
- Day's NAV, no demat needed

ETF

- Usually copies an index
- Trades on the exchange like a share
- Live price; needs broker and demat
- Check its spread and volume

Concepts only. Read each fund's actual expense ratio in its factsheet. Mutual fund investments are subject to market risks.

EXAMPLE

Priya works out, on paper, two ways to follow NIFTY 50 with Rs 5,000. Through a NIFTY 50 index fund, she would buy from the fund house or a fund app at that day's NAV; at a NAV of Rs 50 that is about 100 units (a tiny stamp duty comes off first, and which day's NAV she gets depends on the fund's cut-off time; her statement shows the exact figures), and no demat account is needed. Through a NIFTY 50 ETF, she would need a broker and a demat account, would buy during market hours at the live price, and would pay the bid-ask spread and the usual contract-note charges, like any share (Day 2). She also learns that each fund has a direct plan and a regular plan; the regular plan pays a distributor, so its expense ratio is higher.

Remember: An index fund copies the market. It does not promise to beat it, or to protect you from a fall.

05 SIP: investing on a timetable

A SIP (systematic investment plan) is not a product; it is a way of buying a mutual fund. You fix an amount and a date, and every month that amount buys units at that day's NAV. When the NAV is low the same money buys more units, and when it is high it buys fewer. The habit removes the daily question 'is today the right day to buy?', a question your mood answers too easily. A SIP does not promise profit: if the market falls and stays down, the value of your units falls too.

Rs 5,000 a month, three NAVs

	Month 1 units (Rs 5,000 ÷ NAV Rs 50)	100
+	Month 2 units (Rs 5,000 ÷ NAV Rs 40)	125
+	Month 3 units (Rs 5,000 ÷ NAV Rs 62.50)	80
=	Total units for Rs 15,000	305
=	Average cost per unit (Rs 15,000 ÷ 305)	Rs 49.18

The simple average of the three NAVs is Rs 50.83; the low month bought extra units. Illustrative NAVs, not a forecast. Stamp duty ignored.

EXAMPLE

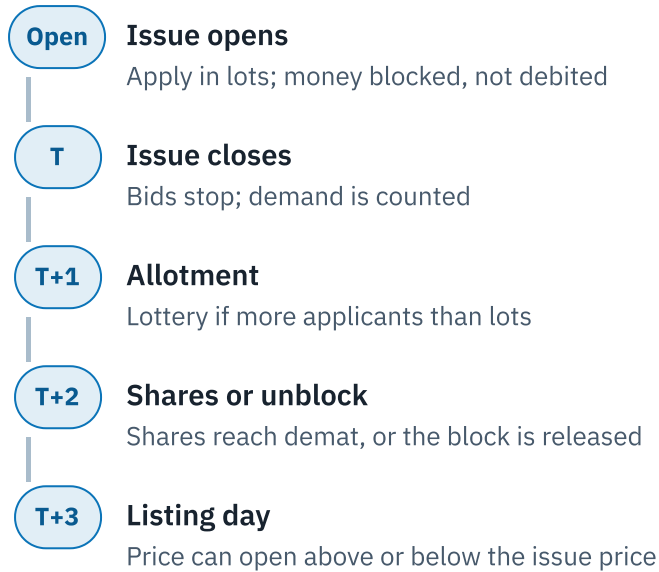
Priya tries the maths in Google Sheets: Rs 5,000 on the 5th of every month into a made-up index fund. The NAV is Rs 50 in month 1, Rs 40 in month 2 after a fall, and Rs 62.50 in month 3. She gets 100, 125 and 80 units: 305 units for Rs 15,000. Her average cost is about Rs 49.18 a unit, a little below the simple average NAV of about Rs 50.83, because the low month bought extra units. These NAVs are illustrative, not a forecast.

Remember: A SIP fixes your habit, not your result.

06 IPO basics: a company's first sale to the public

An IPO (initial public offering) is a company's first sale of shares to the public, after which the shares list on the exchange. The offer document, called the RHP (red herring prospectus), explains the business, the risks, and how much money goes to the company versus existing owners who sell. Before the issue opens, the company announces a lot size and a price band, the range you may bid in (not the daily circuit band of Day 1). You apply in lots through ASBA (application supported by blocked amount): your bank blocks the money, through net banking or a UPI mandate you approve, and debits it only if you get shares. If more small investors apply than there are lots for them, a computerised lottery picks who gets one lot, so many get nothing. The listing-day price can open above or below the issue price; an IPO needs a demat account, so in Stage 1 you only learn the process.

An IPO, step by step



T is the day the issue closes; days are working days under SEBI's current timeline. Check sebi.gov.in for the latest.

EXAMPLE

Walk through a made-up issue. A made-up company that is not yet listed sets an IPO price band of Rs 95 to Rs 100 and a lot of 150 shares, so one lot at the top of the band costs Rs 15,000. Suppose Priya applies: Rs 15,000 is blocked in her bank account, and nothing is debited yet. Far more retail investors apply than there are lots, the lottery does not pick her, and the block is released. Had she been picked, she would have got one lot, and its price could have opened above or below Rs 100. Grey-market premium (GMP) is an unofficial, unregulated number, not a price, and offers that promise you an allotment are scams; we take both apart on Day 14.

Remember: In an IPO your money is blocked, not spent, until allotment. Listing day can go either way.

Words from today

Holding period

How long you keep a position open: minutes (scalping), one day (intraday), days to weeks (swing), weeks to months (positional), years (investing).

Risk capital

Money you could lose completely without changing your rent, EMIs or sleep. Borrowed money never counts.

NAV

Net asset value: the value of one unit of a mutual fund, worked out once a day after the market closes.

Expense ratio

A fund's yearly fee, taken out of the fund a little each day. The NAV you see is already after it; the factsheet shows the actual figure. Documents often print it as TER (total expense ratio).

Index fund and ETF

Both usually copy an index. An index fund is bought at the day's NAV, with no demat account needed; an ETF trades on the exchange at live prices and needs a broker and demat.

Tracking error

How closely an index fund or ETF follows its index. Fees, cash kept for withdrawals and trading costs make its return wander a little; the smaller the tracking error, the closer the copy. The fund house website shows it.

SIP

Systematic investment plan: a fixed amount put into a mutual fund on a fixed date, usually monthly, at that day's NAV. A habit, not a promise of profit.

ASBA

Application supported by blocked amount: how you apply for an IPO. Your bank blocks the money, through net banking or a UPI mandate you approve, and debits it only if you get shares; otherwise the block is released.

Recap map

Recap

Four styles

Intraday: same day
Swing: days to weeks
Positional: weeks to months
Investor: years

Style Fit

Your clock, not theirs
A No removes the styles it names
Stay with one style
More trades, more tolls

Money priorities

Emergency fund first
Risk capital = a loss you can bear
Borrowed money: never

Your style, your money

Investor path

Index fund copies an index
ETF trades like a share
NAV and expense ratio
Your plan: ask a registered adviser

SIP and IPO

SIP: fixed amount, fixed date
No promise of profit
IPO: block, lottery, listing

Your mind

Copying a style borrows a life
Fit over excitement

Today's task

45 min

Find the style your real day allows, check the order your money goes in, and read one fund's NAV and expense ratio yourself.

- ☐ In Google Sheets or on paper, write your real weekday timetable from waking up to bedtime, hour by hour, including travel, meetings and dinner.

- ☐ Answer the five Style Fit questions with Yes or No in the 'Style Fit card' under Your template, and write in one line the style that survives.
- ☐ Fill the 'Emergency-fund worksheet': add up your essential monthly expenses, multiply by 3 and by 6, and note how much of that range you already have.
- ☐ On amfiindia.com, the website of AMFI (the mutual fund industry body), open the NAV section, pick a fund house and then its NIFTY 50 index fund, and note the latest NAV and its date.
- ☐ On the fund house website, open that fund's page or its latest factsheet and note the TER (total expense ratio) for the direct plan and the regular plan, and its tracking error if shown, in the 'Fund reading notes'.
- ☐ Run the AI Lab prompt 'Style Fit interview' and compare its answer with yours; where they differ, your timetable decides.

YOUR TEMPLATE

Style Fit card

Answer for the weekday you really have. Where the AI's answer differs from yours, your timetable decides.

Q	Question	Aman	You
Q1	Free 9:15-11:00 am, and at 2:30 pm, on weekdays?	No: intraday and ORB out	
Q2	About 20 minutes most evenings, after the close?	Yes	
Q3	Calm holding a position overnight and over weekends?	Yes	
Q4	Happy to follow written rules and a journal?	Yes	
Q5	3 months' emergency fund, and no borrowed money?	No: only 2 months so far	
Result	Styles that survive	Swing, positional, investor	
Money	Real money after Stage 1?	Not until the fund covers 3 months	
Now	Stage 1 paper challenge	EMA Pullback Swing	EMA Pullback Swing

Emergency-fund worksheet

Keep this fund somewhere safe and quick to withdraw, such as a savings account. Stage 1 needs none of it: your

trading money is the Rs 10 lakh virtual account.

Line	Aman	You
Essential expenses a month	Rs 30,000	
x 3 months (lower end)	Rs 90,000	
x 6 months (upper end)	Rs 1,80,000	
Saved so far	Rs 60,000	
Months covered (saved ÷ monthly essentials)	2	
Still needed for 3 months	Rs 30,000	
Borrowed money for trading	None	

Fund reading notes

Reading one fund's numbers is practice, not a recommendation. Which fund suits you is a question for a SEBI-registered Investment Adviser.

What to find	Where	Your note
Fund house and its NIFTY 50 index fund	amfiindia.com, NAV section	
Latest NAV and its date	amfiindia.com, NAV section	
TER, direct plan	Fund page or factsheet	
TER, regular plan	Fund page or factsheet	
Regular minus direct	Your own maths	
Tracking error, if shown	Fund house website	

OUTCOME

By the end you can name the four styles (intraday, swing, positional, investing) by holding period and screen time, pick the one your real day allows with the Style Fit check, put your money in the right order (emergency fund, then goals, then risk capital), and explain index funds, ETFs, NAV, expense ratio, tracking error, SIP and how an IPO works.

TOOLS

- Paper or Google Sheets
- AMFI website (amfiindia.com)
- A fund's factsheet
- SEBI website (sebi.gov.in)
- Any AI chat

WITH YOUR BATCH

Cricket-format game: with family or classmates, each person names the format their weekday really allows: super over (scalping), T20 (intraday), Test match (swing), a full series (positional) or a whole career (investing). Then each says which format they wanted before today, and why the two differ.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names, NAVs and IPO figures in this lesson are made up for illustration. Mutual fund investments are subject to market risks; read all scheme-related documents carefully. For advice on your own situation, consult a SEBI-registered Investment Adviser. Stage 1 uses virtual money only. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Style Fit interview

Act as a calm trading coach for a complete beginner in India. Interview me with 6 short questions, one at a time, to find a trading style that fits my real life: my weekday timetable from waking up to bedtime, my commute and meetings, how many minutes I can give in the evening after the market closes, how I feel holding a position overnight or over a weekend, whether I enjoy following written rules and keeping a journal, and whether my emergency fund covers at least 3 months and I have no borrowed money for trading; for this one I will answer only Yes or No, so do not ask for amounts. Use this rule: No to being free 9:15 to 11:00 am and briefly at 2:30 pm removes intraday and Opening Range Breakout; No to 20 minutes in the evening after the close removes swing; No to holding overnight removes swing and positional; No to following written rules removes all trading styles; No to the emergency-fund question removes no style but means no real money until the fund covers at least 3 months. Then list which of these styles survive: intraday (including Opening Range Breakout, which needs me free from 9:15 to 11:00 am and again at 2:30 pm), swing (such as an EMA pullback checked after the close), positional and the investor path. Tell me which answer ruled out each style, and leave the final choice to me. Remind me that this check is about real money later: in my course everyone paper-trades the EMA Pullback Swing on virtual money for now, whatever the result. Do not ask for my income, savings amount, PAN, account details or any personal identifiers. Do not recommend any stock, fund or broker, do not give buy or sell advice, and do not mention targets or expected returns.

Fund words, explained and checked

Explain these terms to a beginner in India in plain words, one short paragraph each, with a made-up example: mutual fund, AMC, NAV, expense ratio, direct plan vs regular plan, index fund, ETF, tracking error, SIP. Label every claim as Fact (checkable on the SEBI or AMFI websites or in a scheme's own documents), Guess (you are not sure, or it may have changed) or Kachra (a popular myth). Then list 5 myths beginners believe about SIPs and index funds and correct each in one line. Do not name or recommend any fund, fund house, stock or platform, do not say which option is best for me, and do not give buy or sell advice, targets or return expectations. End by reminding me that advice on my own situation should come from a SEBI-registered Investment Adviser.

IPO myth check

List 8 common beliefs that Indian beginners hold about IPOs, for example 'my money is debited as soon as I apply', 'applying for more lots always raises my chance of allotment', 'the grey market premium is an official price' and 'a big subscription number means the listing price will rise'. For each belief, label it Fact, Guess or Kachra, give a one-line correction in simple words, and name the official source (SEBI, NSE, BSE or the company's RHP) where I can check it. Do not mention or recommend any real IPO or company, do not give buy, sell or apply advice, and do not mention targets or expected returns.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Whose style were you quietly copying before today, and what does your real weekday timetable say instead? Write the style you chose, the one question that decided it, and whether your emergency fund covers at least 3 months.

Write your answer here, then save it in the app's Journal tab.

Choosing the style your real day can carry is not settling for less. It is choosing rules you can actually keep.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Aman's favourite YouTuber scalps five-minute charts from home all day. Aman is in office from 9:30 am to 6:30 pm, is free for 20 minutes after dinner, and sleeps fine with a position open overnight. Which style fits Aman's day?

- ☐ A Opening Range Breakout from 9:15 to 11:00 each morning
- ☐ B Scalping like the YouTuber, done from his office desk
- ☐ C Swing trading, planned in the evening after the close
- ☐ D Intraday trades squeezed in between his office meetings

Q2. Priya's SIP puts Rs 6,000 into a fund on the 5th of each month. The NAV is Rs 60 in month 1, Rs 40 in month 2 and Rs 50 in month 3. How many units does she own after three months?

- ☐ A 370 units: 100, then 150, then 120
- ☐ B 300 units: $\text{Rs } 18,000 \div \text{Rs } 60$
- ☐ C 360 units: $\text{Rs } 18,000 \div \text{the Rs } 50 \text{ average NAV}$
- ☐ D 450 units: $\text{Rs } 18,000 \div \text{Rs } 40$

Q3. Aman's essential expenses are Rs 30,000 a month and his emergency fund covers only two months. A friend says, 'Take a Rs 1 lakh personal loan, start trading and repay it from profits.' What is the sound step for Aman now?

- ☐ A Finish the emergency fund first and take no loan of any kind
- ☐ B Take the loan, but keep every trade small
- ☐ C Borrow from family instead, since it has no interest
- ☐ D Skip the loan and trade his Rs 60,000 of savings

Q4. Which statement about a NIFTY 50 index fund and a NIFTY 50 ETF is correct?

- ☐ A ETF: live exchange price. Index fund: the day's NAV.
- ☐ B Both need a demat account and can be bought only in lots
- ☐ C Index fund: live exchange price. ETF: the day's NAV.
- ☐ D Both copy NIFTY 50, so both will beat it after costs

Q5. Suppose Priya applies for one lot in a made-up IPO through UPI. The retail part is heavily oversubscribed and the lottery does not pick her. What happens to her money?

- ☐ A It stays blocked, ready for her next IPO
- ☐ B She gets a part-lot worth the same amount
- ☐ C The block is released; nothing was debited
- ☐ D It is debited now and refunded after listing

Strategy #1: the EMA Pullback Swing

Concept: EMA Pullback Swing: exact rules for trend, pullback, strength, signal, entry, stop, size and exits

AI Lab: Screener condition writer: AI drafts, you verify on real charts

Mindset: Impatience: chasing a train that has left

Strategy: EMA Pullback Swing

The train that already left

Wednesday, 8:30 pm. Aman is just back from office in Pune. Priya joins the mentor's video call from Lucknow.



Aman

Sir, Kiran Foods jumped 7% today, and I found out only after work. Tomorrow at 9:15 I'm buying at whatever price, before it runs away again.



Mentor

Aman, at a railway station, if your train has already started moving, what do you do?



Aman

I run and jump in, sir... That is exactly how I bought last month. It fell the very next week, and I sold at a loss.



Priya

Sir, is there a calmer way to catch the same trend, like boarding at the next station?



Mentor

There is, Priya. Stocks in an uptrend often pause and dip back towards their EMA 20. Sometimes the trend resumes from there, sometimes it does not, so we fix the exit before getting in. And some weeks no train stops at all. Waiting is part of the plan.

The lesson: Chasing a moving price is impatience. A pullback plan lets the price come to you, and some days the right trade is no trade.

Learn

01 Buy the pause, not the chase

A swing trade is held for a few days to a few weeks and planned on the daily chart. The EMA Pullback Swing buys a stock that is already in an uptrend, but only after it pauses and dips back towards its EMA 20; that dip is called a pullback. Picture an up-escalator: someone steps back one stair, yet the escalator keeps rising.

Impatience does the opposite: it chases a stock right after a big jump, or grabs a falling stock because it looks cheap. This is the course's default challenge strategy because it needs one look a day, in the evening after the market closes, for about 20 minutes.

Three ways to buy

Pullback in an uptrend

- EMA 20 above a rising EMA 50
- Price rests near EMA 20
- Exit written before entry
- Eligible

Chasing a spike

- Bought right after a big jump
- Far above EMA 20
- A normal dip can hit the stop
- Not eligible

'Cheap' in a downtrend

- EMA 20 below EMA 50
- Falling for a reason
- Not eligible, however cheap

Only the first is a setup. The other two are impatience dressed up as opportunity.

EXAMPLE

Think of a Diwali sale. A good shirt at 20% off in a busy season is like a pullback: the demand is still there. Tomatoes at half price because they are going bad are like a downtrend: cheap for a reason. Kiran Foods Ltd, which Aman wants to buy after its 7% jump, is neither. It closed at Rs 449, up from Rs 420, while its EMA 20 is Rs 416: the close is about 8% above EMA 20, four times the 2% band you will meet in the next topic. With ATR(14) about Rs 16.70, a 1.5 x ATR stop sits Rs 25 below the entry, but an ordinary slide from Rs 449 back to EMA 20 is Rs 33, so the stop would be hit before the pullback even finished.

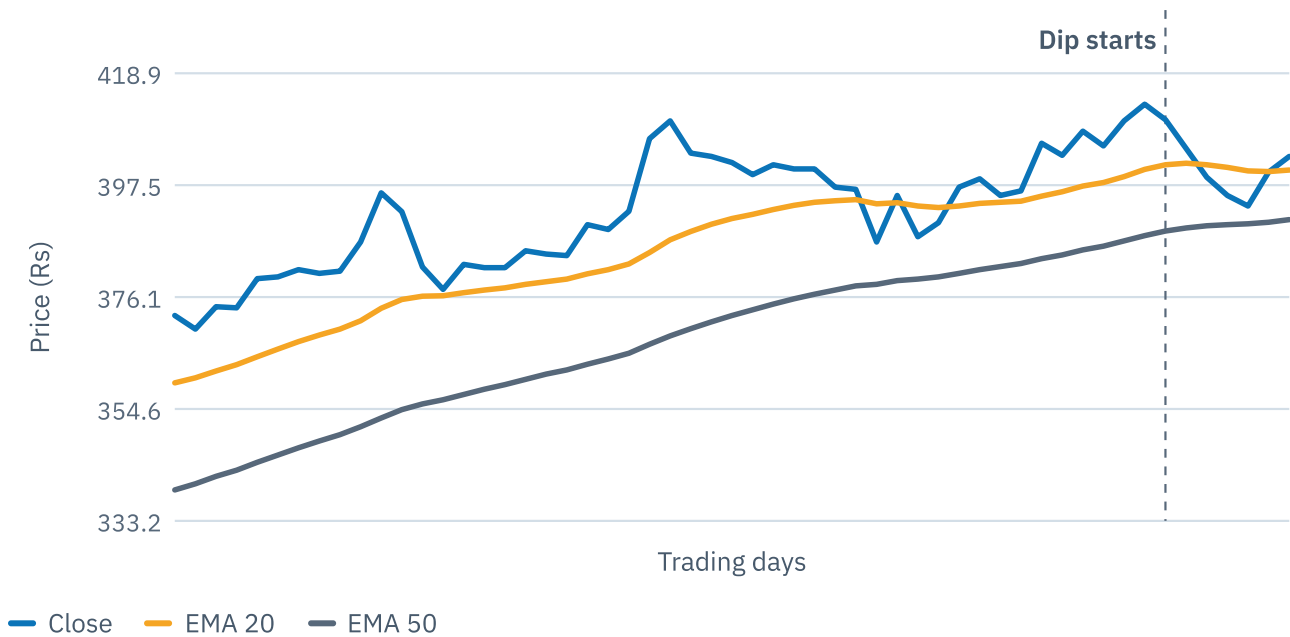
Remember: Trend first, then wait for the pause. A stock that looks cheap in a downtrend is not a pullback.

02 The setup: trend, pullback, cool-down

You check three rules on the daily chart, with the tools from Day 8. Rule 1, trend: EMA 20 is above EMA 50, and EMA 50 is higher than it was 10 trading days ago, so it is rising. Rule 2, pullback: the close is within 2% of EMA 20, above or below it, and still above EMA 50. Rule 3, cool-down: RSI(14) is between 40 and 50; in an uptrend that means a shallow rest, not 'oversold'. A stock that passes all three goes to one more check, relative strength, before it joins your watchlist, the short list you look at each evening.

Trend first, then the pullback

ILLUSTRATIVE



Gupta Cement Ltd: EMA 20 stays above a rising EMA 50 while the price dips back towards EMA 20. The last three points are Wednesday's setup, Thursday's signal and Friday.

EXAMPLE

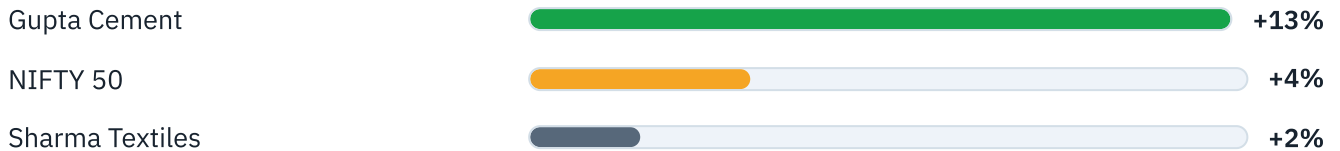
Wednesday evening, Gupta Cement Ltd closes at Rs 393.50. EMA 20 is Rs 400.2 and EMA 50 is Rs 390.1; ten trading days ago EMA 50 was Rs 383.4, so it is rising. The close is about 1.7% below EMA 20 and still above EMA 50, and RSI(14) is 45. All three rules pass. Another stock on Priya's screen also shows RSI 45, but its EMA 20 is below EMA 50, so her check stops at rule 1.

Remember: Rule 1 is a gate: if the trend fails, nothing else matters, however good the RSI looks.

03 Relative strength: is it leading NIFTY 50?

Relative strength, or RS, compares a stock's move with the market's move over the same period. It is not RSI, even though RSI stands for Relative Strength Index: RSI compares a stock with its own recent days, while RS compares it with NIFTY 50. Here the period is 3 months, about 63 trading days, and the market is NIFTY 50. Rule 4, strength: $RS = \text{the stock's \% change} - \text{NIFTY 50's \% change}$, and it must be positive. The reason is practical: you may hold only 3 trades at a time, so spend those slots on stocks that have been stronger than the market, not weaker. Pass this too and the stock joins your watchlist; if more setups appear than you have free slots, prefer the higher RS.

3-month change



Both stocks rose, but only one beat the index. RS = stock change minus NIFTY 50 change.

EXAMPLE

Over the same 3 months, NIFTY 50 went from 25,000 to 26,000, up 4%. Gupta Cement Ltd went from Rs 348 to Rs 393.50 (Wednesday's close), up about 13%, so its RS is about +9 points and it joins the watchlist. Sharma Textiles Ltd went from Rs 250 to Rs 255, up 2%: it rose, but its RS is -2 points, so it is skipped. A free screener cannot look NIFTY 50 up for you, so each evening you give it the number: read NIFTY 50's 3-month change on its chart (here $26,000 \div 25,000 - 1 = 4\%$) and type 4 into the screener's 3-month performance filter as 'greater than'. In a screener where you write conditions, such as Chartink, the same rule is today's close above the close 63 trading days ago $\times 1.04$; if your screener can do neither, the 2-minute RS check in Your template does it by hand. On a free TradingView chart, the stock's symbol, a slash, then NIFTY draws RS as one line: rising means the stock is beating the index.

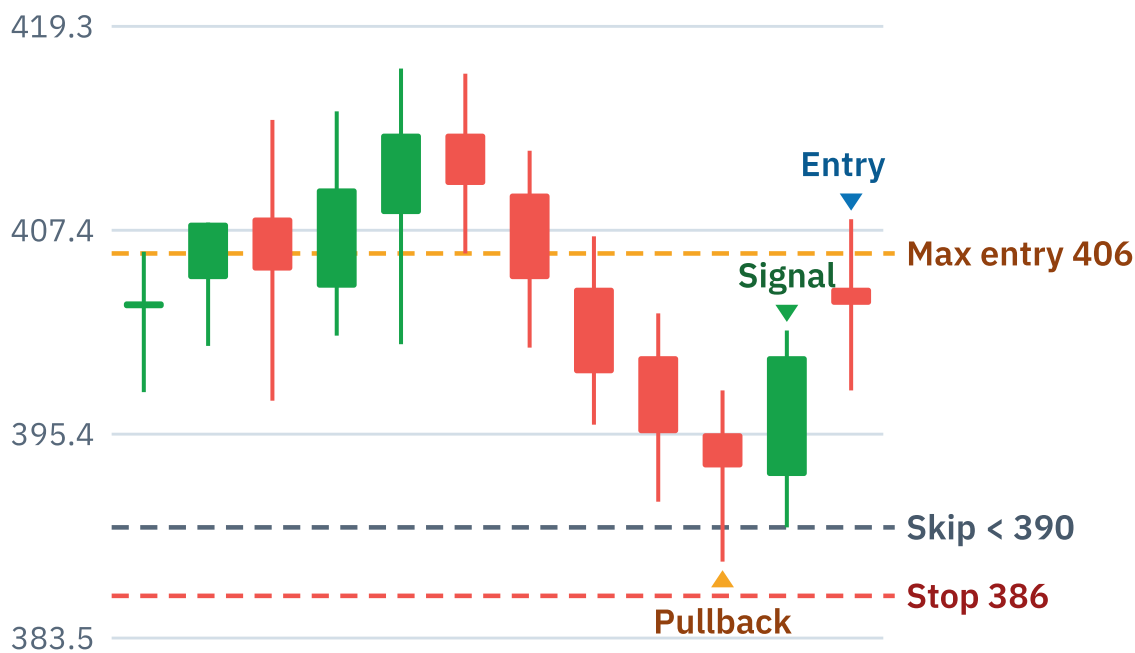
Remember: Rising is not the same as leading. Spend your 3 slots on stocks that beat NIFTY 50.

04 The signal, and an entry that never chases

A watchlist stock needs a signal day: a candle that closes above the previous day's high while rule 1 still holds, a sign that buyers are stepping back in. Drop the stock from the watchlist the evening rule 1 fails, the evening it closes below EMA 50, or after 5 trading days with no signal. Use the official daily close, which is fixed only after the session ends (by a closing auction for stocks that have F&O contracts; check NSE for the latest), so do this check in the evening. On the signal evening you write the plan, and the entry is the next day's open, the first price you could really trade. The plan carries two limits: skip if the stock opens above the signal close plus $0.5 \times \text{ATR}$, because the gap has gone past your plan, and skip if it opens below the signal day's low, because the signal has already failed. Skipping costs you no capital; chasing spends risk you never planned.

Signal day, then a patient entry

ILLUSTRATIVE



Thursday closes above Wednesday's high. Friday opens at Rs 404, below the Rs 406 maximum, so the paper entry is Rs 404 and the stop Rs 386.

EXAMPLE

Gupta Cement Ltd joined Priya's watchlist during a five-day dip. On Thursday it closed at Rs 400, above Wednesday's high of Rs 398: the signal. That evening her plan reads: maximum entry $\text{Rs } 400 + 0.5 \times \text{Rs } 12 = \text{Rs } 406$, and skip if it opens below Thursday's low of Rs 390. Friday opens at Rs 404, inside both limits, so her paper entry is Rs 404. Had it opened at Rs 409, she would have written 'skipped: gap past plan' and moved on, because a slip back to Rs 400 alone would already cost her half her risk.

Remember: Plan in the evening, enter at the next open, and only inside your two limits. On paper, read the open from the next evening's daily candle.

05 The plan card: stop, size, exits

Every trade gets a plan card the evening before, and its numbers do not move afterwards. Stop: entry minus $1.5 \times \text{ATR}(14)$, so ordinary daily noise is less likely to knock you out; the distance is known the evening before, so the size is too. Size: quantity = $\text{Rs } 10,000 \div \text{stop distance}$, rounded down; Rs 10,000 is 1% of your Rs 10 lakh virtual capital. Check the 25% cap that same evening at the maximum entry, the highest price you might pay: if quantity $\times$ maximum entry is above Rs 2,50,000, cut the quantity to $\text{Rs } 2,50,000 \div \text{maximum entry}$, rounded down, and take the smaller number, as on Day 9. Profit exit: a planned sell at entry + $2.5 \times$ the stop distance, which is 2.5R; on paper it fills only if the price trades above it, a touch does not count (Day 12), while the stop counts as soon as the day's low touches it. Time exit: count the entry day as day 1; if neither exit has happened by the close of day 15, exit at the next day's open. Hold at most 3 open trades, and remember from Day 9 that a gap can push a loss past 1R.

Priya's plan card

Maximum entry: $\text{Rs } 400 + 0.5 \times \text{ATR Rs } 12$	Rs 406
Stop distance: $1.5 \times \text{ATR Rs } 12$	Rs 18
Quantity: $\text{Rs } 10,000 \div \text{Rs } 18$, rounded down	555
25% cap check: $555 \times \text{Rs } 406$	Rs 2,25,330 (22.5%)
Entry: Friday's open	Rs 404
Stop price: $\text{Rs } 404 - \text{Rs } 18$	Rs 386
Profit exit: $\text{Rs } 404 + 2.5 \times \text{Rs } 18$	Rs 449
= Loss if the stop is hit: $555 \times \text{Rs } 18$	Rs 9,990 $\approx$ 1R

Written on Thursday evening. The 25% cap is checked at the Rs 406 maximum entry, not at Friday's open. A gap through the stop can still cost more than 1R.

EXAMPLE

Priya writes her card for Gupta Cement Ltd on Thursday evening, from the signal close of Rs 400 and an ATR(14) of Rs 12: maximum entry Rs 406, stop distance Rs 18, 555 shares. The cap check uses Rs 406, not Friday's unknown open: $555 \times \text{Rs } 406 = \text{Rs } 2,25,330$, 22.5% of capital, so 555 stands. Friday opens at Rs 404, which sets the stop at Rs 386 and the profit exit at Rs 449; the calculation below shows every line. With a 2.5R profit exit, the breakeven win-rate is $1 \div (1 + 2.5)$, about 29% before costs. In ten trades, 3 winners at +2.5R and 7 losers at -1R net +0.5R; 2 winners and 8 losers net -3R. That is arithmetic, not a forecast: time exits, costs, slippage and gaps all change it. A normal order lasts one day, so with a real broker a stop-loss or a profit-exit sell that waits for weeks would need a GTT (Day 2) or re-placing every morning; on paper you simply check both levels against each evening's daily candle.

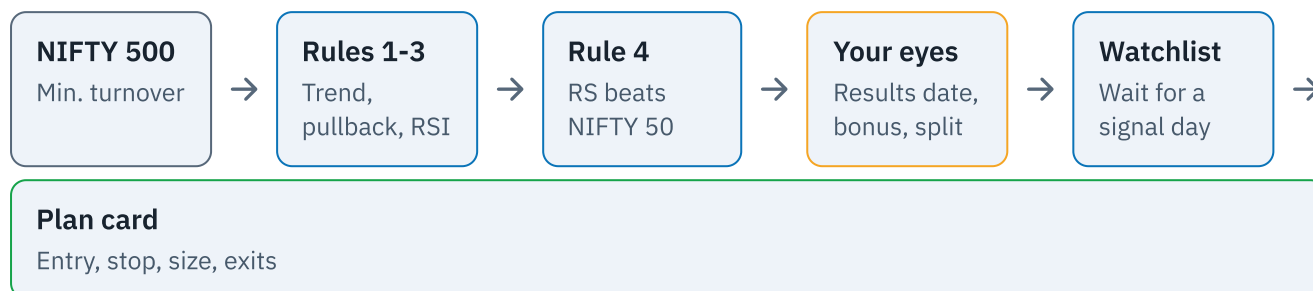
Remember: Write the stop, size and both exits before you enter. After entry you follow the card; you do not edit it.

06 The screener finds, you decide

A screener is a website tool that filters hundreds of stocks by your rules; TradingView's stock screener and Chartink both have free versions, and we have no tie-up with either. Start with the NIFTY 500, an index of 500 of India's larger listed companies. Keep only stocks that trade at least Rs 10 crore a day on average over the last 20 days (turnover = price x shares traded); thinly traded stocks have wide spreads and sudden gaps. Add rules 1 to 4, typing in that evening's NIFTY 50 3-month change for rule 4, and run it once each evening after the close. Free screeners cannot always express every rule, for example 'EMA 50 higher than 10 days ago'; any rule the screener cannot hold, you check by eye on the chart. Then open every result by eye: a downtrend stock in the list means a condition is wrong. Skip any stock whose results date falls in the next 15 trading days; Day 19 builds the full calendar. If no date is announced yet, check again each evening you hold the

trade: companies can announce it only a few days ahead. Doubt any neat drop, such as exactly half, until you have checked for a bonus or split. The screener is your eyes and the trigger stays with you; on Day 16 these rules become a flowchart and alerts.

From 500 stocks to one plan



The screener only narrows the list. Your eyes, your checks and a signal day turn it into a plan.

EXAMPLE

Aman spots Bharat Pumps Ltd on a free data site: 'down 50% today', RSI near 15, and ATR up from Rs 15 to Rs 36. He calls it cheap. Priya checks NSE's corporate actions page: a 1:1 bonus is listed for that day, so the price halved from about Rs 600 to Rs 300, while each holder is due one extra share for every share held. The site had not adjusted its data, so the gap counted as a true range of about Rs 300. On adjusted data nothing crashed and ATR is about Rs 7.50; a stop built on Rs 36 would sit Rs 54 away instead of about Rs 11. Day 15 explains bonuses and splits properly.

Remember: Screener = eyes, trigger = you. An empty list on some evenings is the rule working, not the market ignoring you.

Words from today

Pullback

A short dip inside an uptrend, back towards a moving average such as EMA 20, while the trend is still intact.

Swing trade

A trade held for a few days to a few weeks, planned on the daily chart and checked once a day.

Watchlist

Your short list of stocks that passed rules 1 to 4 and now wait for a signal day. A stock leaves it the evening rule 1 fails, it closes below EMA 50, or 5 trading days pass without a signal.

Signal day

The day a watchlist stock closes above the previous day's high while the trend rule still holds. You write the plan that evening and enter at the next open.

Maximum entry

The highest open you will accept: signal close + 0.5 x ATR(14), written the evening before. The 25% cap is checked at this price; an open above it means skip.

Relative strength (RS)

A stock's % change minus NIFTY 50's % change over the same period. Positive means the stock has beaten the index. Not the same as RSI.

Screener

A tool that filters many stocks by your rules and returns a list. It never places orders and never replaces your own check.

Time exit

Leaving a trade after a set time when neither the stop nor the profit exit has been hit. Here: count the entry day as day 1; if nothing has happened by the close of day 15, exit at the next open.

Recap map

Recap

Setup

EMA 20 above a rising EMA 50
Close within 2% of EMA 20
RSI(14) 40-50
RS beats NIFTY 50

Entry

Signal: close above previous high
Enter at the next open
Max entry = close + 0.5 x ATR
Gap past plan = skip

Plan card

Stop = entry - 1.5 x ATR
Qty = Rs 10,000 ÷ stop distance
Profit exit 2.5R; time exit day 15
Max 3 trades; cap at max entry

EMA Pullback Swing

Screener

Finds, never decides
Check every result by eye
Results in next 15 days = skip
A bonus can fake a crash

Your mind

Impatience chases; rules wait
A missed trade costs no capital
Empty list = rule working

Today's task

55 min

Copy the model EMA Pullback rule card in your own words, build a screener from it with tonight's NIFTY 50 number for rule 4, check its results by eye, and fill one practice plan card. No trade today; paper trading starts tomorrow. Allow about 55 minutes the first time; a laptop makes the screener easier, but a phone works.

- ☐ Copy the 'EMA Pullback rule card' from Your template into Google Sheets or your notebook, one line per part, in your own words. Tomorrow's paper trades follow this card.
- ☐ Run the AI Lab prompt 'Screener condition writer' for your screener and copy the conditions it gives for rules 1 to 4 and the minimum turnover.

- ☐ On a free TradingView chart of NIFTY 50, note its 3-month % change (today's close ÷ the close about 63 trading days ago, minus 1). Then open a free screener, TradingView's stock screener or Chartink (no broker account needed), enter the conditions with that number in rule 4, and run it on the latest daily close. Note any rule it cannot hold; you will check that one by eye.
- ☐ Open 5 charts from the results and mark each Eligible or Not eligible by eye against rules 1 to 4; if one that breaks a rule slipped through, fix that condition and run it again. If the list is empty, check 5 NIFTY 50 stocks by hand. These names are a checking drill, not a buy list; do not share them as tips.
- ☐ In the '2-minute RS check' template, work out RS for 3 of those stocks: each stock's 3-month % change minus NIFTY 50's over the same dates. Keep only the positives.
- ☐ Fill the blank 'Your case' column of the 'Plan card' template: signal close Rs 520, signal-day low Rs 508, ATR Rs 16, next open Rs 526. Check: maximum entry Rs 528, stop distance Rs 24, 416 shares, cap check $416 \times \text{Rs } 528 = \text{Rs } 2,19,648$ (22.0%, inside), enter, stop Rs 502, profit exit Rs 586.

YOUR TEMPLATE

EMA Pullback rule card

Copy it in your own words, one line per part. Paper trades from Day 12 follow this card, and Day 16 turns it into yes/no steps.

Part	Written rule
Universe	NIFTY 500 stocks with a 20-day average turnover of at least Rs 10 crore a day
Rule 1: Trend	EMA 20 above EMA 50, and EMA 50 higher than 10 trading days ago
Rule 2: Pullback	Close within 2% of EMA 20, above or below, and above EMA 50
Rule 3: Cool-down	RSI(14) between 40 and 50
Rule 4: Strength	3-month % change above NIFTY 50's; type in NIFTY 50's number each evening
Watchlist	Drop a stock the evening rule 1 fails, it closes below EMA 50, or 5 trading days pass with no signal
Signal day	Official close above the previous day's high, with rule 1 still true
Entry	Next day's open. Skip if it opens above signal close + $0.5 \times \text{ATR}$, or below the signal-day low
Stop	Entry - $1.5 \times \text{ATR}(14)$; it counts as soon as the day's low touches it
Size	$\text{Rs } 10,000 \div \text{stop distance}$, rounded down; 25% cap checked the evening before at the maximum entry; take the smaller

Part	Written rule
Exits	Profit exit at entry + 2.5 x stop distance, filled only if price trades above it; time exit at the next open after day 15
Skip checks	Results date in the next 15 trading days; a bonus or split on NSE's corporate actions page
House limits	At most 3 open trades, each in a different sector (Day 9); stop for the day after -2R; pause and review after -5R in a week

Plan card

Written the evening before; nothing on it moves after entry. Fill the blanks in 'Your case' and check them in the last task step.

Line	Priya: Gupta Cement Ltd	Your case
Signal close	Rs 400	Rs 520
Signal-day low (skip below)	Rs 390	Rs 508
ATR(14)	Rs 12	Rs 16
Maximum entry = close + 0.5 x ATR	Rs 406	
Stop distance = 1.5 x ATR	Rs 18	
Quantity = Rs 10,000 ÷ stop distance	555	
Cap check: quantity x maximum entry (limit Rs 2,50,000)	Rs 2,25,330 (22.5%)	
Next day's open	Rs 404	Rs 526
Enter or skip?	Enter	
Stop = entry - stop distance	Rs 386	
Profit exit = entry + 2.5 x stop distance	Rs 449	
Loss if the stop is hit	Rs 9,990 (1R)	
Time exit	Next open after day 15	

2-minute RS check

Work out each change over the same dates: today's close ÷ the close about 63 trading days ago, minus 1. Keep

only a positive RS; if setups outnumber your free slots, the highest RS goes first.

Stock	Stock, 3 months	NIFTY 50, same dates	RS	Keep?
Gupta Cement Ltd	+13%	+4%	+9	Keep
Sharma Textiles Ltd	+2%	+4%	-2	Skip

OUTCOME

By the end you can state the EMA Pullback Swing rules exactly, check a chart against them, run the relative-strength rule in a free screener or by hand, write a plan card with a 1.5 x ATR stop, a quantity checked against the 25% cap at the maximum entry, a 2.5R profit exit and a 15-day time exit, and explain why a gap past your plan is skipped, not chased.

TOOLS

- TradingView free chart and stock screener
- Chartink (free; some features need a free login)
- NSE website: event calendar and corporate actions
- Google Sheets or a notebook
- Any AI chat

WITH YOUR BATCH

'Screener Race', a process game: pairs swap screener lists. You score one point for every stock in your partner's list that breaks a rule, and your partner scores one when they fix the condition that let it in. Points never come from the stocks listed, and no stock is discussed as a buy or sell. Solo version, 'Chase or Pause': open 5 random daily charts, give each 60 seconds, and call it Pause (a pullback that fits the card), Chase (far above EMA 20, like Aman's Kiran Foods) or Cheap trap (a downtrend); then score yourself against your rule card. 4 out of 5 is a good first evening.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names and chart prices are made up for illustration. No performance claim is made; past performance is not indicative of future results. Stage 1 uses virtual money only. No affiliation with any screener or charting site named. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Screener condition writer

You are a careful teacher helping a beginner build a stock screener for Indian cash equities on the daily timeframe. I will tell you which platform I use (TradingView stock screener or Chartink). Turn these rules into screener conditions: (1) EMA 20 above EMA 50, and EMA 50 higher than it was 10 trading days ago; (2) close within 2% of EMA 20, above or below, and above EMA 50; (3) RSI(14) between 40 and 50; (4) 3-month (about 63 trading day) % change greater than NIFTY 50's 3-month % change; a screener cannot look up NIFTY 50 by itself, so I will read NIFTY 50's 3-month % change each evening and type it in as a number (for example 4 for a 4% rise, or -3 for a 3% fall): show me exactly where that number goes, either as a 3-month performance filter or as today's close greater than the close 63 trading days ago $\times (1 + \text{that number} / 100)$; (5) universe NIFTY 500, with 20-day average turnover (close $\times$ volume) above Rs 10 crore. Give each condition in the platform's own syntax, then explain each clause in one plain line so I can verify it. Also give a second version for signal days: rule 1, rule 4 and the universe and turnover filter, plus today's close above the previous day's high. Explain that rules 2 and 3 were met on an earlier day, so I must match this list against my watchlist from the last 5 trading days. If the platform cannot express a rule, say so clearly and tell me to check that rule by eye. Label every statement about the platform's features as Fact (checkable in its help pages), Guess (you are not sure, or it may have changed) or Kachra (a common myth). Finally, list 2 ways a wrong clause would show up in the results, for example downtrend stocks appearing. Do not name any stock, do not give buy or sell advice, and do not mention price targets or expected returns.

My platform: <TradingView stock screener or Chartink>

Rule-card ambiguity hunt

Act as a strict examiner of trading rule cards. I will paste my EMA Pullback Swing rule card below. Find every word or rule that two people could read differently (for example 'near', 'rising', 'strong', or 'close above what?') and ask me one short question about each. Then check whether the card covers all of these, and list anything missing: trend filter, pullback distance, RSI zone, relative strength vs NIFTY 50, signal day, signal within 5 trading days of joining the watchlist, NIFTY 500 universe with average daily turnover of Rs 10 crore or more, watchlist exit (rule 1 fails, a close below EMA 50, or 5 trading days without a signal), entry at the next day's open with a maximum entry and a gap-down skip, stop at $1.5 \times \text{ATR}(14)$ below entry, quantity from 1% risk on Rs 10 lakh virtual capital, 25% position cap checked the evening before at the maximum entry, 2.5R profit exit that fills only if price trades above it, 15-day time exit, maximum 3 open trades, no two in the same sector, daily stop after -2R, weekly pause after -5R, results-date check and corporate-action check. Do not judge whether the strategy makes money, do not suggest any stock, and do not give buy or sell advice, targets or return expectations.

My rule card: <paste here>

Plan-card arithmetic check

Check the arithmetic of my plan card for a virtual paper trade. I will type: capital (Rs 10,00,000), risk per trade (1%), the signal day's close and low, ATR(14), the next day's open, plus my own answers. Show each step in this order. The evening before: maximum entry = signal close + $0.5 \times \text{ATR}$; stop distance = $1.5 \times \text{ATR}$; quantity = (capital $\times$ 1%) / stop distance, rounded down; the 25% cap check at the maximum entry: quantity $\times$ maximum entry and its % of capital, and if it is above 25%, the capped quantity (Rs 2,50,000 / maximum entry, rounded down) and the new planned risk in R. Then, with the next day's open: whether the open is at or below the maximum entry and not below the signal day's low (if not, the rule says skip); entry = the open; stop = entry - stop distance; profit exit = entry + $2.5 \times$ stop distance; the loss in rupees and in R if the stop is hit exactly; and the loss in R if the stock opens 2% below the stop. Then point out which of my answers differ from yours and why. This is an arithmetic check only: do not tell me whether to take the trade, do not name or suggest any stock, and do not give return expectations.

My numbers and my answers: <type here>

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Recall one time you chased something that had already moved: a sale, a train, a stock, a trend. What did the chase cost you? Now copy the one line from today's rule card that would have made you wait.

Write your answer here, then save it in the app's Journal tab.

Today you wrote rules that mostly tell you when not to buy. On most evenings, those are the rules you will use.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. A stock's EMA 20 is below its EMA 50. The price has just dipped to EMA 20 and RSI(14) is 45. Under the EMA Pullback Swing rules, what do you do?

- ☐ A Buy it: the pullback and RSI both fit
- ☐ B Skip it: the trend rule fails first
- ☐ C Wait for RSI below 30, then buy it
- ☐ D Buy half, since two of three rules pass

Q2. Evening plan: signal close Rs 247 and ATR(14) Rs 6, so the maximum entry is Rs 250. Virtual capital is Rs 10 lakh, risk is 1% per trade and no position may be worth more than 25% of capital. What goes on the plan card?

- ☐ A Stop distance Rs 9; 1,012 shares, the cap at Rs 247
- ☐ B Stop distance Rs 6; 1,000 shares, the cap at Rs 250
- ☐ C Stop distance Rs 9; 1,111 shares from the 1% rule
- ☐ D Stop distance Rs 9; 1,000 shares, the cap at Rs 250

Q3. Priya's plan for Gupta Cement Ltd: signal close Rs 400, signal-day low Rs 390, ATR(14) Rs 12. Next morning the stock opens at Rs 409. What does the rule card say?

- ☐ A Wait for a dip to Rs 400, then buy
- ☐ B Buy at the open with half the shares
- ☐ C Buy at the open, stop at Rs 391
- ☐ D Skip: it opened above her max entry

Q4. Over the last 3 months NIFTY 50 rose 4%. Stock A rose 9%, Stock B rose 3% and Stock C rose 1%. All three pass rules 1 to 3. Which pass the relative-strength rule?

- ☐ A A and B, the two that rose the most
- ☐ B Only A, the one stock that beat NIFTY 50's 4% rise
- ☐ C Only C, since it has the most room to rise
- ☐ D All three, since every one of them rose

Q5. A free data site shows Bharat Pumps Ltd down 50% today, RSI near 15 and ATR more than doubled. NSE's corporate actions page shows a 1:1 bonus took effect today. What is the right reading?

- ☐ A A genuine crash: holders have lost half their money today
- ☐ B Mostly the bonus; recheck the chart on adjusted data
- ☐ C RSI near 15 is oversold, so it is a pullback buy
- ☐ D The site is broken, so stop using any indicators

Paper trading day 1 and the AI trade journal

Concept: Honest paper trading: fills, gaps, costs in R, the journal and the adherence score

AI Lab: Journal detective: AI finds the pattern, you decide

Mindset: 'Paper hai, chalta hai'

It's only paper, isn't it?

Evening, the first day of paper trading. Aman, Priya and the mentor are on a video call.



Aman

Sir, day one and I am already up Rs 18,000. I bought 1,000 shares of Kiran Foods, the one that jumped yesterday. I wrote my entry at Rs 446, the day's low, and it closed at Rs 464. The formula said 400 shares, but it is only paper money. Paper hai, chalta hai.



Priya

My screener found no setup today, so my sheet has just one row: 'No setup'. Sir, did I waste my first day?



Mentor

Aman, two questions. At 9:15 this morning, did you know Rs 446 would be the low? And with real money, would you have bought 1,000 shares when your formula said 400?



Aman

No, sir. I picked the low at 3:30, after seeing the whole day. And the size... it just did not feel real.



Mentor

Then your Rs 18,000 is a story, not a record. Priya's one honest row is worth more. Today we learn to paper-trade so that it tells the truth, and to keep a journal that scores how well you follow your rules, not your profit.

The lesson: Paper money is not real. The habits you build with it are.

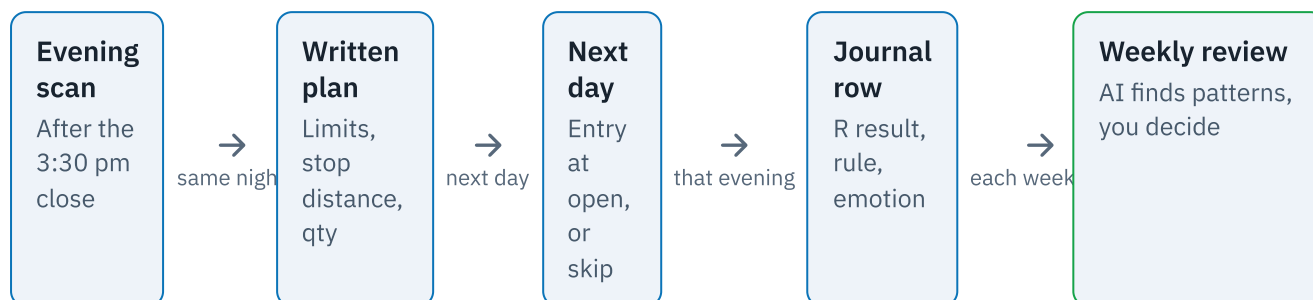
Learn

01 Paper trading: real prices, virtual money, real rules

Paper trading means following your strategy on real market prices with virtual money; no order ever reaches an exchange. From today you run Day 11's EMA Pullback Swing on the Rs 10 lakh virtual challenge capital, where 1R is Rs 10,000 and at most 3 trades are open at a time. The strategy works on daily candles, so you can scan after the 3:30 pm close and never need to watch the open; ORB on Day 13 is optional, only for those

who can watch 9:15 to 11:00. Paper trading does not test whether you can make money. It tests whether you follow your rules while prices move. Its biggest trap has a name, 'paper hai, chalta hai': the feeling that fake money makes rules optional, when every shortcut you take here is a habit you are training.

A paper day for a working learner



The swing strategy needs no screen time during office hours.

EXAMPLE

Priya works in a Lucknow office until 6 pm. At 8 pm she runs her Day 11 screener, adds new names to her watchlist, and checks each watchlist stock on a free TradingView daily chart for a signal day. Only for a signal does she write tomorrow's plan in her Google Sheet: stock, maximum entry, the low that cancels it, stop distance and quantity. She never sees the 9:15 open. The next evening she checks the daily candle: if it opened inside her two limits, the open is her entry; if not, she writes 'Skipped: gap'. Her sheet's version history shows the plan was written before the market opened, so any later change would show up.

Remember: Virtual money, real habits: whatever you allow on paper, you are training yourself to do.

02 Paper fills that do not flatter you

A fill is the price at which an order actually gets done; on paper you decide it yourself, so it is easy to write a price you only saw after the day was over. Start with three house rules. One: your entry is the next day's open, and only if it opens inside your plan's two limits (Day 11), never the day's low. A sell waiting at your profit exit counts only if price trades above it, because sellers who queued at that price earlier fill first (Day 1); if the day opens above it, your exit is that open. Two: a daily candle does not show which came first, so if one candle touches both your stop and your profit exit, count the stop (Day 7). Three: take 0.1R off every closed trade for costs (brokerage, STT, exchange charges, GST, stamp duty) and slippage, the small amount a real order fills worse than the screen price; this is a practice allowance, not a real rate.

Priya's trade, recorded honestly

	Exit: profit exit, traded above	Rs 449
-	Entry: Friday's open	Rs 404
=	Gain per share	Rs 45
÷	Risk per share (1.5 x ATR of Rs 12)	Rs 18
=	Result before costs	2.5R
-	Costs and slippage allowance	0.1R
=	Honest paper result	2.4R

Aman's hindsight version, Friday's low to the later high with no costs, claimed Rs 54 a share. No plan written in advance could have given him those prices.

EXAMPLE

Back to the Day 11 worked plan for Gupta Cement Ltd: signal close Rs 400, maximum entry Rs 406, skip below Rs 390, stop distance Rs 18, 555 shares. Friday opened at Rs 404, inside both limits, so the entry is Rs 404, the stop Rs 386 and the profit exit Rs 449. Eleven trading days later the stock opened at Rs 441 and rose to Rs 452, trading above Rs 449, so the sell fills at Rs 449. Aman, on the same setup, wrote Friday's low of Rs 398 as his entry and that later day's high of Rs 452 as his exit: Rs 54 a share, from two prices he chose only after seeing the chart, and with no costs. No plan written the evening before could have given him either price. The honest result is 2.4R, about Rs 24,000 on the challenge capital, and many trades will end far less neatly.

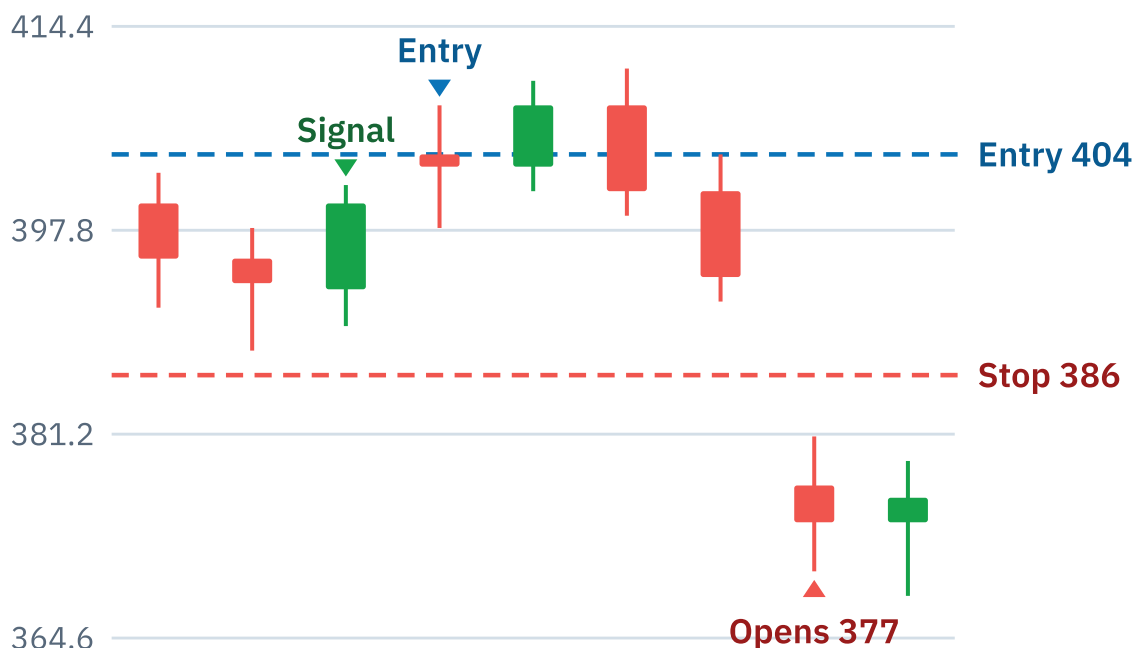
Remember: If you could not have traded at that price, it does not go in your journal.

03 When price jumps over your stop

A stop-loss is a plan, not a promise of your exit price, as Day 2 showed. If price trades down to your stop during the day, record the exit at the stop: a stop is a trigger, so here a touch counts, and the 0.1R allowance covers the small slippage. But if bad news arrives after the close, the next day can open far below your stop; this jump in price is called a gap. The fourth house rule: when a day opens below your stop, your paper exit is that opening price, never the stop itself. If a stock is stuck at its lower price band with no buyers, your paper exit waits too, just as a real sell order would sit unfilled in the queue; record the first price it trades at after that, usually a later open. That is why a planned 1R loss sometimes lands in the journal as 1.5R or more.

A gap jumps the stop

ILLUSTRATIVE



Thursday never traded at Rs 386. The honest exit is the Rs 377 open.

EXAMPLE

Now give the same Gupta Cement trade a different ending: entry Rs 404, stop Rs 386. The following Wednesday, news of a fire at the company's main plant breaks after the close, and Thursday opens at Rs 377, below the stop. Priya's paper exit is Rs 377, not Rs 386. Her loss is Rs 27 a share, which is $27 \div 18 = 1.5R$, and $1.6R$ after the $0.1R$ allowance: about Rs 16,000 instead of the Rs 10,000 she planned. Aman wanted to write Rs 386 'because that was my stop'. Priya's journal says what really happened.

Remember: Your stop is the plan; your journal records what actually happened.

04 Your journal: ten columns. Your Portfolio row: seven parts

A trade journal is a logbook where every decision is written the same way, every time. Ours has ten columns: date, stock, setup, entry, stop, quantity, exit and R result, plus two honesty columns, 'Rule broken?' and 'Emotion'; the template in Today's task shows what goes in each. On a day you do not trade, the Setup cell says 'No setup' or 'Skipped: <which rule>'. R result is your rupee gain or loss $\div$ Rs 10,000 ($1R$ on the challenge capital, Day 9), minus the $0.1R$ allowance. For a full-size trade that is almost exactly your gain or loss per share $\div$ your planned risk per share (Day 3), so a Rs 200 share and a Rs 2,000 share sit on the same scale; a trade the 25% cap cut records the smaller risk you really took, for example $-0.9R$ instead of $-1R$ (Day 14). Emotion is one word from a fixed menu: calm, FOMO (fear of missing out, the pull to jump in because a price is running), fear, bored, angry or overconfident; one honest word is easier to count later than a paragraph. The journal records every decision. The app's Portfolio page holds up to five rows, one per stock you have thought through in full, whether you took the paper trade or kept it on your watchlist: your first paper trade starts one, and Days 15, 16 and 19 each ask you to add one. Each row has seven parts: two Full Whys (a business reason and a second, independent reason), the top risk and your answer to it, a price-stop, a Why-stop ('the idea is

wrong if...') and a review point. Your mentor grades each complete row on process, and five rows graded C or better are one of the six certificate checks (Day 21). A row is a written plan, not an open trade: it stays on the page when a trade closes, and the open-trade limit is still 3.

Filling one journal row

1

Before the open

Date, stock, setup, max entry, stop distance, qty

2

Next evening

Entry at the open, or 'Skipped: gap'

3

After the exit

Exit price and R result, minus 0.1R

4

Honesty check

Rule broken? Which one. One emotion word

5

No setup today?

Still one row: 'No setup'

Ten columns in a Google Sheet. No fancy tool needed.

EXAMPLE

Two rows from Priya's sheet. Row 1: No setup, no trade, emotion 'bored'. Row 2, completed when the trade closed: Gupta Cement Ltd, EMA Pullback, entry Rs 404, stop Rs 386, 555 shares, exit Rs 449, R result +2.4R, Rule broken? 'none', emotion 'calm'. Like a cricket scorer, she writes down every ball, including the dot balls. On the day she entered, she also started this trade's Portfolio row, in virtual money: Full Why 2 'EMA Pullback signal in an uptrend, stronger than NIFTY 50 over 3 months'; top risk 'bad news overnight gaps it below my stop'; her answer 'the size keeps even a 1.5R gap near Rs 15,000, and I will log the real exit'; price-stop Rs 386; Why-stop 'sales fall two quarters in a row'; review point 'the next results date'. Full Why 1, the business reason, waits for Day 15's health check; until then the page marks the row Incomplete, since a row counts only when all seven parts are filled.

Remember: Every decision gets a journal row, even the decision to do nothing. Each stock you think through in full, up to five, also gets a seven-part Portfolio row.

05 The adherence score: a ball well left still counts

Adherence means doing what your rule card says. The challenge scores your process, never profit (Day 21 shows how its points are counted), and adherence is the process number you track yourself every day. Each decision earns 1 or 0: a trade that keeps every rule from entry to exit earns 1, a setup you skip because a written rule says so earns 1, and a no-setup day on which you stay out earns 1. Any broken rule makes it 0: no written plan, size above the formula or the 25% cap, a stop moved further away, a fourth open trade, a trade after the daily -2R stop or during the -5R weekly pause, or a price in the journal you could not really have

traded. Your score is points divided by decisions, and a no-setup day counts as one decision, so a patient, quiet week still earns a full score. Like a batsman leaving a ball outside off stump, a setup you rightly skip goes into the scorebook too.

One point per decision

A setup appeared

- Took it, kept every rule: 1
- Skipped it by a written rule: 1
- Skipped out of fear: 0
- Broke any rule: 0

No setup today

- Stayed out: 1
- Traded anyway: 0

Score = points ÷ decisions. A no-setup day is one decision.

EXAMPLE

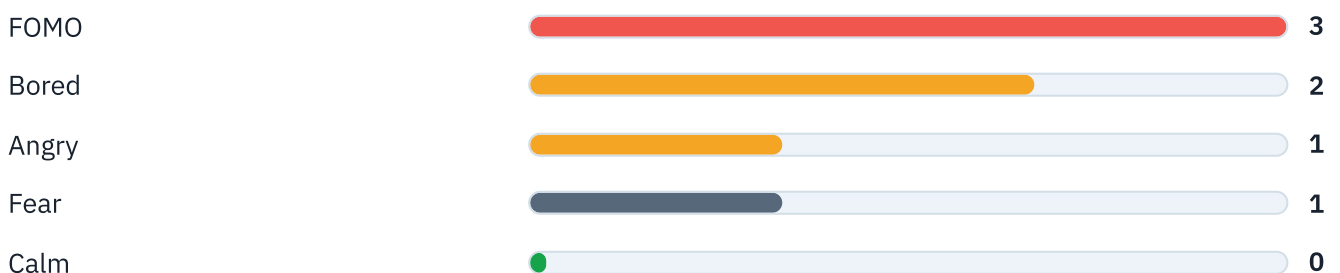
Aman's first five paper days had six decisions. Paper day 1: the Kiran Foods trade, with no setup, no written plan, an entry price picked after the close, 2.5 times the formula's size and above the 25% cap (0). Paper day 2: no setup, he stayed out (1). Paper day 3: one setup, taken and kept by the rules until its exit (1). Paper day 4: two setups; one gapped up past his maximum entry, so he skipped it, just as Day 11 says (1), and on the other he moved the stop further away when price dipped (0). Paper day 5: no setup, he stayed out (1). Score: $4 \div 6 = 67\%$. His paper profit or loss that week plays no part in it.

Remember: Score = points ÷ decisions. Profit never enters it.

06 AI reads your journal; you decide

After a week or two, patterns hide in your rows, and AI is good at finding patterns in a table. Copy only the ten columns into any AI chat; never paste your name, PAN, client ID, account numbers or a contract note. Ask it which rules broke most often, which emotion words show up together with broken rules, and on which days. Ask it to label each claim Fact (visible in your rows) or Guess (its interpretation), and to call Kachra any belief you wrote down that your rows do not support. AI shows you the pattern; you decide what to do about it, and no strategy rule changes before 30 logged trades. AI can miscount, so check every number it gives against your sheet.

A classmate's broken rules, by emotion



Two weeks of one-word tags. His rules broke most on FOMO days, and never when he was calm.

EXAMPLE

After two weeks, a classmate pastes his 14 rows. The AI's summary: 7 of 14 decisions broke a rule, an adherence score of 50%. Three of the seven carried the tag FOMO and two carried 'bored'; none carried 'calm'. Four came the day after a winning trade. He checks each count against his sheet, and they match. His first instinct is to ask the AI for a better strategy. The mentor asks him to reread the Facts: the strategy is not what broke, his rules did, most often on FOMO days and on days after a win. With 14 rows that link is still a Guess to keep testing, not a law. His one change is a habit, not a strategy rule: when he feels FOMO, especially after a win, he writes the idea in the sheet and waits for the evening scan.

Remember: AI finds the pattern. You decide what it means.

Words from today

Paper trading

Following your strategy on real prices with virtual money. No order reaches an exchange.

Fill

The price at which an order actually gets done. On paper, your entry is the next open inside your plan's limits, and a sell at your profit exit fills only if price trades above it.

Gap through the stop

When a day opens below your stop. Your exit is that opening price, so the loss can be more than 1R.

0.1R allowance

A flat 0.1R taken off every closed paper trade for costs and slippage. A practice number, not a real rate.

Trade journal

A ten-column log with one row per decision, including days with no setup.

Adherence score

Points ÷ decisions: 1 for each decision that followed your rule card, 0 for any broken rule. Profit is never counted.

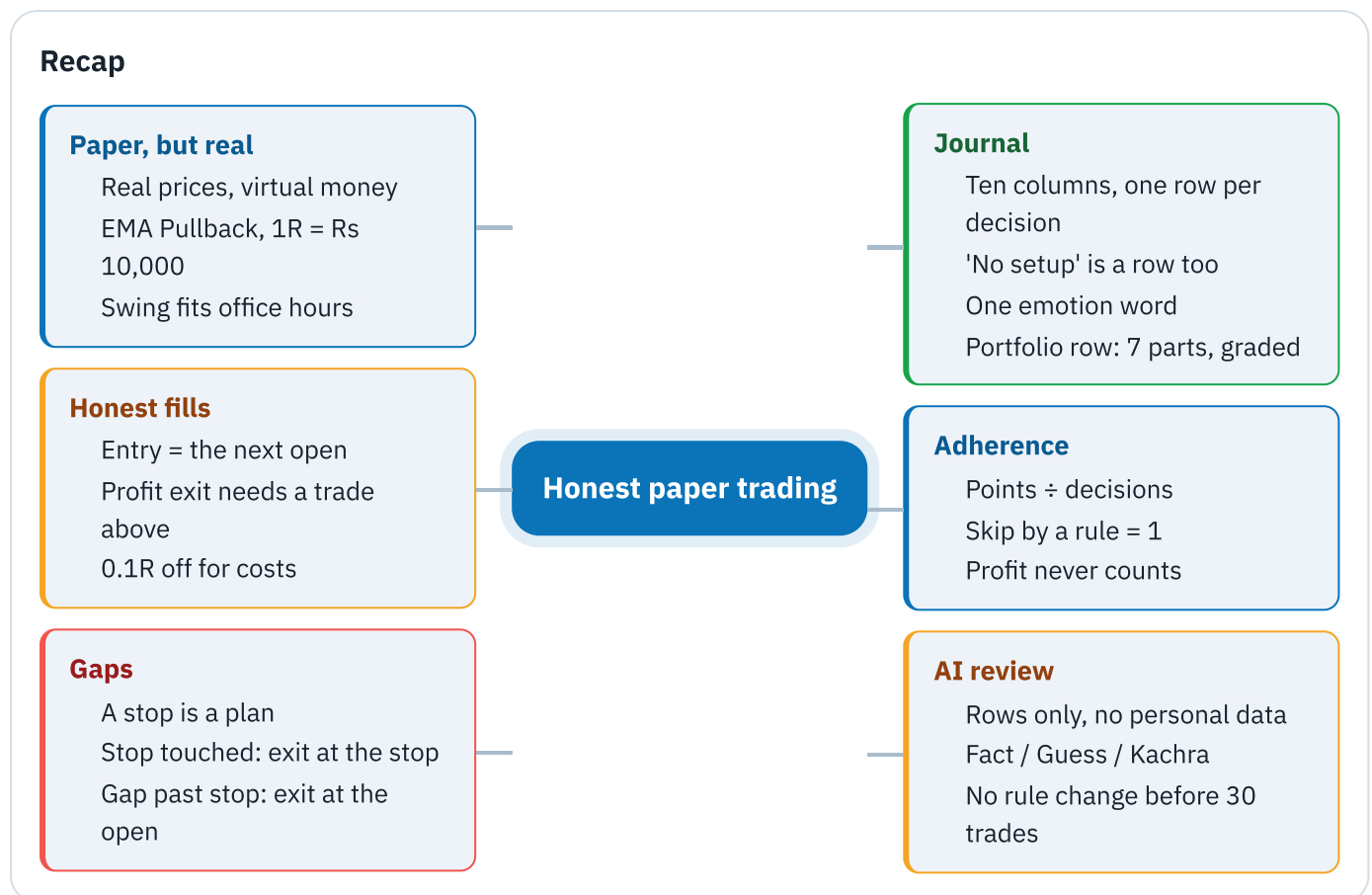
Portfolio row

A seven-part record, on the app's Portfolio page, of one stock you thought through in full (a paper trade or a watchlist stock): two Full Whys, the top risk and your answer, a price-stop, a Why-stop and a review point. Five rows graded C or better are a certificate check.

Why-stop

The fact that would prove your reason wrong, written before entry: 'the idea is wrong if...'. The price-stop watches the price; the Why-stop watches your reason.

Recap map



Today's task

35 min

Set up your honest paper journal, log your first decision and start your first seven-part Portfolio row: about 35 minutes today, then about 20 minutes each evening for the scan and your row.

- ☐ In Google Sheets, create a sheet with the ten headers from the template below: Date, Stock, Setup, Entry, Stop, Qty, Exit, R result, Rule broken?, Emotion. No Sheets? Rule the same ten columns in a notebook.
- ☐ After the 3:30 pm close, run your Day 11 screener, add its results to your watchlist, and on a free TradingView daily chart check whether any watchlist stock added in the last 5 trading days made a signal day: a close above the previous day's high.
- ☐ This evening, write one row for tomorrow: for a signal, a plan (stock; maximum entry = signal close + 0.5 x ATR; skip if it opens below the signal-day low; stop distance 1.5 x ATR; quantity = the smaller of Rs 10,000 ÷ stop distance and Rs 2,50,000 ÷ maximum entry, both rounded down; profit exit 2.5R; time exit day 15), otherwise 'No setup'.
- ☐ Tomorrow evening, check the daily candle and finish the row. If it opened inside your two limits, your entry is the open, your stop is the open minus 1.5 x ATR and your profit exit is the open plus 2.5 x that stop distance; if not, write 'Skipped: gap', which still earns its point. Then fill 'Rule broken?' and one emotion word.

- ☐ On the day your first paper trade is entered, open the app's Portfolio page and add its row in virtual money (symbol, entry date, quantity, entry price), then the parts you can fill today: price-stop, Full Why 2, top risk, your answer to it, Why-stop and review point, as in Priya's model below. Add Full Why 1, the business reason, after Day 15.
- ☐ Stretch, after five rows (15 minutes): paste only the ten columns into any AI with the 'Journal detective' prompt and check every Fact against your sheet.

YOUR TEMPLATE

Trade journal template: the ten columns

In Google Sheets, type the ten column names across row 1; each decision then gets one row below. 'none' in 'Rule broken?' scores 1 point, anything else 0.

Column	What you write	Priya: a trade	Priya: no setup
Date	The evening you write the plan	03-09	02-09
Stock	The share's name; '-' on a no-setup day	Gupta Cement Ltd	-
Setup	Strategy and plan limits, or 'No setup' / 'Skipped: <rule>'	EMA Pullback, max 406, skip below 390, exit 449	No setup
Entry	Next day's open, only if inside both limits	Rs 404	-
Stop	Entry minus 1.5 x ATR	Rs 386	-
Qty	Smaller of Rs 10,000 ÷ stop distance and Rs 2,50,000 ÷ max entry, rounded down	555 (the cap allows 615)	-
Exit	The price you really got: stop, profit exit, gap open or time exit	Rs 449	-
R result	Rupees ÷ Rs 10,000, minus 0.1R	+2.4R	-
Rule broken?	'none', or the name of the rule	none	none
Emotion	One word: calm, FOMO, fear, bored, angry, overconfident	calm	bored

Portfolio row: Priya's model, in virtual money

Up to 5 rows stay on the page, for trades you took or watchlist stocks you planned in full; a row is not an open trade, and never more than 3 trades are open at once. A row counts only when all seven parts are filled; add Full

Why 1 after Day 15.

Part	The question it answers	Priya's row: Gupta Cement Ltd
Full Why 1 (business reason)	Why this business?	Sales and profit rose three years running; debt is low (her Day 15 health card)
Full Why 2 (a second, independent reason)	What else says yes, apart from the business?	EMA Pullback signal in an uptrend; stronger than NIFTY 50 over 3 months
Top risk	What could hurt most?	Bad news overnight gaps it below the stop
Your answer to that risk	What will you do about it?	Size keeps even a 1.5R gap near Rs 15,000; log the real exit
Price-stop	Where does price say you are wrong?	Rs 386, from her plan card (404 - 18)
Why-stop	What fact would prove the idea wrong?	Sales fall two quarters in a row
Review point	When will you look again?	The next results date

How your mentor grades a row: A, C and D

B sits between A and C, and grades run A to F: a row graded D or below does not count yet. The same guide comes back on Day 21, and profit never changes a grade.

Grade	What the row shows	Counts for the certificate?
A	All seven parts. Two specific Whys that do not lean on each other, a price-stop in rupees, a testable Why-stop, and a review date or trigger.	Yes
C	All seven parts filled, but one is vague: Why 2 repeats Why 1, the Why-stop cannot be tested, or the review point just says 'later'.	Yes; sharpen the vague part next time
D	A part is missing or copied, a tip or 'everyone is buying' is used as a Why, or there is no Why-stop.	Not yet: fix the weak part and ask your mentor to grade it again

OUTCOME

By the end you can paper-trade with fills you could really have got, record a gap through your stop honestly, keep a ten-column journal with one emotion word per row, score your own adherence as points ÷ decisions, and start a seven-part Portfolio row your mentor can grade.

TOOLS

- Google Sheets
- TradingView free chart
- The app's Portfolio page
- Any AI chat

WITH YOUR BATCH

Scorebook swap: after your first week, swap journal sheets with a classmate (only the ten columns, no names or personal details) and score each other's adherence without looking at profit or loss. If your score for yourself is higher than theirs for you, find the row where you went easy on yourself. Stock names in the sheet are a record, not tips: never act on them or forward them. Then swap one Portfolio row with a partner and grade it A, C or D with the guide in Today's task; tell them the one part that would lift it a grade.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names, prices and paper results in this lesson are made up for illustration; paper results are hypothetical, and past performance is not indicative of future results. Stage 1 uses virtual money only. No affiliation with any tool named. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Journal detective

You are a calm trading-journal coach for a beginner who paper-trades with virtual money only. I will paste rows from my paper-trade journal with ten columns: Date, Stock, Setup, Entry, Stop, Qty, Exit, R result, Rule broken?, Emotion. A row with Setup = 'No setup' is a day on which I found no setup, and Setup = 'Skipped: <rule>' is a setup I skipped because of a written rule. Summarise in this order: (1) the number of decisions, trades and no-setup days; (2) my adherence score as points divided by decisions, where a trade that kept every rule, a setup skipped because of a written rule, and a no-setup day with no trade each score 1, and any broken rule scores 0; (3) which rules broke and how often; (4) which emotion words show up together with broken rules, on which days, and whether those broken rules follow a winning or a losing trade; (5) three questions I should ask myself next week. Label every statement Fact (directly visible in my rows) or Guess (your interpretation), and list as Kachra any of my beliefs below that the rows do not support. Do not judge me or the strategy by profit or loss; use the R result column only to check whether broken rules come more often on the day after a win or after a loss; do not suggest changing the strategy, do not recommend any stock, and give no buy or sell advice, targets or return expectations. I have removed all personal details.

My beliefs to check (1 to 3, for example 'I break more rules on Mondays'): <write here>

Journal rows:

<paste here>

Honest fill check

Act as a strict paper-trading auditor for a beginner who uses virtual money only. I will describe one paper trade: the plan I wrote the evening before (signal close, signal-day low, ATR(14), maximum entry, stop distance, quantity), the daily candles (open, high, low, close) of the following days, the entry and exit I recorded, and my virtual capital of Rs 10,00,000 with 1R = Rs 10,000. Check my record against these rules: (a) the entry is the next day's open, and only if that open is at or below the maximum entry (signal close + $0.5 \times \text{ATR}$) and not below the signal-day low; otherwise the trade is skipped; the stop is the entry minus $1.5 \times \text{ATR}$, and the profit exit is the entry plus $2.5 \times$ that stop distance; (b) a sell waiting at the profit exit counts only if the price traded above it, and a touch does not count; if a day opened above it, the exit is that open; (c) if a day opened below my stop, the exit is that opening price, not the stop; (d) if one daily candle touched both my stop and my profit exit, the stop counts; (e) the R result is (exit - entry) $\times$ quantity divided by Rs 10,000 (1R), and $0.1R$ is subtracted from every closed trade for costs and slippage; for a full-size trade this is almost exactly (exit - entry) divided by (entry - stop); (f) quantity must not exceed the smaller of Rs 10,000 divided by the stop distance and Rs 2,50,000 (25% of capital) divided by the maximum entry price, both rounded down; the quantity is fixed the evening before, so a lower open does not raise it; (g) if a day's low reached my stop but the day did not open below it, the exit is the stop; (h) if the stock was locked at its lower price band, the exit is the first price it traded at afterwards, usually a later open; (i) if neither the stop nor the profit exit was hit by the close of the 15th trading day after entry (the entry day counts as day 1), the exit is the next open. Tell me which rule, if any, my record breaks, and recompute the honest R result step by step, showing the arithmetic. Label each statement Fact (follows from my numbers) or Guess. Do not recommend any stock, and give no buy or sell advice, targets or return expectations.

Portfolio row check

You are a strict but kind coach for an Indian beginner who paper-trades with virtual money only. I will paste one row from my practice portfolio with seven parts: Full Why 1 (a business reason), Full Why 2 (a second, independent reason), the top risk, my answer to that risk, a price-stop, a Why-stop (the fact that would prove the idea wrong) and a review point (a date or trigger to look again). The company may be made up, and I have removed all personal details. For each part, say whether it is Specific (a checkable fact, number or date), Vague (true but too general to check) or Missing, and quote my words. Check that the two Whys are really independent of each other, that the Why-stop could actually be proved true or false, that the price-stop is a price, and that the review point is a date or a clear trigger. Then say which band the row is closest to: A (all seven parts: two specific Whys that do not lean on each other, a price-stop in rupees, a testable Why-stop, and a review date or trigger), C (all seven filled, but one is vague: Why 2 repeats Why 1, the Why-stop cannot be tested, or the review point just says 'later') or D (a part is missing or copied, a tip or 'everyone is buying' is used as a Why, or there is no Why-stop), and suggest one rewrite for the weakest part. This is practice feedback only; my mentor gives the real grade. Do not judge whether the company or the trade is good, do not recommend any stock, and give no buy or sell advice, targets or return expectations.

My row:

<paste here>

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Write today's row, even if it says 'No setup'. Which one emotion word fits today? Was there a moment you thought 'paper hai, chalta hai', and what did you do next?

Write your answer here, then save it in the app's Journal tab.

Your journal got its first row today. Keep it honest on the days no one would ever check; those rows will teach you the most.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Priya's plan card for Bharat Pumps Ltd: signal close Rs 250, signal-day low Rs 244, ATR(14) Rs 8, so her maximum entry is Rs 254. Next day the stock opens at Rs 247 and trades between Rs 242 and Rs 256. Under the course's paper rules, what entry goes in her journal?

- ☐ A Skip: it traded below Rs 244
- ☐ B Rs 242, the day's low
- ☐ C Rs 250, the signal close
- ☐ D Rs 247, the day's open

Q2. Priya's paper trade has an entry of Rs 300 and a stop at Rs 285. Bad news comes after the close, and the next day opens at Rs 279, below her stop. Using the course rules (exit at the open, then the 0.1R allowance), what R result goes in her journal?

- ☐ A -1.1R
- ☐ B -1.4R
- ☐ C -1.0R
- ☐ D -1.5R

Q3. In one week Priya logs five decisions. She stayed out on two no-setup days, took one trade that kept every rule, skipped one setup because its results date fell within the next 15 trading days, and took one trade without writing a plan first. What is her adherence score?

- ☐ A 60%, scoring the skip as 0
- ☐ B 40%, 2 of 5 decisions
- ☐ C 80%, 4 of 5 decisions
- ☐ D 50%, 1 of her 2 trades

Q4. Aman pastes two weeks of journal rows, with no personal details, into an AI chat. Which request fits the way this course uses AI?

- ☐ A Which stock from my list should I buy next week?
- ☐ B Which emotion words show up on days I broke a rule?
- ☐ C How much profit can I expect if I keep this up?
- ☐ D Should I switch to a new strategy from tomorrow?

Q5. On paper, Aman moves his stop further away 'because it is only paper money'. The trade then recovers and closes at +1.2R. How should it go into his journal?

- ☐ A Rule broken, 0 points, whatever the result
- ☐ B Rule kept, 1 point, since it closed in profit
- ☐ C Not logged, as it was only paper money
- ☐ D 1 point, because he stayed patient in the trade

Strategy #2: Opening Range Breakout (optional)

Concept: Opening Range Breakout: an optional intraday strategy, written as rules

AI Lab: ORB rule-card audit: AI finds the weak spots, you fix them

Mindset: Breakout FOMO

Strategy: Opening Range Breakout (ORB)

The breakout that wasn't

A working day, 9:22 am. Aman is in his office cab in Pune with a 5-minute chart open. Priya is on the call from Lucknow.



Aman

Kiran Foods is up Rs 12 since the open. It's breaking out. I just bought 2,000 shares on paper at Rs 476, before it runs away.

9:40 am. Kiran Foods is back at Rs 464. Aman is down Rs 24,000 on paper. He had set no stop. And his Rs 9.52 lakh position was nearly four times the 25% cap.



Priya

Aman, breaking out of what? At 9:22 the first 15 minutes were not even over. And where was your stop?



Aman

There was no stop. Rs 24,000 is 2.4R, more than my whole daily limit of 2R. And from 9:30 I am at my desk.



Mentor

Then who watches this trade at 10:30, while you are in a meeting? The idea was not the problem, Aman; the rush was. Today we write ORB as rules: when to wait, when to enter, where to exit and when not to trade. On Day 10 your own answers ruled intraday out for you; today you will see exactly why.

The lesson: A breakout you chase is a feeling. A close outside a marked range, on written rules, is a setup.

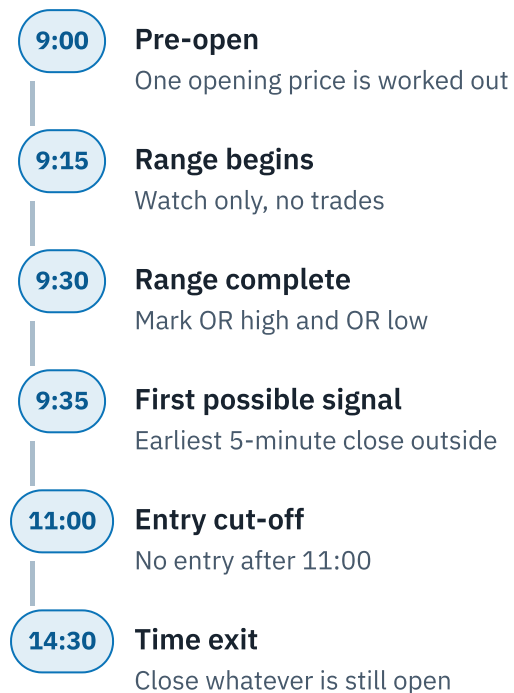
Learn

01 ORB in one line, and who it is for

The first minutes after 9:15 are the noisiest of the day: overnight news, pending orders and emotions all hit the market at once. The Opening Range Breakout, or ORB, waits out this noise. You mark the highest and lowest price of the first 15 minutes, 9:15 to 9:30; that box is the opening range (OR). If a 5-minute candle later closes outside the box, that is a breakout. On trend days the early push can carry on for hours; on choppy

days, when price swings up and down with no direction, it often fails. ORB is optional in this course: take it up only if you can watch the screen from 9:15 to 11:00 on working days and are free again at 14:30 (2:30 pm) to close anything still open; otherwise stay with EMA Pullback Swing from Day 11.

An ORB morning



Times are IST on NSE trading days. Check nseindia.com for holidays and any change in timings.

EXAMPLE

Priya's office hours rule out live ORB, so on Sunday she scrolls back to last Tuesday's 5-minute chart of Bharat Pumps Ltd. (The name is made up; picture a large, heavily traded company.) It opened at Rs 1,003 and in the first 15 minutes swung between Rs 1,000 and Rs 1,010, so she writes 'OR 1,000-1,010' in her notebook and covers the rest of the chart. Think of a Test-match opener: he leaves the first few balls outside off stump and reads the pitch before playing big shots. Use ORB only on liquid cash stocks; to start, only shares from the NIFTY 50 list, and never futures or options, not even on paper. The NIFTY 50 index itself is not a share and has no volume of its own, so you cannot buy it as a share and VWAP cannot be drawn on it.

Remember: ORB = mark the first 15 minutes, then wait for a close outside. No screen time from 9:15 to 11:00 and again at 14:30, no ORB.

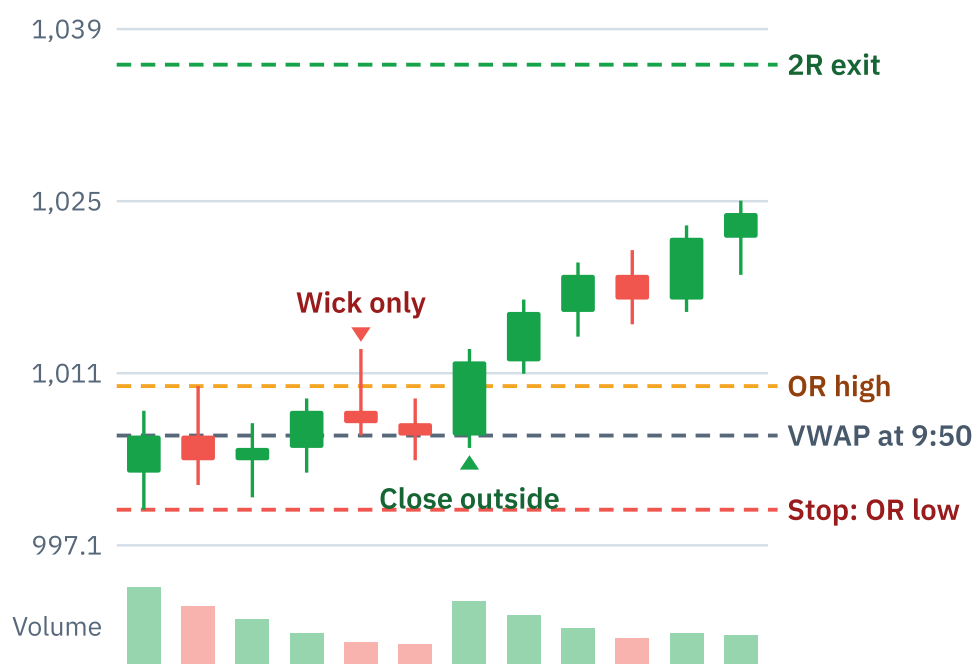
02 The entry: a close outside, not a wick

A wick is the thin line of a candle: price visited there but could not stay. The close is where the candle finished after five minutes of buying and selling, so ORB acts only when a 5-minute candle closes outside the range. Charts name a candle by the minute it starts: the 9:30 candle closes at 9:35, the earliest possible signal. A long needs that close above the range high with price above VWAP (Day 8); a short needs a close below the

range low with price below VWAP. The breakout candle's volume must also beat its 20-candle average; early in the day that average still includes yesterday's quiet afternoon, so treat it as a minimum, not proof. On paper, your entry is the next candle's open, the first price you could really have got.

Wick vs close

ILLUSTRATIVE



5-minute candles from 9:15. The first three make the range. The 9:35-9:40 candle only poked out; the 9:45-9:50 candle closed outside on strong volume, above VWAP.

EXAMPLE

On the chart below, Bharat Pumps' range is Rs 1,000-1,010. The 9:35-9:40 candle spikes to Rs 1,013 on thin volume but closes at Rs 1,007, back inside: no entry, however exciting it looked. The 9:45-9:50 candle closes at Rs 1,012 on volume well above its 20-candle average (its bar is the tallest since the range formed), and VWAP is near Rs 1,006, below the price. That is the signal. The paper entry is the next candle's open, Rs 1,012.

Remember: A wick is a visit; a close is a decision. ORB trades only closes.

03 Stop, profit exit, time exit and size

Every ORB trade has three exits written down before you enter. The stop sits at the other side of the range: the range low for a long, the range high for a short. The profit exit is 2R, twice your risk per share, and anything still open at 14:30 is closed, well before any broker square-off. Size comes from Day 9: $\text{Rs } 10,000 \div \text{the distance between entry and stop, rounded down}$, then checked against the 25% cap; take the smaller number. ORB has no evening plan, so you work both numbers out in the five minutes between the breakout close and the next open, using that close as your planned entry. ORB stops are tight, so the 25% cap is usually the smaller one and a full stop-out costs less than Rs 10,000. Your journal still records it the Day 12

way: rupees ÷ Rs 10,000, minus the 0.1R allowance. The Day 9 daily stop still applies: stop for the day at -2R. Because capped ORB stop-outs usually cost less than 1R, ORB adds a second line: after two stop-outs in a day, you are done, whichever comes first.

Sizing one ORB trade

Entry (next open)	Rs 1,012
- Stop (range low)	Rs 1,000
= Risk per share	Rs 12
1% rule: Rs 10,000 ÷ 12	833
25% cap: Rs 2,50,000 ÷ 1,012	247
= Shares to buy (the smaller)	247

Risk on this trade: 247 x Rs 12 = Rs 2,964. Profit exit at 2R: Rs 1,012 + Rs 24 = Rs 1,036.

EXAMPLE

Bharat Pumps: entry Rs 1,012, stop Rs 1,000, so the risk is Rs 12 a share. The 1% rule alone allows 833 shares, but that is about Rs 8.4 lakh of stock, far above the 25% cap of Rs 2.5 lakh. So Priya's paper test uses 247 shares and risks Rs 2,964, less than 1%; the 1% is a ceiling, not a goal. Then she uncovers the rest of the day and records whichever came first: stop, profit exit or 14:30. That day price never reached Rs 1,036, and the 14:30 candle opened at Rs 1,027, so her exit is Rs 1,027: 247 x Rs 15 = Rs 3,705, which is 0.37R, or +0.27R after the allowance. Day 12's paper rules still apply: the profit exit counts only if price traded beyond it, and the 0.1R cost allowance comes off. The Day 12 both-touched rule applies here too: if the stop and the profit exit both fall inside one 5-minute candle, count the stop, because the chart cannot show which came first. If every winner reached the full 2R, the breakeven win-rate before costs would be $1 \div (1 + 2)$, about 33%; 14:30 exits and costs push it higher.

Remember: Stop at the range's other side, 2R profit exit, out by 14:30. Size = the smaller of the 1% rule and the 25% cap.

04 Short selling in cash: learn the rules before the trade

Short selling means selling shares you do not own, hoping to buy them back cheaper. In the cash segment, a retail trader with a normal trading account can do this only within the day: brokers offer it as an intraday product, and every short must be bought back, or squared off, before the market closes. (Carrying a short overnight needs borrowed shares through a separate securities lending scheme, which is outside this course.) If a short is not bought back and you cannot deliver the shares at settlement, the exchange buys them in an auction at your cost and adds a penalty, and that bill can be far bigger than your stop. A short is also riskier by nature: a price can only fall to zero, but it can keep rising. In Stage 1, all of this stays on paper.

Priya's paper short in Gupta Cement Ltd

ILLUSTRATIVE



5-minute candles from 9:15. The 9:35 candle only poked below the range; the 9:50 candle closed below it on strong volume, under VWAP (about Rs 499). Entry Rs 495 at the next open, stop at the range high. Price later traded below Rs 475, so the buy-back fills at Rs 475. Stage 1: paper only, cash shares only.

EXAMPLE

On another past morning that Priya scrolls back to, Gupta Cement Ltd's range is Rs 497-505. The 9:50-9:55 candle closes at Rs 495: below the range, below VWAP, on above-average volume. Priya's paper short: entry Rs 495 at the next open, stop at the range high of Rs 505, risk Rs 10 a share. The 1% rule allows 1,000 shares and the 25% cap allows 505, so she shorts 505 and risks Rs 5,050; her 2R profit exit is Rs 475, and at 14:30 she buys back whatever is left. By 10:40 price trades at Rs 474, below her exit, so the buy-back at Rs 475 counts. The cap kept her risk to Rs 5,050, about half of 1R, so this '2R' exit is worth about 1R in her journal: $505 \times \text{Rs } 20 = \text{Rs } 10,100$, or $+0.91R$ after the allowance. Now picture why this course keeps you to NIFTY 50 stocks: news at 1 pm sends a small, thinly traded stock to its upper price band, sellers vanish and a short seller cannot buy back. That is how an auction bill is born.

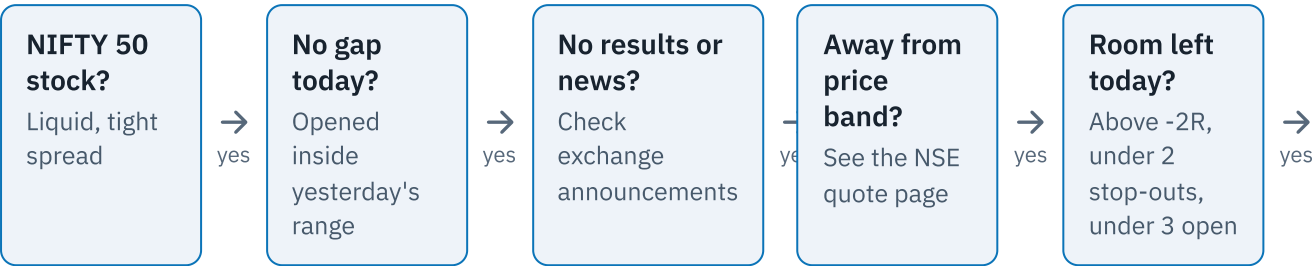
Remember: A cash short lives for one day only. Buy it back by 14:30, every time.

05 Gap days and your starter no-trade list

Some mornings the best ORB trade is no trade. A gap day is when a stock opens above yesterday's high or below yesterday's low, often on overnight news; its first 15 minutes tend to be wild, the range can be very wide, and part of the move may be spent before the range even forms. Skip ORB in a stock on its gap days. Do not change this rule before you have 30 ORB paper trades in your journal, and then only in writing, at the weekend. Also skip a stock on its results day or a day of big company news, and skip any stock stuck at or near its price band, where you may not be able to get out; the band is shown on the stock's NSE quote page

(many NIFTY 50 stocks show 'No Band' there; this check matters most for other stocks). Take no new trade once the day hits -2R or two stop-outs, whichever comes first, and none while 3 trades are already open. Day 19 turns this starter list into a full event calendar.

The pre-trade gate



Mark the range
Then wait for a close

One 'no' anywhere means no ORB trade in that stock today.

EXAMPLE

In her Sunday practice on past charts, Sharma Textiles Ltd had traded between Rs 290 and Rs 300 the day before, then opened at Rs 318 after overnight news, above the previous day's high: a gap day. Aman, on the call, wants to buy the 'strength'. Priya checks her card, sees 'gap day: skip', and writes 'Skipped: gap day' in her journal. On Day 12's adherence score, that counts as following her rules.

Remember: A no-trade day is a decision, not a missed chance, and it still counts as following your rules.

06 Breakout FOMO: the trade you chase

FOMO, the fear of missing out, is the pull you feel when a price is running and everyone seems to be in. In ORB it shows up in three ways: buying before the range is complete, chasing a breakout that happened long ago, and jumping back in right after a stop-out. A fakeout, a false breakout that falls back inside the range, often punishes all three. The rule stays plain: you enter only at the open after the first close outside that passes both checks, and only if that open comes by 11:00; if you missed it, the trade is gone. One ORB trade per stock per day, so a stop-out is never followed by a revenge trade in the same stock. Judge ORB after 30 paper trades, never on one exciting morning.

Rupee risk as you chase



Same stop at Rs 1,000, size capped at 25% (247, 245, 243 shares). The 2R profit exit runs from Rs 1,036 to Rs 1,060 to Rs 1,084.

EXAMPLE

On the Bharat Pumps chart, the signal was the 9:45-9:50 candle and the entry was Rs 1,012. That morning, at 10:30, Aman glances at his phone at his desk, sees the stock at Rs 1,028 and wants in. His stop would still be the range low of Rs 1,000, so his risk per share jumps from Rs 12 to Rs 28, and his 2R profit exit moves from Rs 1,036 to Rs 1,084. Even inside the 25% cap, his rupee risk more than doubles.

Remember: Missed is not lost. Waiting for the next setup costs nothing.

Words from today

Opening range (OR)

The high and low of the first 15 minutes of trading, 9:15 to 9:30. ORB waits for price to close outside it.

Breakout close

A 5-minute candle that closes outside the opening range. A wick poking out does not count.

Fakeout

A false breakout: price moves outside the range, sometimes even closes outside, then falls back inside. Waiting for a close filters out the wick-only ones; the stop at the other side limits the damage from the rest.

Short selling (cash)

Selling shares you do not own and buying them back later. With a normal trading account, a retail short in the cash segment is intraday only.

Square-off

Closing an open intraday position before the day ends. Brokers may do it near the close; in ORB you do it yourself by 14:30.

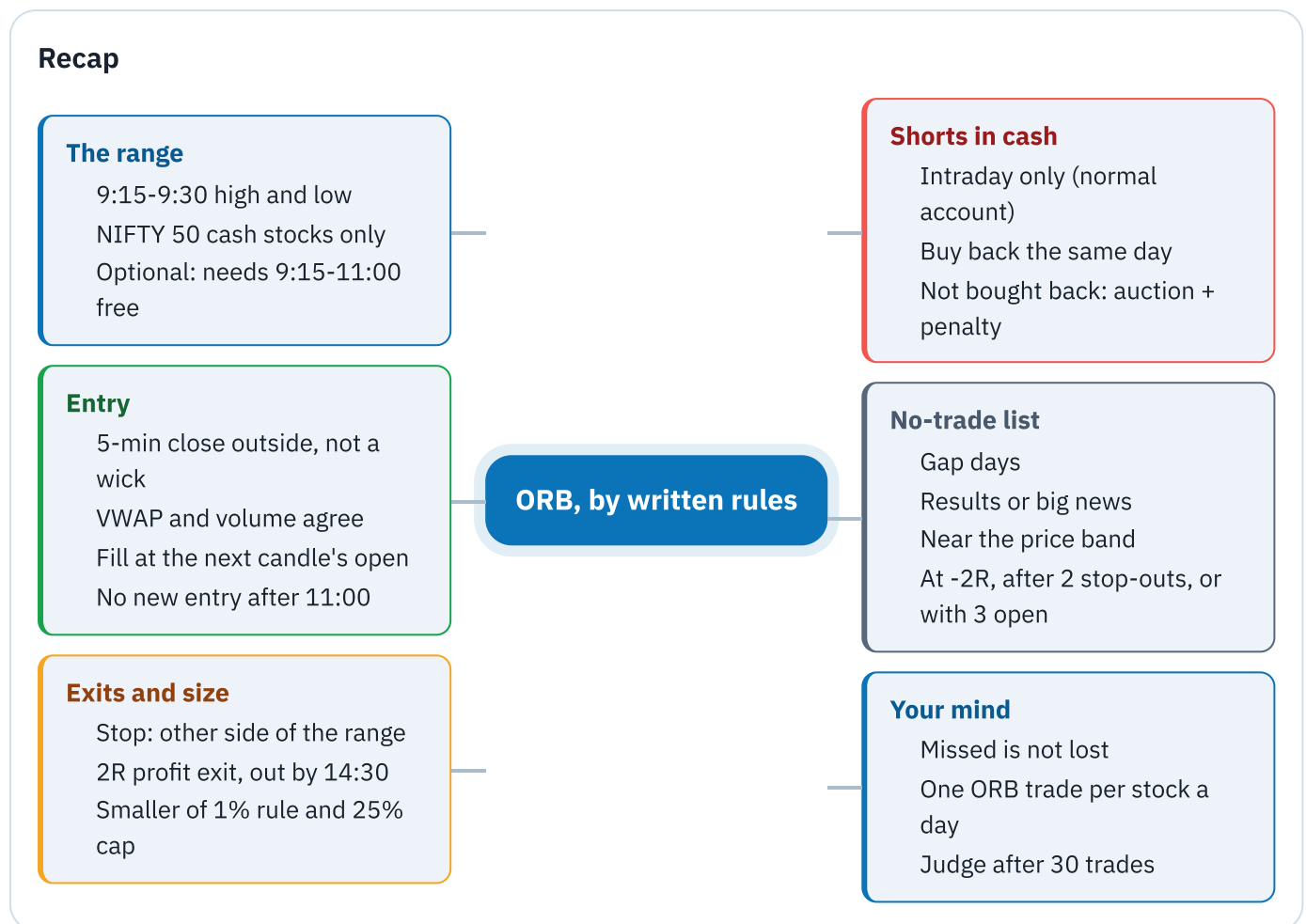
Short-delivery auction

If a short is not bought back and the shares are not delivered, the exchange buys them in an auction at the seller's cost, plus a penalty.

Gap day

A day a stock opens above yesterday's high or below yesterday's low, often on overnight news. Skip ORB in that stock that day.

Recap map



Today's task

50 min

Write your ORB rule card from the model below, then test it by hand on one past morning of a NIFTY 50 stock and log it in the replay log. Do this once even if EMA Pullback stays your strategy. Stretch (about 30 minutes more): repeat on four more past mornings this week.

- ☐ In Google Sheets or on paper, copy the model ORB rule card below in your own words: setup, entry, stop, 2R profit exit, 14:30 time exit, size (1% rule and 25% cap), your starter no-trade list, and one ORB trade per stock per day.
- ☐ Open a free TradingView chart of any stock from the NIFTY 50 list, set the 5-minute timeframe, add VWAP and Volume, and if your Volume settings offer a moving average, set it to 20. Then scroll back to a past trading day.
- ☐ Check the gate first: if that day opened above the previous day's high or below its low, log 'Skipped: gap day' and choose another day. Otherwise, draw two horizontal lines at the high and low of the 9:15, 9:20 and 9:25 candles: your opening range.
- ☐ Scroll the chart so the range's last candle, the 9:25 one, sits at the right edge of the screen (or cover the rest with a sticky note), then move forward one candle at a time up to 11:00, writing 'entry' or 'no entry' before each step. If you got an entry, keep going until the stop, the profit exit or 14:30.

- ☐ Log it as one row of the ORB replay log below (longs and shorts both go there): range, first valid close, entry at the next open, stop, 2R profit exit, what came first (stop, profit exit or 14:30) and the R result the Day 12 way. No entry by 11:00? Write 'No setup'. A replay is practice, like Day 17's hand backtest, so it stays out of your Day 12 paper journal.
- ☐ Paste your rule card into the AI Lab prompt 'ORB rule-card audit' and rewrite every rule it flags as unclear.

YOUR TEMPLATE

ORB rule card (model)

Copy it in your own words, then run it through the AI Lab prompt 'ORB rule-card audit'. Times are IST on NSE trading days; check nseindia.com for holidays and timing changes.

Card line	Long	Short
Who	Only if you can watch 9:15-11:00 and act again at 14:30	Same
Stocks	NIFTY 50 cash shares only; never F&O, not even on paper	Same; intraday only, bought back the same day
Opening range	High and low of the 9:15, 9:20 and 9:25 candles	Same
Signal	First 5-minute close above the range high	First 5-minute close below the range low
Checks	Price above VWAP; volume above its 20-candle average	Price below VWAP; volume above its 20-candle average
Entry	Next candle's open, only if it comes by 11:00	Same
Stop	Range low	Range high
Profit exit	Entry + 2 x (entry - stop)	Entry - 2 x (stop - entry)
Time exit	Sell whatever is still open at 14:30	Buy back whatever is still open at 14:30
Size	Smaller of Rs 10,000 ÷ (entry - stop) and Rs 2,50,000 ÷ entry, worked out at the breakout close	Same, with (stop - entry) as the risk per share
Stop and exit in one candle	Count the stop	Same
Day limits	One ORB trade per stock; done at -2R or two stop-outs; at most 3 open	Same

Card line	Long	Short
Skip the stock today	Gap day, results or big news, near its price band	Same

ORB replay log (practice, not your paper journal)

Priya's three replays show the format; use the blank rows for yours. Live ORB paper trades, taken while the market is open, go in your Day 12 journal instead.

Past date	Stock	Range	First valid close	Entry / stop / 2R exit	How it ended (R)
01-09	Bharat Pumps Ltd	1,000-1,010	9:45 candle, long	1,012 / 1,000 / 1,036	14:30 exit at 1,027: +0.27R
12-05	Gupta Cement Ltd	497-505	9:50 candle, short	495 / 505 / 475	Bought back at 475: +0.91R
14-05	Sharma Textiles Ltd	-	None: gap day	-	Skipped: gap day

OUTCOME

By the end you can mark an opening range, tell a breakout close from a wick that only poked out, plan the stop, 2R profit exit, time exit and size of an ORB paper trade, explain the rules and risks of short selling in the cash segment, name the days when you should not trade ORB at all, and log a hand replay of one past morning.

TOOLS

- TradingView free chart (5-min, VWAP, Volume)
- Google Sheets or paper
- NSE website (nseindia.com)
- Any AI chat

WITH YOUR BATCH

'Valid or not?' rapid-fire: one person sketches a range and a few 5-minute candles on paper, and the others call 'entry', 'no entry' or 'no-trade day' within five seconds, then explain why. Then swap rule cards with a partner and hunt for one situation the card does not answer. Every hole found earns the author a rewrite, not a penalty.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names and chart prices are made up for illustration. ORB is taught as an optional learning framework with no performance claim; past performance is not indicative of future results. Stage 1 uses virtual money only; no live orders are required or advised. No affiliation with any charting site named. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

ORB rule-card audit

Act as a strict but kind trading-rules reviewer for an Indian beginner who is paper trading only. I will paste my one-page Opening Range Breakout (ORB) rule card for liquid NSE cash-segment stocks. First, list every rule that is ambiguous, meaning two honest people could read it differently, and suggest stricter wording. Then turn the card into a yes/no pre-trade checklist in the order I would use it between 9:00 and 14:30 IST: opening range marked from 9:15 to 9:30; a 5-minute close outside the range, not a wick; VWAP on the same side; breakout volume above its 20-candle average; entry at the next candle's open after the first close outside that passes both checks, and only if that open comes by 11:00; stop at the other side of the range; 2R profit exit; time exit at 14:30; if the stop and the profit exit fall inside one candle, count the stop; no new entries after 11:00; quantity = $(\text{capital} \times 1\%) / (\text{distance between entry and stop; stop minus entry for a short})$, capped at 25% of capital; at most 3 open trades; one ORB trade per stock per day; no new trades once the day hits -2R or two stop-outs, whichever comes first; and the no-trade checks (gap day, results or big news, near the price band). Flag anything in my card that uses futures or options, because this course does not allow them, not even on paper. Do not comment on how profitable ORB is, do not recommend any stock, do not give buy or sell advice, and do not mention price targets for real stocks or expected returns.

My rule card:
<paste here>

Short-selling reality check

Explain to a complete beginner how intraday short selling works for a retail trader in the Indian cash (equity) segment: why a short must be squared off the same day, what a broker's auto square-off is and why a trader should not rely on it, what happens in concept if a short is not bought back and the shares are not delivered at settlement (the exchange auction and the penalty), and why a stock stuck at its upper price band is dangerous for a short seller. Use a made-up company, 'Gupta Cement Ltd', and simple rupee numbers. Label every statement Fact (checkable on the NSE, BSE or SEBI websites or with a broker), Guess (you are unsure, or it may have changed) or Kachra (a popular myth). End with a list of points I should verify on nseindia.com or with a broker, because rules and timings can change. Do not quote penalty rates or percentages, do not recommend any stock, do not give buy or sell advice, and do not mention targets or expected returns.

Valid or not? drill

Create 8 short practice scenarios for the Opening Range Breakout rules below, using made-up NSE cash stocks only (for example 'Bharat Pumps Ltd'). For each scenario give yesterday's high and low, today's open, the 9:15-9:30 range high and low, and three or four 5-minute candles after 9:30 with open, high, low, close, volume compared with its 20-candle average, and VWAP. Show me one scenario at a time and ask: entry, no entry, or no-trade day? Wait for my answer, then explain the correct answer using only these rules: entry only on the first 5-minute close outside the range that has VWAP on the same side and above-average volume; entry at the next candle's open, which must come by 11:00; no entries after 11:00; skip gap days, results days and stocks near their price band; one ORB trade per stock per day. Include at least two wick-only fakeouts and one gap day. Do not use real company names, do not give buy or sell advice, and do not mention returns or how profitable ORB is.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

When did you last act because 'everyone is getting in', in a sale, a queue, a tip or a trade? What did it cost you? And which single line of your ORB rule card would have stopped Aman at 9:22?

Write your answer here, then save it in the app's Journal tab.

A rule you can follow on a dull morning is worth more than a setup you love on an exciting one. Today you wrote one down.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Sharma Textiles Ltd's opening range is Rs 300 to Rs 306. The 9:40-9:45 candle rises to Rs 308 but closes at Rs 305, and VWAP is Rs 303. Under today's rules, what do you do?

- ☐ A Buy now, since price has already crossed above Rs 306
- ☐ B No entry: the candle closed back inside the range
- ☐ C Short at once, because the breakout has failed
- ☐ D Buy at Rs 308, the high of that 5-minute candle

Q2. Capital is Rs 10,00,000. A paper ORB short in Kiran Foods Ltd has an entry of Rs 400 and a stop at the range high of Rs 408. Using the 1% rule and the 25% cap, how many shares do you short?

- ☐ A 25 shares
- ☐ B 1,250 shares
- ☐ C 625 shares
- ☐ D None: a cash short is not allowed

Q3. On a day's leave from office, Aman short-sells 300 shares of Gupta Cement Ltd on paper, in the cash segment, at 10:00 as an intraday trade. Which statement is correct?

- ☐ A He can carry it overnight as a normal delivery trade
- ☐ B He must buy the shares back before the market closes today
- ☐ C He can keep the short open for up to a week
- ☐ D He has until T+1 settlement to buy them back

Q4. Yesterday Bharat Pumps Ltd traded between Rs 980 and Rs 1,000. After overnight news, it opens today at Rs 1,030. What does your starter no-trade list say?

- ☐ A Use yesterday's range as today's opening range
- ☐ B Trade a bigger size, since the gap shows strength
- ☐ C Skip ORB in this stock today, as it is a gap day
- ☐ D Buy at 9:15 before the opening range even forms

Q5. The first close above the range that passed both checks came at 9:50, and you missed it. At 10:30 the stock is Rs 18 above the range high, and your office group says there is still time. What does your rule card say?

- ☐ A Wait for a pullback, then enter after 11:00
- ☐ B Skip it: the entry was the open after 9:50
- ☐ C Enter now, but with half the usual quantity
- ☐ D Enter now, with a tighter stop than usual

Week 2 review and Shortcut Trap #2: when a result looks too good

Concept: Process review, and reading performance claims: backtests, paid groups, IPO offers

AI Lab: Backtest page reader: Present, Missing or Unclear

Mindset: The pull of the too-good result

The curve that never falls

Sunday evening. On the weekend call, Aman shares a screenshot with Priya and the mentor.



Tip-wala

VIP Premium Group, just Rs 2,999 a month. Our bot's backtest: 92% accuracy, 310% in one year. Plus assured IPO allotment through our special quota. Only 7 seats left.



Aman

Sir, look at this curve. It only goes up. My paper trades ended in the red this week, and this bot does not seem to lose at all. Rs 2,999 is nothing next to 310%.



Mentor

Before you pay, Aman, three questions. Where are the losing trades on this curve? How many trades is it built on? And were costs taken out?



Priya

And sir, on Day 10 we read that when more retail investors apply than there are lots to give, allotment is decided by lottery. So how can anyone assure it?



Mentor

Good catch, Priya. Today we first review your own paper week, losses included. Then we give this page the same honest test. A result that hides its losses, costs and trade count is not a result. It is an advertisement.

The lesson: The more perfect a result looks, the more questions it owes you.

Learn

01 Week 2 in one trade

This week you built a full toolkit. Here it is in the order you use it; the example then runs one paper trade through it. Style comes first (Day 10): with a day job, swing trading fits, so the default is the EMA Pullback Swing (Day 11). The chart check uses the four tools from Day 8: EMA 20 and 50 for trend, RSI 14 for momentum, ATR 14 for normal movement, and VWAP only on intraday charts. Then risk (Day 9): 1% per trade, size from the formula, and no position above 25% of capital, checked at your maximum entry the

evening before. Keep at most 3 open trades, each in a different sector, stop for the day after -2R, and pause to review after -5R in a week. Last, the trade goes into your Day 12 journal; ORB (Day 13) stays optional, only for those who can watch 9:15 to 11:00.

Sizing one trade, Week 2 style

1R = 1% of Rs 10,00,000	Rs 10,000
÷ Stop distance: 1.5 x ATR (Rs 12)	Rs 18
= Size by risk, rounded down (555.6)	555
Check at the max entry: 555 x Rs 500, over the Rs 2,50,000 cap	Rs 2,77,500
Cap: Rs 2,50,000 ÷ Rs 500 max entry, in shares	500
= Final size in shares (risk Rs 9,000 = 0.9R)	500

Size is fixed the evening before: risk gives the first number, and the 25% cap, checked at the maximum entry, can cut it. Real risk then drops below 1R, which is fine.

EXAMPLE

Bharat Pumps Ltd passes all four Day 11 rules: EMA 20 is above a rising EMA 50, the close is near EMA 20, RSI 14 has cooled to 46, and it has beaten NIFTY 50 over 3 months. Its signal candle closes at Rs 494, above the previous day's high, and that day's low is Rs 486. ATR 14 is Rs 12, so that evening you write the plan: enter at the next open, but skip if it opens above Rs 500 ($\text{Rs } 494 + 0.5 \times 12$) or below Rs 486. The stop will sit $1.5 \times 12 = \text{Rs } 18$ below the entry, so the size is fixed the same evening: on Rs 10 lakh, 1R is Rs 10,000, and $10,000 \div 18 = 555.6$, rounded down to 555 shares. The 25% cap is checked at the highest price you might pay, the Rs 500 maximum entry: $555 \times \text{Rs } 500 = \text{Rs } 2,77,500$, above the Rs 2,50,000 cap, so the plan says 500 shares. Next morning it opens at Rs 496, inside both limits: entry Rs 496, stop Rs 478, and the position is Rs 2,48,000, under the cap whatever the open. Your real risk is $500 \times \text{Rs } 18 = \text{Rs } 9,000$, 0.9% of capital (0.9R); if the stop is hit, your journal logs -0.9R, before the Day 12 allowance. The same card fixes both exits before entry: a profit exit at $\text{Rs } 496 + 2.5 \times \text{Rs } 18 = \text{Rs } 541$, and a time exit after trading day 15. The cap trims the win too: $500 \times \text{Rs } 45 = \text{Rs } 22,500$, +2.25R before the allowance.

Remember: Size comes from the stop and the cap, never from how sure you feel.

02 Review your paper week like a coach

A good review grades how you traded, not how much you made. Open your Day 12 journal and ask four questions of every trade: did a written rule give the entry, was the size from the formula, did the stop stay where you planned it, and which emotion did you tag? A loss that followed every rule is a correct trade, the normal cost of doing business. A win that broke a rule is the most dangerous trade of the week, because it teaches you that breaking rules pays. A day with no setup and no trade also counts as following your rules. Your Day 12 adherence score turns all this into one number: $\text{points} \div \text{decisions}$. Practise first on the mentor's

10-row practice journal in Today's task, which comes with a key, then ask the same questions of your own rows, however few. Save the result in this lesson's Journal tab as a 'Weekly review': reviews for two of the three weeks are one of the six certificate checks (Day 21).

Process vs outcome

Rules followed

- Win: earned, repeat the process
- Loss: a correct trade, accept it

Rule broken

- Win: dangerous luck, fix the habit
- Loss: a lesson, write the fix

A rule-breaking win feels best and builds the worst habit.

EXAMPLE

Picture seven decisions from Priya's journal a few weeks from now; yours may have only two or three rows so far. Five are closed trades and two are no-setup days. Three trades kept every rule: -1.1R, +2.4R and -1.1R after the Day 12 allowance, a net +0.2R. Even careful Priya broke a rule twice. In one trade she moved her stop lower and lost 1.7R instead of 1.1R. In the other she jumped in before her signal, tagged it 'FOMO', and it closed at its day-15 time exit for +1.1R. Together these rows total -0.4R, but her review says more: 5 of 7 decisions on-rule, an adherence score of 71%, and one fix for next week, 'my stop never moves down'.

Remember: Grade the decision, not the result.

03 Shortcut Trap #2: backtest or brochure?

A backtest runs a fixed rule over past prices to see how it would have done. Bot sellers and paid groups show backtests as proof, so learn four terms first. An equity curve is an account's running total, trade after trade. Drawdown (Day 3) is how far that curve falls from a high before it makes a new one: the pain you would have lived through. Out-of-sample means testing a rule on data it was not built on. Curve-fitting means tuning settings until they fit the past perfectly; such rules often fail on new data. If even one of the five checks below is missing or fails, treat the page as an advertisement, not evidence. SEBI's rules on bot sellers come on Day 16, and your own honest backtest on Day 17.

Five checks before you believe a backtest

1

Costs and slippage

Charges and slippage taken out of every trade

2

Maximum drawdown

The deepest fall, and how long it lasted

3

Trade count

Under 30: too few. 30-100: a start. 100+: more confidence

4

Falling markets

Data covers at least one bad period, not just a rising year

5

Out-of-sample test

Tested on data the settings were not tuned on

One missing or failed? Treat the page as an advertisement.

EXAMPLE

Run the checks on Aman's screenshot. Costs: not mentioned. Drawdown: not shown. Trade count: 25, in small print. Data: one rising year. Out-of-sample: none, and the settings are 'optimised', tuned on that same year. Five of five fail: three are missing and two are too weak. It is a builder's brochure that shows the sunset from the balcony and leaves out the drain next door.

Remember: No costs, no drawdown, no trade count: no belief.

04 Why perfect curves break: costs and new data

Two things quietly flatten most advertised curves. The first is costs: brokerage, STT, exchange charges, GST, stamp duty and slippage are paid on every trade, win or lose, so a strategy with many trades pays a lot. Day 12 taught you to count them in R; a page that skips them shows a result nobody could have banked. The second is new data: a curve-fitted rule looks brilliant on the years it was tuned on and ordinary on the next. There is also a pull inside us. After a week of small, honest losses, a smooth line with no dips feels like relief, and that feeling is exactly what the seller is selling.

Same trades, with and without costs

ILLUSTRATIVE



EXAMPLE

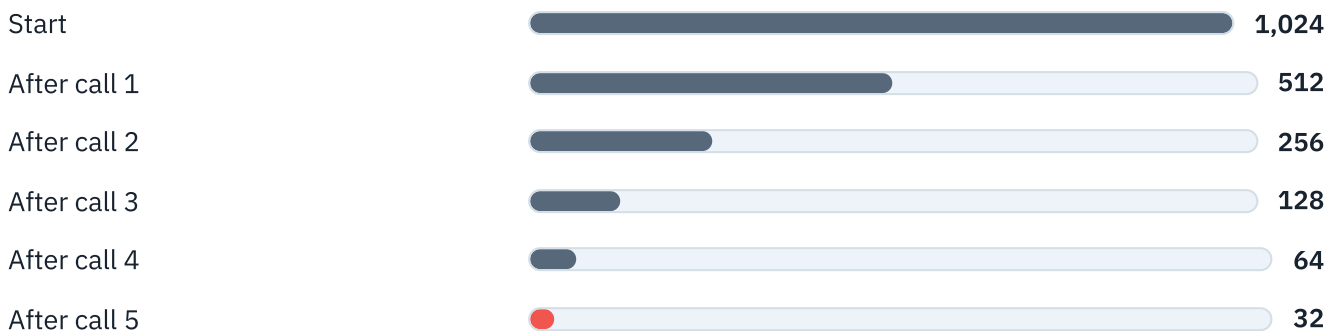
A page shows 40 trades and +11R. Suppose charges and slippage cost 0.2R per trade. That is an illustrative figure, double your Day 12 allowance. It can happen with tight stops or thinly traded stocks: a tight stop means more shares for the same 1R, and more shares pay more charges. $40 \times 0.2R = 8R$, so the real result is +3R. At Rs 10,000 per R, the advert says Rs 1,10,000, while the account would have made Rs 30,000. And the deepest drawdown grows from 4R to 6R, as the chart shows.

Remember: Every trade pays its costs, win or lose. A curve without them is fiction.

05 Tip groups and influencers: the perfect-record trick

A finfluencer is a social-media personality who talks about money; some teach, some sell. A paid group charges a monthly fee for 'calls'. In India, giving buy or sell advice for money needs SEBI registration as a Research Analyst or an Investment Adviser, and you can check any name on sebi.gov.in, as on Day 7. Registration is the minimum check, not proof of skill. SEBI has also barred the brokers, advisers and other entities it regulates from tying up with people who advise without registration or make claims about returns; check the SEBI site for the latest rules. Screenshots of winners prove nothing: losing calls are simply not posted, and any image can be edited.

How the 'perfect record' list shrinks



A perfect five-call record for 32 people, built by elimination, not skill.

EXAMPLE

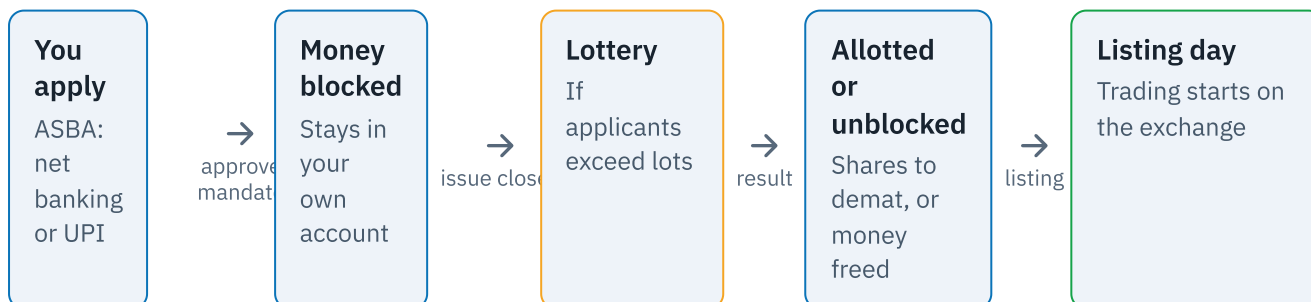
A tipster messages 1,024 strangers about NIFTY 50: half are told 'up tomorrow', half 'down'. Whatever happens, 512 people saw a correct call. He repeats this with only those 512, then 256, and so on. After five rounds, 32 people have seen five correct calls in a row. Some of them think they have found a genius and pay Rs 2,999 a month. He simply kept writing to the people whose call the market happened to prove right.

Remember: A record you cannot check, from a name you cannot find on sebi.gov.in, is not a record.

06 IPO scams: 'GMP' and 'assured allotment'

Day 10 showed how a real IPO application works. You apply through ASBA, by net banking or a UPI mandate in your bank or broker app, and the money is only blocked in your own bank account. If more retail investors apply than there are minimum lots to give, allotment is decided by a computerised lottery under SEBI's rules, so no one can promise you shares. GMP, the grey market premium, is an unofficial, unregulated number quoted outside the exchange; it moves fast and is easy to fake. Scam groups use a high GMP to create excitement, then sell 'assured allotment' through a 'special quota' and ask you to pay into their account.

The real IPO path



No step asks you to pay a person or a group. Check the process on the SEBI or exchange website.

EXAMPLE

A made-up company's IPO is in the news with a 'GMP of Rs 80'. A Telegram group offers Aman '2 lots, assured' if he transfers Rs 30,000 to their account by tonight. Check it against the real path: a real application never moves money out of your own account before allotment, and allotment comes from a lottery. The offer fails on both points. If money has already gone, call the cybercrime helpline 1930, report it on cybercrime.gov.in, and inform the bank at once.

Remember: Three questions for any shortcut: Is the seller on sebi.gov.in? Where are the losses and costs? Why must my money leave my own account?

Words from today

Equity curve

A line showing an account's running total after every trade.

Backtest

Running a fixed rule over past prices to see how it would have done. A test of the past, not a forecast.

Out-of-sample test

Testing a rule on data it was not built or tuned on. One of the fairest checks a backtest can show.

Curve-fitting

Tuning a rule's settings until they fit past data perfectly. It usually looks weaker on new data.

Finfluencer

A social-media personality who talks about money. Paid buy or sell advice needs SEBI registration.

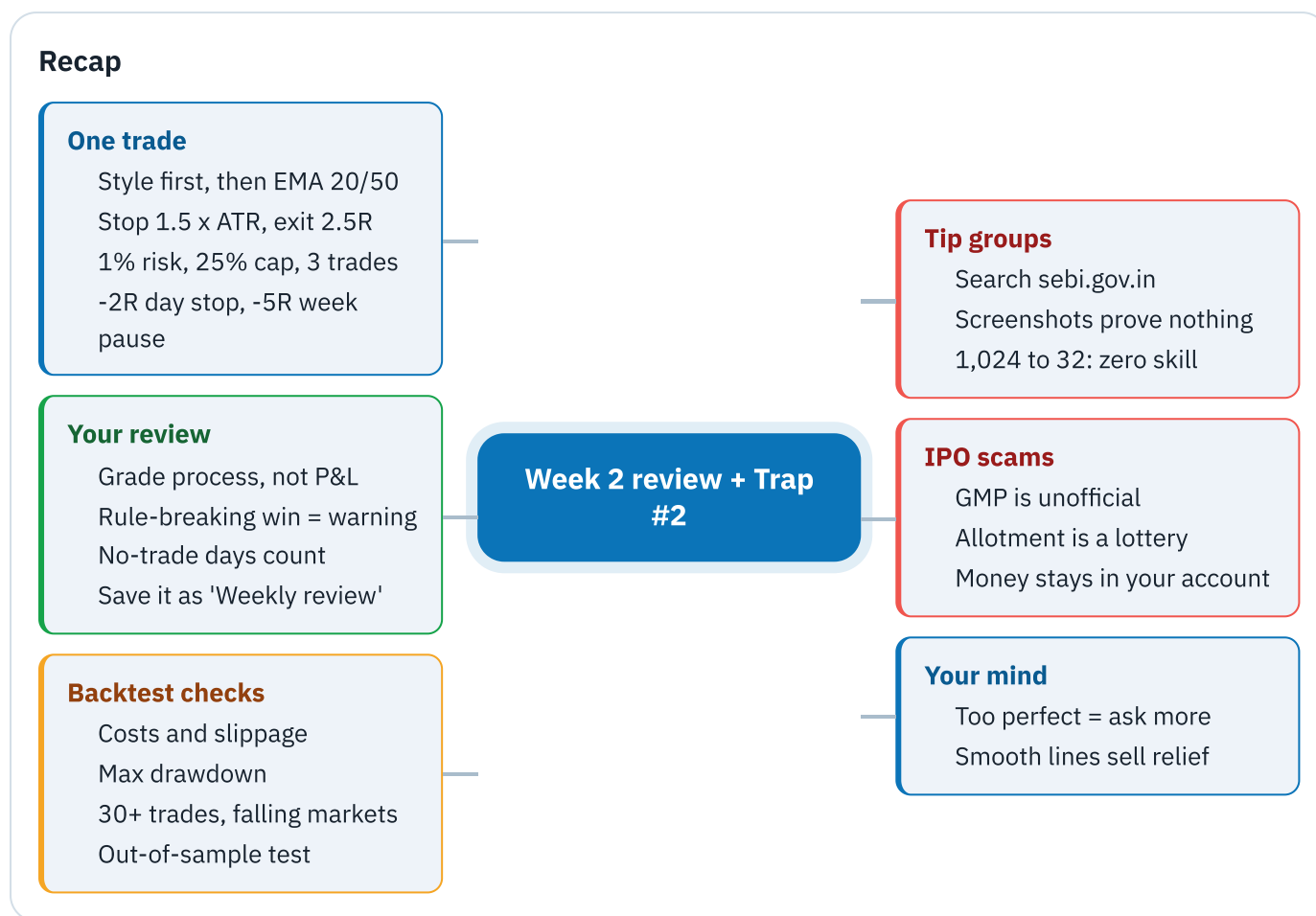
GMP (grey market premium)

Unofficial, unregulated price talk about an IPO before listing. Not an exchange price, and easy to fake.

Weekly review

Your weekend look back at the week's rows, graded on process, not profit. Saved in the Journal tab with Entry type 'Weekly review', it counts toward the certificate (2 of the 3 weeks).

Recap map



Today's task

55 min

Practise a process review on the mentor's 10-row journal, review your own rows and save it as your Weekly review, audit one made-up backtest page, check one name on sebi.gov.in, and play Quiz Game 2.

- ☐ Practise first: fill the Point column of the 10-row practice journal below, work out the adherence score and name each broken rule, then check yourself against the key in the Weekly review card.
- ☐ Now your own rows: open your Day 12 journal and fill the 'Your week' column of the review card: points ÷ decisions (count 'No setup' rows; grade open trades on plan, size and stop), each broken rule with a one-line fix, and your week in R. At -5R or worse, pause and review before the next trade.
- ☐ In this lesson's Journal tab, keep Entry type on 'Weekly review' and write your review in three lines: your score, the rule you broke most (or 'none') and one fix. This entry counts toward the certificate, which needs weekly reviews for 2 of the 3 weeks.
- ☐ Audit this practice page, made up by your mentor (do not open real bot or tips pages): 'TrendRider Bot. 88% winning trades. 34 trades from 1 Jan to 31 Dec of one strong year. Brokerage included. Settings optimised for the best result on this data.' Write Present, Missing or Unclear for each of the five checks, then compare with the key: costs Unclear (brokerage only), drawdown Missing, trade count Present (34 is only a start), falling market Missing, out-of-sample Missing.

- ☐ On sebi.gov.in, check one influencer or paid group you have seen (or INH000020004, printed at the end of this lesson, if you have none): search the INH or INA number they show in the Research Analyst or Investment Adviser list, and note whether the name, the number and the contact details on SEBI's record (email, phone) match their page. If they show no INH or INA number, search their name; if nothing matches, treat them as unregistered. Do not join, pay or message them.
- ☐ Finish with Quiz Game 2, the 15-question Week 2 exam; it is not part of the 55 minutes above. Note every topic you got wrong. Attempting all three weekly Quiz Games is one of the six certificate checks (Day 21).

YOUR TEMPLATE

Practice journal: 10 decisions to review

Made up by your mentor for practice; the stock names are not tips. Fill the Point column (1 or 0), then check yourself against the key in the Weekly review card below.

#	Stock and setup	R result	Rule broken?	Emotion	Point (you fill)
1	No setup	-	none	bored	
2	Gupta Cement Ltd, EMA Pullback	-1.1R	none	calm	
3	Kiran Foods Ltd, bought on a tip, no written plan	+1.4R	No written plan	FOMO	
4	Bharat Pumps Ltd, Skipped: gap past max entry	-	none	calm	
5	Desai Power Ltd, EMA Pullback, gap through the stop	-1.6R	none	calm	
6	Anand Snacks Ltd, EMA Pullback	-1.7R	Stop moved lower	fear	
7	No setup	-	none	bored	
8	Sharma Textiles Ltd, EMA Pullback	+2.4R	none	calm	
9	Bharat Pumps Ltd, a fourth open trade	-1.1R	4th open trade	overconfident	
10	Kiran Foods Ltd, EMA Pullback, time exit	+0.6R	none	calm	

Weekly review card: the key, then your week

Fill the right-hand column from your own rows, even if you have only two or three, then write it up in the Journal

tab with Entry type 'Weekly review'.

Question	Practice journal (key)	Your week
Points ÷ decisions	$7 \div 10 = 70\%$ (points 1,1,0,1,1,0,1,1,0,1)	
Which rules broke?	No written plan (row 3), stop moved lower (row 6), a 4th open trade (row 9)	
Any rule-breaking win?	Row 3, +1.4R: the most dangerous row of the ten	
Emotion on the broken rows	FOMO, fear, overconfident; never calm. Row 9 came right after the +2.4R win	
Losses that kept every rule	Rows 2 and 5: correct trades. Row 5 lost 1.6R to a gap, not to a broken rule	
Total in R; is a -5R pause due?	-1.1R: rule-keeping trades +0.3R, rule breaks -1.4R; no pause	
One fix for next week	No entry without a plan written the evening before	

Fun-round practice page: 'SteadyLine Bot' (made up)

Cover the last row, start a two-minute timer and mark all five checks: quote the line, or write 'not on the page'. Then uncover the key.

Line	What the page says
1	SteadyLine Bot: 71% winning trades, 180 trades from 2019 to 2023.
2	Tested through the 2020 crash and two sideways years.
3	All results shown before brokerage, taxes and other charges.
4	Worst single month: -3%.
5	Settings fine-tuned on 2019-2023 for the smoothest curve. Live results coming soon.
6	Join 5,000 happy members. Rs 1,999 a month.
Key	Costs Missing (line 3 is before charges), drawdown Unclear (a worst month is not the deepest fall), trade count Present (180), falling market Present (line 2), out-of-sample Missing (line 5). Still an advertisement.

OUTCOME

By the end you can run one paper trade through all of Week 2, grade trades on process instead of profit and save a weekly review of your own rows, test any backtest page with five checks, explain the perfect-record trick some tip groups use, and spot an IPO 'GMP / assured allotment' scam.

TOOLS

- Your Day 12 journal in Google Sheets, plus your Portfolio rows in the app
- Any AI chat
- SEBI website (sebi.gov.in)
- Quiz Game 2

WITH YOUR BATCH

Swap-and-audit, opt-in only: swap this week's journal with a classmate, names removed, and grade each other only on process: rule followed, size from the formula, stop kept in place. Stock names in a journal are a record, not tips: never act on them or forward them. Then race on the 'SteadyLine Bot' practice page in Today's task: cover the key, start a two-minute timer, and mark all five checks, quoting the line or writing 'not on the page'. The first fully correct sheet wins. Studying alone? Beat the timer, then make a fresh page with the 'Practice brochure' prompt and race it again.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names, the bot advert, group offers, scam messages, journal results and example figures in this lesson are made up for illustration and training; paper results are hypothetical, and past performance is not indicative of future results. Stage 1 uses virtual money only. No affiliation with any tool or platform named. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Backtest page reader

You are a careful reviewer who teaches Indian beginners to read performance claims. I will paste the text of a backtest or performance page for a trading strategy, bot or paid group. It is either made-up practice material or has all names removed. Check it against these five points and answer Present, Missing or Unclear for each, quoting the exact line you relied on: (1) transaction costs and slippage, (2) maximum drawdown and how long it lasted, (3) number of trades (under 30 is too few to judge; 30 to 100 is only a start), (4) whether the data covers at least one falling market, (5) an out-of-sample or forward test, and whether the settings were optimised on the same data. Then label every performance claim on the page as Fact (checkable), Guess (cannot be verified) or Kachra (marketing noise or impossible). End with the three most important missing items and three polite questions I can ask the seller. Judge the page, not the person. Do not recommend any strategy, product, group or stock, do not give buy or sell advice, and do not estimate targets or future returns.

Page text:
<paste here>

Practice brochure

Create a short, made-up advertisement page for a fictional trading bot called 'RocketAlgo X' so I can practise spotting a weak backtest. Use only fictional names: no real people, brokers, apps or listed companies. Put the words FICTIONAL PRACTICE MATERIAL at the top and at the bottom. Include typical marketing lines and a performance summary, but quietly leave out or blur three to five of these: costs and slippage, maximum drawdown, trade count, a falling-market period, an out-of-sample test. Do not tell me which ones are missing. When I reply with my checklist (Present, Missing or Unclear for each), reveal the hidden gaps, grade my answers, and label each claim on your page as Fact, Guess or Kachra. Do not give buy or sell advice, targets or return expectations of your own.

IPO offer check

A message offers me 'assured allotment' in an upcoming IPO through a special quota if I transfer money to an account today, and it quotes a high grey market premium (GMP). Do not ask me for any personal details. In simple numbered steps, explain how a real IPO application works in India: ASBA, the UPI mandate, the blocked amount, allotment by lottery when retail applicants outnumber the minimum lots available, unblocking of money, and listing. Then point out each place where the message does not match. Label each statement Fact, Guess or Kachra, and name the official website where I can check it (SEBI, NSE, BSE or the issue's registrar). Tell me what to do if money has already been sent: inform the bank, call the 1930 cybercrime helpline and report on cybercrime.gov.in. Do not comment on whether any IPO is a good investment, do not give buy or sell advice, and do not predict listing prices or returns.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Choose 'Weekly review' as the entry type. Write your adherence score, the rule you broke most (or 'none') and one fix for next week. Then: which trade from this week would you most like to hide from a reviewer, and why? Last, think of one result you believed this month that never showed its losses: which question would have exposed it?

Write your answer here, then save it in the app's Journal tab.

This week you kept a record that shows its losses. Most of what you will be sold never does.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. A bot page says: '220 trades from 2018 to 2023, results after all charges, tested through the 2020 crash, re-tested on 2024 data the settings never saw, worst single month -4%.' Which of the five checks is still open?

- ☐ A Out-of-sample: one year of new data proves nothing at all
- ☐ B Trade count: 220 trades over six years is too thin to trust
- ☐ C Drawdown: a worst month is not the deepest fall from a peak
- ☐ D None: every check is answered, so the page is real evidence

Q2. Priya's paper trade followed every rule: entry from her written rule, size from the formula, stop left untouched. It hit the stop: -1.1R after the Day 12 allowance. How should her weekly review grade it?

- ☐ A Proof that the strategy has stopped working
- ☐ B A sign that her stops should be wider
- ☐ C A correct trade; the loss was planned
- ☐ D A bad trade, because money was lost

Q3. A strategy page shows 150 trades, costs included and a maximum drawdown of -12R. But every trade comes from one steadily rising year, and the settings were optimised on that same year. What is the fairest conclusion?

- ☐ A Fake, because a -12R drawdown means failure
- ☐ B Still unproven: one rising year, no new data
- ☐ C Reliable, since both costs and drawdown are shown
- ☐ D Robust, because it has more than 100 trades

Q4. A tipster sends opposite NIFTY 50 predictions to two halves of 2,048 people, then repeats this each day with only the half that got the right call. After 4 rounds, how many people have seen 4 correct calls in a row?

- ☐ A 1,024 people
- ☐ B 256 people
- ☐ C 512 people
- ☐ D 128 people

Q5. A WhatsApp group quotes a GMP of Rs 120 for an upcoming IPO. It offers Priya's cousin '1 lot, confirmed' through a special quota if he pays Rs 15,000 to a person's UPI ID today. Which fact exposes the scam most clearly?

- ☐ A A real IPO only blocks money in your own bank account
- ☐ B A GMP of Rs 120 is too low to be worth the fee
- ☐ C He should pay by bank transfer, not UPI
- ☐ D Special quotas are allotted only after listing day

Important information

This handout is study material for CIRCLE S.M.A.R.T, Stage 1 of the 5 Circles Academy. It teaches how the market works. It does not give tips, calls or investment advice, and it does not recommend any security. Company names in the examples are made up; charts and numbers are illustrative; practice uses virtual money only.

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